Foundations in Accountancy

PRACTICE & REVISION KIT

FA2

MAINTAINING FINANCIAL RECORDS

Welcome to BPP Learning Media's Practice & Revision Kit for FA2. In this Practice & Revision Kit, which has been reviewed by the **ACCA examining team**, we:

- Include **Do you know?** Checklists to test your knowledge and understanding of topics
- Provide you with two mock exams including the Specimen Exam June 2014

FOR EXAMS FROM 1 SEPTEMBER 2019 TO 31 AUGUST 2020

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Helping you with your revision

BPP Learning Media – ACCA Approved Content Provider

As an ACCA **Approved Content Provider**, BPP Learning Media gives you the **opportunity** to use revision materials reviewed by the ACCA examining team. By incorporating the ACCA examining team's comments and suggestions regarding the depth and breadth of syllabus coverage, the BPP Learning Media Practice & Revision Kit provides excellent, **ACCA-approved** support for your revision.

These materials are reviewed by the ACCA examining team. The objective of the review is to ensure that the material properly covers the syllabus and study guide outcomes, used by the examining team in setting the exams, in the appropriate breadth and depth. The review does not ensure that every eventuality, combination or application of examinable topics is addressed by the ACCA Approved Content. Nor does the review comprise a detailed technical check of the content as the Approved Content Provider has its own quality assurance processes in place in this respect.

Selecting questions

We provide signposts to help you plan your revision.

- A full **question index**

Attempting mock exams

There are two mock exams that provide practice at coping with the pressures of the exam day. We strongly recommend that you attempt them under exam conditions. **Mock exam 1** is the Specimen Exam June 2014, amended to reflect a computer-based examination. **Mock exam 2** reflects the question styles and syllabus coverage of the exam.

Using your BPP Practice and Revision Kit

Aim of this Practice and Revision Kit

To provide the practice to help you succeed in the computer-based examination for FA2 *Maintaining Financial Records.*

To pass the examination you need a thorough understanding in all areas covered by the syllabus and teaching guide.

Recommended approach

- Make sure you are able to answer questions on **everything** specified by the syllabus and teaching guide. You cannot make any assumptions about what questions may come up in your exam. The examining team aims to discourage 'question spotting'.
- Learning is an **active** process. Use the **DO YOU KNOW?** Checklists to test your knowledge and understanding of the topics covered in FA2 *Maintaining Financial Records* by filling in the blank spaces. Then check your answers against the **DID YOU KNOW?** Checklists. Do not attempt any questions if you are unable to fill in any of the blanks – go back to your **BPP Interactive Text** and revise first.
- When you are revising a topic, think about the mistakes that you know that you should avoid by writing down **POSSIBLE PITFALLS** at the end of each **DO YOU KNOW?** Checklist.
- Once you have completed the checklists successfully, you should attempt the questions on that topic. Each question is worth 2 marks and carries with it a time allocation of 2.4 minutes.
- The exam consists of **Objective Test Questions**. These are the types of objective test question:
  - Multiple Choice – select one answer from four possible options
  - Multiple Response – select two answers from four options or four answers from eight options. The question will tell you how many answers are required.
  - Number Entry – perform a calculation and put the answer in the box provided.
  - Multiple Response Matching – select the correct response to a number of related statements.
- You should attempt each bank of questions to ensure you are familiar with the various styles of question and to practise your technique. Ensure you read **Tackling Multiple Choice Questions** on page xi to get advice on how best to approach this type of question.
- Once you have completed all of the questions in the body of this Practice & Revision Kit, you should attempt the **MOCK EXAMS** under examination conditions. Check your answers against our answers to find out how well you did.

Passing the FA2 exam

FA2 *Maintaining Financial Records* builds on what you learnt in Foundations In Accountancy FA1 *Recording Financial Transactions*. There is a lot to learn, but none of it is particularly difficult and a good grasp of these topics will help you in higher-level financial accounting in FFA (ACCA FA).

To access the Foundation In Accounting syllabuses, visit the ACCA website www2.accaglobal.com/students/fia

The exam

You take this exam by CBE. All questions in the exam are compulsory. This means you cannot avoid any topic, but also means that you do not need to waste time in the exam deciding which questions to attempt. There is a mixture of multiple-choice questions (MCQs) and other types of objective test questions (OTQs) in the form of number entry, multiple response and multiple response matching in the CBE. This means that the examining team are able to test most of the syllabus at each sitting, and that is what they aim to do. So you need to have revised right across the syllabus for this exam.

Revision

This Practice & Revision Kit has been reviewed by the FA2 examining team and contains the Specimen Exam June 2014 as Mock Exam 1, so if you just worked through it to the end you would be very well prepared for the exam. It is important to tackle questions under exam conditions. Allow yourself just the number of minutes shown next to the questions in the index and don't look at the answers until you have finished. Then correct your answer and go back to the Interactive Text for any topic you are really having trouble with. Try the same question again a week later – you will be surprised how much better you are getting. Doing the questions like this will really show you what you know, and will make the exam experience less worrying.

Doing the exam

If you have honestly done your revision you can pass this exam. There are certain points which you must bear in mind:

- Read the question properly.
- Don't spend more than the allotted time on each question. If you are having trouble with a question leave it and carry on. You can come back to it at the end.

Approach to examining the syllabus

FA2 is a two-hour exam. It is taken as a computer-based examination.

The exam is structured as follows:

	No of marks
50 compulsory questions of 2 marks each	100

The Computer-based Examination

Computer-based examinations must be taken at an ACCA CBE Licensed Centre.

How does CBE work?

- Questions are displayed on a monitor
- Candidates enter their answer directly onto the computer
- Candidates have two hours to complete the examination
- When the candidate has completed their examination, the final percentage score is calculated and displayed on screen
- Candidates are provided with a Provisional Result Notification showing their results before leaving the examination room
- The CBE Licensed Centre uploads the results to the ACCA (as proof of the candidate's performance) within 72 hours
- Candidates can check their exam status on the ACCA website by logging into myACCA.

Benefits

- **Flexibility** as a CBE can be sat at any time.
- **Resits** can also be taken at any time and there is no restriction on the number of times a candidate can sit a CBE.
- **Instant feedback** as the computer displays the results at the end of the CBE.
- Results are notified to ACCA **within 72 hours.**

CBE question types

- Multiple choice – choose one answer from four options
- Number entry – key in a numerical response to a question
- Multiple response – select more than one response by clicking the appropriate tick boxes
- Multiple response matching – select a response to a number of related part questions by choosing one option from a number of drop down menus

Note. There are questions in the kit which use shared information (for example, 6.35 & 6.36). These are **not** representative of the style of questions you will expect to see in the exam, however, they are useful for testing your knowledge.

For more information on computer-based exams, visit the ACCA website.

www.accaglobal.com/en/student/Exams/Computer-based-exams.html

Tackling Multiple Choice Questions

MCQs are part of all Foundations In Accountancy exams. The MCQs in your exam contain four possible answers. You have to **choose the option that best answers the question**. The incorrect options are called distracters. There is a skill in answering MCQs quickly and correctly. By practising MCQs you can develop this skill, giving you a better chance of passing the exam.

You may wish to follow the approach outlined below, or you may prefer to adapt it.

Step 1	Skim read all the MCQs and identify what appear to be the easier questions.
Step 2	Attempt each question – **starting with the easier questions** identified in Step 1. Read the question **thoroughly**. You may prefer to work out the answer before looking at the options, or you may prefer to look at the options at the beginning. Adopt the method that works best for you.
Step 3	Read the options and see if one matches your own answer. Be careful with numerical questions as the distracters are designed to match answers that incorporate common errors. Check that your calculation is correct. Have you followed the requirement exactly? Have you included every stage of the calculation?
Step 4	You may find that none of the options matches your answer. • Re-read the question to ensure that you understand it and are answering the requirement • Eliminate any obviously wrong answers • Consider which of the remaining answers is the most likely to be correct and select the option
Step 5	If you are still unsure make a note and continue to the next question
Step 6	Revisit unanswered questions. When you come back to a question after a break you often find you are able to answer it correctly straight away. If you are still unsure have a guess. You are not penalised for incorrect answers, so **never leave a question unanswered!**

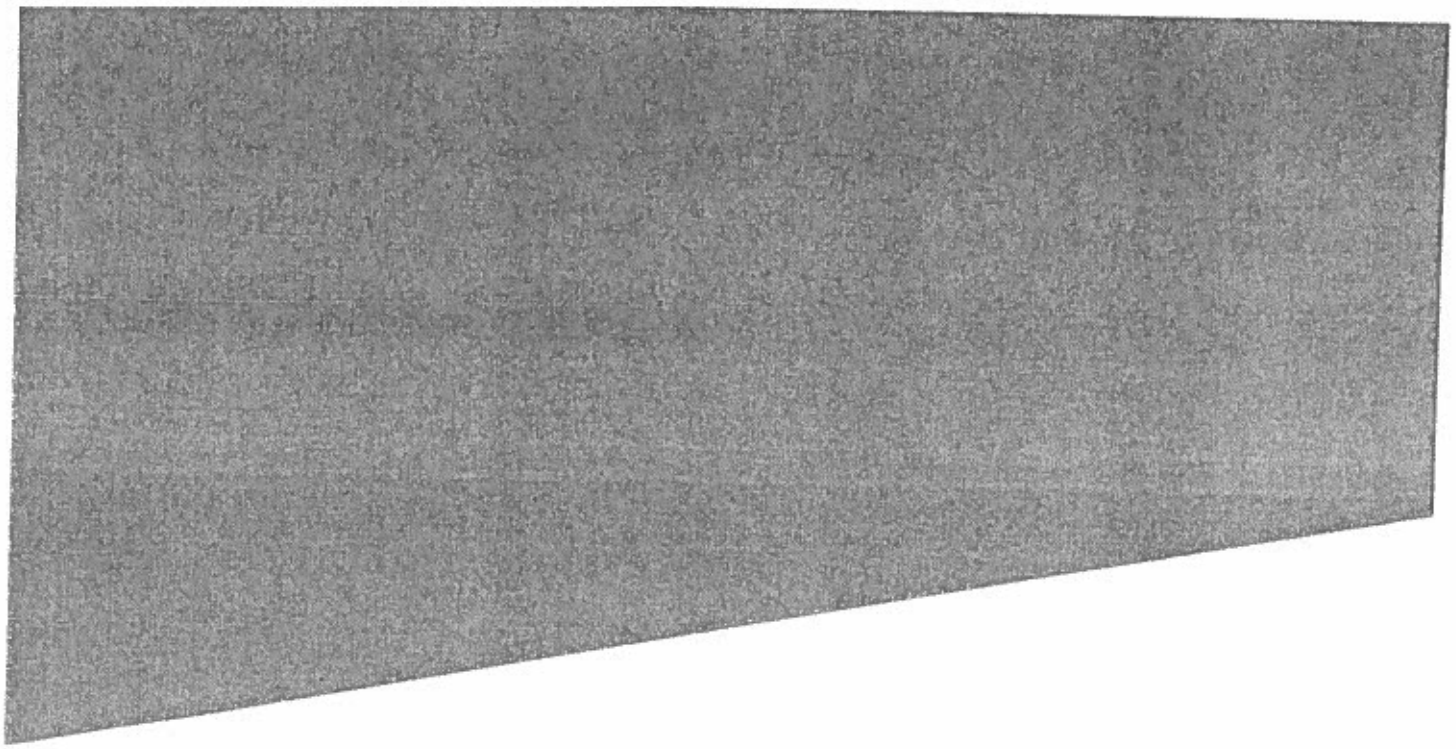
After extensive practice and revision of MCQs, you may find that you recognise a question when you sit the exam. Be aware that the detail and/or requirement may be different. If the question seems familiar read the requirement and options carefully – do not assume that it is identical.

Using your BPP products

This Practice & Revision Kit gives you the question practice and guidance you need in the exam. Our other products can also help you pass:

- **Interactive Text** introduces and explains the knowledge required for your exam
- **Passcards** provide you with clear topic summaries and exam tips

You can purchase these products by visiting www.bpp.com/learning-media.



Questions

Do you know? – Assets, liabilities and the accounting equation

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- ..... are something owned by a business. ..... are something owed by a business.
- Some assets are held and used in operations for a long time. These are usually referred to as ..... . Other assets are held for only a short time. We usually call these ..... .
- Profit is ..... . When expenditure exceeds income, the business is running at ..... .
- The accounting equation is as follows: ..... .
- Payables are ..... . Receivables are ..... .
- The statement of profit or loss is a record of ..... .
- The net profit is the ..... plus ..... from sources other than the sale of goods minus ..... of the business which are not included in the cost of goods sold, mainly ..... , ... and ..... expenses.
- The statement of financial position is a list of all the ....
- The business equation is as follows: ....
- *Possible pitfalls:*

  Write down the mistakes you know you should avoid.

Did you know? – Assets, liabilities and the accounting equation

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- **Assets** are something owned by a business. **Liabilities** are something owed by a business.
- Some assets are held and used in operations for a long time. These are usually referred to as **non-current assets.** Other assets are held for only a short time. We usually call these **current assets.**
- Profit is **the excess of income over expenditure.** When expenditure exceeds income, the business is running at **a loss.**
- The accounting equation is as follows: **Capital + Liabilities = Assets**
- Payables are **balances due to suppliers (liabilities).** Receivables are **balances due from customers (assets).**
- The statement of profit or loss is a record of **income generated and expenditure incurred over a given period.**
- The net profit is the **gross profit** plus **any other income** from sources other than the sale of goods minus **other overhead expenses** of the business which are not included in the cost of goods sold, mainly **selling, distribution** and **administration** expenses.
- The statement of financial position is a list of all the **assets owned by a business and liabilities owed by a business at a particular date.**
- The business equation is as follows: **Increase in net assets – Capital introduced + Drawings = Net profit.**
- *Possible pitfalls:*
  - **Confusing assets and liabilities.**
  - **Mixing of statement of profit or loss and statement of financial position items.**

1 Assets, liabilities and the accounting equation 36 mins

1.1 Andy started a business and introduced capital of $10,000. He also obtained a loan of $6,000 to purchase non-current assets.

What is the value of Andy's opening net assets?

A $4,000
B $6,000
C $10,000
D $16,000

(2 marks)

1.2 **A trader's net profit for the year may be computed by using which of the following formulae?**

A Opening capital + Drawings – Capital introduced – Closing capital
B Closing capital + Drawings – Capital introduced – Opening capital
C Opening capital – Drawings + Capital introduced – Closing capital
D Closing capital – Drawings + Capital introduced – Opening capital

(2 marks)

1.3 On 23 May 20X7, Julie used cash to pay the rent on her business premises for the three months to 31 August 20X7 in advance.

On 23 May, how is Julie's accounting equation affected by this transaction?

	Assets	*Liabilities*	*Capital*
A	Unchanged	Unchanged	Unchanged
B	Unchanged	Reduced	Reduced
C	Reduced	Unchanged	Unchanged
D	Reduced	Unchanged	Reduced

(2 marks)

1.4 The profit made by a business in 20X7 was $35,400. The proprietor injected new capital of $10,200 during the year and withdrew a monthly salary of $500.

If net assets at the end of 20X7 were $95,100, what was the proprietor's capital at the beginning of the year?

$ ☐

(2 marks)

1.5 A business had net assets at 1 January and 31 December 20X9 of $75,600 and $73,800 respectively. During the year, the proprietor introduced additional capital of $17,700 and withdrew cash and goods to the value of $16,300.

What was the profit or loss made by the business in 20X9?

A $3,200 loss
B $3,200 profit
C $400 loss
D $400 profit

(2 marks)

1.6 **Which of the following is a bank overdraft an example of?**

A Asset
B Liability
C Income
D Expense

(2 marks)

1.7 **Which TWO of the following is/are included in the IASB's *Conceptual Framework for Financial Reporting* definition of an asset?**

- ☐ Resource controlled by the entity
- ☐ Resulting from a past event
- ☐ There is expected to be an outflow of future economic benefits
- ☐ Increases in economic benefits in the period

(2 marks)

1.8 A business borrowed $1,700 from its bank, and used the cash to buy a new computer.

How was the accounting equation affected by these transactions?

	Assets	*Liabilities*
A	Unchanged	Decreased
B	Unchanged	Increased
C	Increased	Increased
D	Increased	Decreased

(2 marks)

1.9 **What is the main purpose of a statement of financial position?**

A To report the assets, liabilities and capital of the business at a particular date
B To provide a valuation of the business at a particular date
C To provide information about the activities of the business over a period of time
D To report the growth in the value of capital since the business was established

(2 marks)

1.10 **Which of the following correctly calculates the difference between closing capital and opening capital?**

A Profit – Capital introduced – Drawings
B Profit + Capital introduced + Drawings
C Profit – Capital introduced + Drawings
D Profit + Capital introduced – Drawings

(2 marks)

1.11 At the start of the year, the balance on David's capital account was $85,872. During the year David made drawings of $19,500 and the net loss for the year was $1,700. He introduced capital of $5,300

What is the closing balance on David's capital account at the year end?

$ ☐

(2 marks)

1.12 The net assets of Kate's business were $16,100 at 1 January 20X3 and $27,600 at 31 December 20X3. During the year Kate paid personal funds of $2,950 into the business bank account and withdrew $1,450.

What was the net profit for the year ended 31 December 20X3?

A $11,950
B $13,000
C $7,100
D $10,000

(2 marks)

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1.13 The owner of a small business, which does not have an overdraft facility, draws out some money for personal use.

Which of the following correctly states the effect of the drawings upon the accounting equation?

A Assets increase, capital increases
B Assets decrease, capital increases
C Assets decrease, capital decreases
D Assets decrease, liabilities decrease

(2 marks)

1.14 A sole trader had opening capital of $10,000 and closing capital of $4,500. During the period, the owner introduced capital of $4,000 and withdrew $8,000 for their own use.

Their profit or loss during the period was

A $9,500 loss
B $1,500 loss
C $7,500 profit
D $17,500 profit

(2 marks)

(Total = 28 marks)

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Do you know? – Statement of financial position and statement of profit or loss

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- To be classed as a non-current asset in the statement of financial position of a business, an item must satisfy three conditions:

  1 .....

  2 .....

  3 .....

- Current assets are either items owned by the business with the intention .... (inventories and receivables) or ..... , including money in the bank, owned by the business.
- Current liabilities are debts of the business that must be paid ....(by convention, ...). Any liability that is not current must be ..... .
- Capital expenditure results in the acquisition of ..... . Revenue expenditure is incurred for the purposes of the ..... of the business or of the ..... of non-current assets.
- *Possible pitfalls:*

  Write down the mistakes you know you should avoid.

Did you know? – Statement of financial position and statement of profit or loss

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- To be classed as a non-current asset in the statement of financial position of a business, an item must satisfy three conditions:
  1. **It must be used by the business.**
  2. **It must be used with a view to earning income or generating profits from its use.**
  3. **It must have a life in use of more than one accounting period (typically one year).**
- Current assets are either items owned by the business with the intention **of turning them into cash within one year** (inventories and receivables) or **cash**, including money in the bank, owned by the business.
- Current liabilities are debts of the business that must be paid **within a fairly short period of time** (by convention, **one year**). Any liability that is not current must be **non-current.**
- Capital expenditure results in the acquisition of **non-current assets**. Revenue expenditure is incurred for the purposes of the **trade** of the business or of the **maintenance** of non-current assets.
- *Possible pitfalls:*
  - **Confusing assets and liabilities.**
  - **Miscategorising non-current and current assets and/or current and non-current liabilities.**
  - **Mixing up statement of profit or loss and statement of financial position items.**

2 Statement of financial position and statement of profit or loss 36 mins

2.1 **Which one of the following assets may be classified as a non-current asset in the accounts of a business?**

A A tax refund due next year
B A motor vehicle held for resale
C A computer used in the office
D A hire purchase creditor

(2 marks)

2.2 At 31 May 20X7 Roberta's trial balance included the following items.

	$
Inventory at 1 June 20X6	23,856
Trade receivables	55,742
Trade payables	32,165
Bank overdraft	5,855
Loan due for repayment in 20X9	15,000

What was the value of Roberta's current liabilities at 31 May 20X7?

A $38,020
B $53,020
C $61,597
D $76,597

(2 marks)

2.3 **Which of the following statements about capital expenditure is correct?**

A It is expenditure on non-current assets, including repairs and maintenance
B It is expenditure on expensive assets
C It is expenditure relating to the issue of share capital
D It is expenditure relating to the acquisition or improvement of non-current assets **(2 marks)**

2.4 **Which TWO of the following costs on the invoice for a new company car would be classified as revenue expenditure?**

☐ Road tax
☐ Number plates
☐ Maintenance contract
☐ Delivery costs

(2 marks)

2.5 Ian is entering an invoice in the accounts. The invoice shows the following costs:

	$
Manufacturing equipment	39,900
Delivery	1,000
Maintenance charge	3,980
Sales tax	7,854
Invoice total	52,734

What is the total value of capital expenditure on the invoice?

A $39,900
B $40,900
C $44,880
D $52,734

(2 marks)

2.6 Esther is recording the invoice for the purchase of a new non-current asset. As well as the basic cost of the asset, the invoice shows the following items:

Delivery
Installation
Maintenance

Which of the costs should be treated as revenue expenditure?

A Delivery only
B Installation only
C Maintenance only
D All of the costs

(2 marks)

2.7 **Which of the following items should be included in current assets?**

(i) Assets which are not intended to be converted into cash
(ii) Assets which will be converted into cash in the long term
(iii) Assets which will be converted into cash in the near future

A (i) only
B (ii) only
C (iii) only
D (ii) and (iii)

(2 marks)

2.8 In the year to 31 October 20X6, Nadine recorded some revenue expenditure as capital expenditure.

What is the effect on her profit for the year to 31 October 20X6 and her net assets at that date?

	Profit	*Net assets*
A	Overstated	Overstated
B	Overstated	Understated
C	Understated	Overstated
D	Understated	Understated

(2 marks)

2.9 **Which of the following statements describes current assets?**

A Assets which are currently located on the business premises
B Assets which are used to conduct the organisation's current business
C Assets which are expected to be converted into cash in the short-term
D Assets which are not expected to be converted into cash in the short-term

(2 marks)

2.10 Amir's trial balance includes balances for:

(i) Insurance
(ii) Trade payables
(iii) Trade receivables

How should each of these balances be classified?

	Asset	Liability	Expense
Insurance	O	O	O
Trade payables	O	O	O
Trade receivables	O	O	O

(2 marks)

2.11 **Which TWO of the following statements relating to the statement of profit or loss are false?**

☐ It shows in detail how the profit or loss of a period has been made
☐ It shows the value of sales less total expenses as gross profit
☐ It represents the financial position at a point in time
☐ It is one of the key accounting statements of any business

(2 marks)

2.12 **Which of the following statements relating to how a five-year bank loan is shown in the statement of financial position is true?**

A It should be shown as a non-current asset
B It should be shown as a non-current liability
C It should be split into a current and non-current liability
D It should be shown as a non-current liability

(2 marks)

2.13 Items that appear in the financial records of a business include:

(i) Employees' salaries
(ii) Cash held in the bank

Where should these items ultimately appear in the financial statements?

A Both items should appear in the statement of profit or loss
B Item (i) in the statement of financial position and item (ii) in the statement of profit or loss
C Both items should appear in the statement of financial position
D Item (i) in the statement of profit or loss and item (ii) in the statement of financial position

(2 marks)

2.14 **Which ONE of the following statements correctly describes the contents of the Statement of Financial Position?**

A A list of ledger balances shown in debit and credit columns
B A list of all the assets owned and all the liabilities owed by a business
C A record of income generated and expenditure incurred over a given period
D A record of the amount of cash generated and used by a company in a given period **(2 marks)**

2.15 **Which of the following transactions is revenue expenditure?**

A Expenditure resulting in improvements to property
B Expenditure on heat and light
C Purchasing a non-current asset
D Installation costs of a non-current asset

(2 marks)

(Total = 30 marks)

Do you know? – Recording and summarising transactions

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- Transactions are initially recorded in ..... .
- The ..... is a list of all invoices sent out to customers each day. If customers return goods for some reason, the returns are recorded in the ..... .
- The ..... is the record of all the invoices received from suppliers. The purchase returns day book is kept to record ..... received in respect of ....
- The cash day books are used to keep a cumulative record of money ..... and money ..... by the business via its bank account.
- There are two kinds of discount:
  - ..... : a reduction in the cost of goods
  - ..... : a reduction in the amount payable to the supplier
- *Possible pitfalls:*

  Write down the mistakes you know you should avoid.

Did you know? – Recording and summarising transactions

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- Transactions are initially recorded in **books of prime entry**.
- The **sales day book** is a list of all invoices sent out to customers each day. If customers return goods for some reason, the returns are recorded in the **sales returns day book**.
- The **purchases day book** is the record of all the invoices received from suppliers. The purchase returns day book is kept to record **credit notes** received in respect of **goods which the business sends back to its suppliers**.
- The cash book is used to keep a cumulative record of money **received** and **money paid out** by the business via its bank account.
- There are two kinds of discount:
  - **Trade discount**: a reduction in the cost of goods.
  - **Settlement discount**: a reduction in the amount payable to the supplier.
- *Possible pitfalls*:
  - **Confusing books of prime entry with ledger accounts.**
  - **Posting totals to incorrect ledger accounts, or to the wrong side of the correct account.**

3 Recording and summarising transactions 31 mins

3.1 When entering invoices in the purchase day book, Elaine recorded an invoice for $126 for motor expenses as $162. The day book has been posted correctly to the general ledger.

What entry will correct the error?

A	Debit	Motor expenses	$36	
	Credit	Payables control		$36
B	Debit	Payables control	$36	
	Credit	Motor expenses		$36
C	Debit	Motor expenses	$288	
	Credit	Payables control		$288
D	Debit	Payables control	$288	
	Credit	Motor expenses		$288

(2 marks)

3.2 Consider the following statements:

(i) 'Double entry bookkeeping' means that two sets of records are maintained.

(ii) In double entry bookkeeping we have a basic check on the accuracy of the entries as the total value of the debit entries and the total value of the credit entries should be equal.

Are the statements true or false?

	True	False
Statement (i)	O	O
Statement (ii)	O	O

(2 marks)

3.3 **Which TWO of the following are source documents?**

- ☐ Sales day book
- ☐ Credit note from supplier
- ☐ Trial balance
- ☐ Invoice

(2 marks)

3.4 **Which of the following statements about books of prime entry is true?**

A A business can only have a maximum of five books of prime entry
B Source documents are recorded in the books of prime entry
C Credit notes received are recorded in the sales returns day book
D The journal is not a book of prime entry

(2 marks)

3.5 **Which prime entry record is used to record returns outwards?**

A Sales returns day book
B The journal
C The cash book
D The purchase returns day book **(2 marks)**

3.6 Goods costing $500 have been purchased on credit and delivered to a business. On inspection 25% of these goods are found to be faulty and these are returned to the supplier.

Which of the following journal entries correctly records this return?

A Dr Purchases $500, Cr Payables $500
B Dr Payables $125, Cr Purchases $125
C Dr Cash $125, Cr Purchases $125
D Dr Payables $500, Cr Purchases $500 **(2 marks)**

3.7 Helen buys goods for her business with a list price of $450 for cash. She receives a 10% trade discount.

Which of the following journal entries correctly records this transaction?

A Dr Purchases $450, Cr Cash $450
B Dr Purchases $405, Cr Payables $405
C Dr Purchases $450, Cr Cash $405, Cr Discounts received $45
D Dr Purchases $405, Cr Cash $405 **(2 marks)**

3.8 **Which one of the following source documents is summarised and posted to the general ledger?**

A Sales returns day book
B Purchases day book
C Cash received day book
D The purchase returns day book **(2 marks)**

3.9 **Which prime entry record is used to record direct debits to pay utility bills?**

A Sales returns day book
B The journal
C The cheques issued book
D The purchase returns day book **(2 marks)**

3.10 Goods costing $300 have been sold on credit to a customer. The customer has returned 10% of these goods for a refund and a credit note has been issued for these goods.

Which of the following journal entries correctly records this return?

A Dr Revenue $30, Cr Receivables $30
B Dr Revenue $30, Cr Cash $30
C Dr Receivables $30, Cr Revenue $30
D Dr Revenue $300, Cr Receivables $300 **(2 marks)**

3.11 **Which of the following would be recorded in the purchase day book?**

A Cheques paid to a supplier
B Purchase invoices
C Trade discounts received
D Credit notes received **(2 marks)**

3.12 T Tallon had the following transactions:

(i) Sale of goods on credit for $150 to F Rogit
(ii) Return of goods from B Blendigg originally sold for $300 in cash to B Blendigg

What are the correct ledger entries to record these transactions?

A	Dr Receivables	$150	
	Dr Sales Returns	$300	
	Cr Revenue		$150
	Cr Cash		$300
B	Dr Revenue	$150	
	Dr Cash	$300	
	Cr Receivables		$150
	Cr Sales Returns		$300
C	Dr Receivables	$450	
	Cr Revenue		$150
	Cr Sales Returns		$300
D	Dr Sales Returns	$300	
	Dr Revenue	$150	
	Cr Cash		$450

(2 marks)

3.13 **Cash received from credit customers will be posted as follows:**

A Dr Receivables, Cr Cash
B Dr Cash, Cr Revenue
C Dr Cash, Cr Receivables
D Dr Revenue, Cr Receivables

(2 marks)

(Total = 26 marks)

Do you know? – Posting transactions, balancing accounts and the trial balance

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- The ..... is the accounting record that summarises the financial affairs of a business. It consists of a large number of different ledger accounts, each having its own purpose or name. Another name for the general ledger is the ..... .
- Posting means to enter transactions in ..... in the general ledger from ..... .
- Every debit entered in the ledger accounts must have ..... credit and vice versa.
- ..... sales tax is charged on sales and ..... sales tax is incurred on purchases.
- A cash payment is a ..... entry in the cash account. A cash receipt is a ..... entry in the cash account. When a credit transaction occurs, the details of the transactions are entered in ledger accounts for ..... and ..... .
- A control account is an account in the general ledger in which a record is kept of ....
  Control accounts are used chiefly for ..... and ..... .
- The journal keeps a record of ..... between accounts. It is used to record any ..... made which do not arise from the other books of prime entry.
- The ..... lists all the balances in every account in the general ledger at the end of a period.
- A trial balance will not disclose the following types of errors:
  - .....
  - .....
  - .....
  - .....
- *Possible pitfalls*

  Write down the mistakes you know you should avoid.

Did you know? – Posting transactions, balancing accounts and the trial balance

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- The **general ledger** is the accounting record that summarises the financial affairs of a business. It consists of a large number of different ledger accounts, each having its own purpose or name. Another name for the general ledger is the **nominal ledger**.
- Posting means to enter transactions in **ledger accounts** in the general ledger from **books of prime entry**.
- Every debit entered in the ledger accounts must have **an equal** credit and vice versa.
- **Output** sales tax is charged on sales and **input** sales tax is incurred on purchases.
- A cash payment is a **credit** entry in the cash account. A cash receipt is a **debit** entry in the cash account. When a credit transaction occurs, the details of the transactions are entered in ledger accounts for **receivables** and **payables**.
- A control account is an account in the general ledger in which a record is kept of **the total value of a number of similar but individual items**. Control accounts are used chiefly for **receivables** and **payables**.
- The journal keeps a record of **unusual movements** between accounts. It is used to record any **double entries** made which do not arise from the other books of prime entry.
- The **trial balance** lists all the balances in every account in the general ledger at the end of a period.
- A trial balance will not disclose the following types of errors:
  - **Errors of omission.**
  - **Errors of commission.**
  - **Compensating errors.**
  - **Errors of principle.**
- *Possible pitfalls:*
  - **Putting account balances on the wrong side.**
  - **Forgetting which errors are (or are not) discovered by extracting a trial balance.**

4 Posting transactions, balancing accounts and the trial balance 72 mins

4.1 **What does a credit balance of $917 brought down on Y's account in the books of X mean?**

A X owes Y $917
B Y owes X $917
C X has paid Y $917
D X is owed $917 by Y

(2 marks)

4.2 **What does a credit balance on a ledger account indicate?**

A An asset or an expense
B A liability or an expense
C An amount owing to the organisation
D A liability or a revenue

(2 marks)

4.3 **Which of the following results in a credit entry of $450 on X's account in the books of Y?**

A X buying goods on credit from Y
B Y paying X $450
C Y returning goods to X
D X returning goods to Y

(2 marks)

4.4 Joe has prepared the following journal entry:

Debit	Cash	$850
Credit	T Sugden	$850

Which of the following is the correct narrative for the journal entry?

A Cash sale to T Sugden
B Cash purchase from T Sugden
C Cash payment to T Sugden
D Cash receipt from T Sugden

(2 marks)

4.5 Melissa is not registered for sales tax purposes. She has recently received an invoice for goods for resale which cost $500 before sales tax, which is levied at 20%. The total value was therefore $600.

What is the correct entry to be made in Melissa's general ledger in respect of the invoice?

A Dr Purchases $500, Dr Sales tax $100, Cr Payables $600
B Dr Purchases $600, Cr Sales tax $100, Cr Payables $500
C Dr Purchases $500, Cr Payables $500
D Dr Purchases $600, Cr Payables $600

(2 marks)

4.6 Jenny has recorded the following journal entry:

Debit	Purchases	$1,500
Credit	Stationery	$1,500

What is the correct narrative for Jenny's journal entry?

A Being cash purchase of stationery
B Being credit purchase of stationery
C Being correction of error – purchases originally recorded as stationery
D Being correction of error – stationery originally recorded as purchases

(2 marks)

4.7 William's trial balance at 30 September 20X5 includes the following balances:

Trade receivables	$75,943
Receivables allowance	$4,751

How should these balances be reported in William's statement of financial position as at 30 September 20X5?

A An asset of $71,192
B An asset of $75,943 and a liability of $4,751
C A liability of $71,192
D A liability of $75,943 and an asset of $4,751 **(2 marks)**

4.8 A trial balance is made up of a list of debit balances and credit balances.

Which TWO of the following statements are correct?

☐ Every debit balance represents an expense
☐ Assets are represented by debit balances
☐ Capital is represented by a debit balance
☐ Income is included in the list of credit balances **(2 marks)**

4.9 An invoice from a supplier of office equipment has been debited to the stationery account.

Which of the following describes this error?

A An error of omission
B An error of original entry
C An error of commission
D An error of principle **(2 marks)**

4.10 **Which of the following error categories describes an error where a transaction is entered into the correct ledger accounts, but the wrong amount is used?**

A Omission
B Original entry
C Commission
D Principle **(2 marks)**

4.11 **Which ONE of the following is an error of principle?**

A An amount paid for gas credited to the gas account and debited to the bank account
B The purchase of a non-current asset credited to the asset account and debited to the supplier's account
C The purchase of a non-current asset debited to the purchases account and credited to the supplier's account
D The payment of wages debited and credited to the correct accounts, but using the wrong amount **(2 marks)**

4.12 A purchase return of $48 has been wrongly posted to the debit side of the sales returns account, but has been correctly entered in the supplier's account.

Which of the following statements is correct in respect of the trial balance totals?

A The credit side will be $48 more than the debit side
B The debit side will be $48 more than the credit side
C The credit side will be $96 more than the debit side
D The debit side will be $96 more than the credit side **(2 marks)**

4.13 After Toni prepared her draft accounts she discovered that she had incorrectly classified an item of revenue expenditure as capital expenditure.

When the error is corrected, how will her net profit and capital be affected?

	Net profit	Capital
Reduced	O	O
Increased	O	O

(2 marks)

4.14 Chan's bookkeeper has posted an invoice for motor repairs to the motor vehicles at cost account.

What term is used to describe this type of error?

A Error of omission
B Error of commission
C Error of principle
D Error of transposition

(2 marks)

4.15 **Which of the following errors should be detected by preparing a trial balance?**

A A credit entry made on the debit side of the correct account
B A credit entry made on the credit side of the wrong account
C A transaction for which no entries were made
D A transaction entered in the general ledger twice

(2 marks)

4.16 **Which TWO of the following errors will be revealed by extracting a trial balance?**

☐ Error of single entry
☐ Error of commission
☐ Error of omission
☐ Error of transposition

(2 marks)

4.17 When Fred's trial balance was extracted, the debit total was $400 less than the credit total.

Which of the following errors could have caused this difference?

A A sales invoice for $200 was debited to both the revenue account and the receivables ledger control account

B A cheque received for $200 was entered twice in the general ledger

C A cheque for expenses for $200 was credited to both the expense account and the bank account in the general ledger

D The purchases account was undercast by $200

(2 marks)

4.18 When Mervyn's trial balance was extracted, the total of the debit balances was $500 more than the total of the credit balances.

Which of the following errors is a possible explanation for the difference?

A A cash sale for $250 had not been recorded

B A cash sale for $250 had been recorded twice

C A cash sale for $250 had been posted to the credit side of both the sales account and the cash account

D A cash sale for $250 had been posted to the debit side of both the sales account and the cash account **(2 marks)**

4.19 At 30 November 20X5 Jenny had a bank loan of $8,500 and a balance of $678 in hand in her bank account.

How should these amounts be recorded on Jenny's opening trial balance at 1 December 20X5?

A Debit $7,822
B Credit $7,822
C Credit $8,500 and Debit $678
D Debit $8,500 and Credit $678 **(2 marks)**

4.20 Bert has extracted the following list of balances from his general ledger at 31 October 20X5:

	$
Revenue	258,542
Opening inventory	9,649
Purchases	142,958
Expenses	34,835
Non-current assets (Carrying amount)	63,960
Trade receivables	31,746
Trade payables	13,864
Cash at bank	1,783
Capital	12,525

What is the total of the debit balances in Bert's trial balance at 31 October 20X5?

$ ☐ **(2 marks)**

4.21 Two types of common errors in bookkeeping are:

Errors of principle
Errors of transposition

Which of these types of errors will be revealed by extracting a trial balance?

	Will be revealed	Will not be revealed
Errors of principle	○	○
Errors of transposition	○	○

(2 marks)

4.22 Colin bought stationery on credit for $430 but recorded it as $340. When he extracted his trial balance, the total of the debit balances was $157,728.

When the error is corrected, what is the revised total of the debit balances?

A $157,388
B $157,638
C $157,818
D $157,728

(2 marks)

4.23 **Which of the following is a valid reason for an accountant to close off the general ledger accounts and produce a trial balance?**

A The trial balance produced will highlight all errors so the accountant can be sure every account balance is correct.

B The trial balance contains exactly the same headings as included in the statement of profit or loss and statement of financial position making it easy to produce the final accounts.

C It will enable the accountant to establish whether or not the value of all the debits is equal to the value of all the credits before proceeding with the preparation of the final accounts.

D Accountants are required by law to produce a trial balance so the accountant must produce one as part of the preparation of the final accounts.

(2 marks)

4.24 A sales invoice for $3,450 was recorded in Susan's general ledger as follows:

Debit	Revenue	$3,540	
Credit	Trade receivables		$3,540

If the errors are not corrected before the final accounts are drafted, how will Susan's net profit be affected?

A Understated by $90
B Overstated by $90
C Understated by $6,990
D Overstated by $6,990

(2 marks)

4.25 At 31 October 20X6 Roger's trial balance included the following balances:

	$
Machinery at cost	12,890
Accumulated depreciation	8,950
Inventory	5,754
Trade receivables	11,745
Trade payables	7,830
Bank overdraft	1,675
Cash at bank	150

What was the value of Roger's current assets at 31 October 20X6?

$ ☐

(2 marks)

4.26 **Which of the following statements is true regarding the relationship between businesses registered for sales tax and the relevant tax authority?**

A Businesses should pay over the input tax on purchases to the tax authority.

B Tax authorities should refund to businesses the value of the output tax shown on their sales tax return to the extent it exceeds their input tax.

C Businesses submit periodic sales tax returns to the tax authorities showing output and input tax, and make a payment to the tax authority when output tax exceeds input tax for the period.

D Businesses submit periodic sales tax returns to the tax authorities showing output and input tax, and make a payment to the tax authority when input tax exceeds output tax for the period.

(2 marks)

4.27 **Which TWO of the following are valid reasons for a business to register for sales tax in a country which permits voluntary registration?**

☐ Exempt sales exceed a limit for compulsory registration set by the tax authorities

☐ Taxable sales exceed a limit for compulsory registration set by the tax authorities

☐ The business falls under any specified limits but makes standard rated supplies and is not charged input tax by its suppliers

☐ The business falls under any specified limits but makes zero rated supplies and is charged input tax by its suppliers

(2 marks)

4.28 Alfred is registered for sales tax. He makes sales of $25,000 including sales tax and purchases goods for $7,000 excluding sales tax. The opening balance on the sales tax account was $500 credit. Sales tax is 20%.

What is the closing balance on the sales tax account?

A $3,600

B $3,000

C $2,267

D $3,267 **(2 marks)**

4.29 **What is a trial balance?**

A A list of ledger balances extracted from customer accounts

B A list of general ledger account balances which acts as a basic check on the accuracy of the bookkeeping

C An accounting document which a business must prepare

D A list of all the transactions which have occurred in a period taken from ledger accounts

(2 marks)

4.30 **Which of the following errors would be a possible reason for a trial balance failing to agree?**

A Sales $500 entered correctly, but entered as $1,500 in the receivables ledger control account

B A purchase of $550 on credit not being recorded

C Cash wages being recorded as debit: cash $250, credit: wages $250

D A non-current asset purchase of $750 being recorded as debit: machinery repairs $750, credit: cash $750

(2 marks)

(Total = 60 marks)

Do you know? – Accounting principles and characteristics

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- Try to list seven accounting principles.
  - .....
  - .....
  - .....
  - .....
  - .....
  - .....
  - .....
- International Financial Reporting Standards are published by the .....
- The two fundamental qualitative characteristics of financial information are:
  - .....
  - .....

  Four other important qualitative characteristics of financial information are:
  - .....
  - .....
  - .....
  - .....
- *Possible pitfalls:*

  Write down the mistakes you know you should avoid.

Did you know? – Accounting principles and characteristics

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- Seven accounting principles:
  - **Accruals.**
  - **Going concern.**
  - **Money measurement.**
  - **Business entity.**
  - **Consistency.**
  - **Historical cost.**
  - **Materiality** (others are obviously possible)
- International Financial Reporting Standards are published by the **International Accounting Standards Board.**
- The two fundamental qualitative characteristics of financial information are:
  - **Relevance.**
  - **Faithful representation.**

  Four other important qualitative characteristics of financial information are:
  - **Comparability.**
  - **Verifiability.**
  - **Timeliness.**
  - **Understandability.**
- *Possible pitfalls:*
  - **Failing to understand the difference between material and immaterial items.**
  - **Thinking that accounting standards are required by law.**
  - **Confusing principles with qualitative characteristics.**

5 Accounting principles and characteristics 26 mins

5.1 **When the owner of a business takes goods from inventory for their own personal use, which of the following accounting principles should be considered?**

A Consistency
B Going concern
C Money measurement
D Business entity

(2 marks)

5.2 Items should be included in the financial statements if their omission would mislead the users of the financial statements.

Which one of the following accounting principles governs this?

A Consistency
B Accruals
C Materiality
D Money measurement

(2 marks)

5.3 A business owns a non-current asset which cost $4,000 and is recorded at its carrying amount in the financial statements.

Which of the following accounting principles has been applied?

A Going concern
B Business entity
C Consistency
D Money measurement

(2 marks)

5.4 Paul has been told that 'Costs should be taken into account in the same period as the associated revenue.'

Which fundamental accounting principle does this reflect?

A Going concern
B Accruals
C Materiality
D Consistency

(2 marks)

5.5 **According to the *Conceptual Framework*, which of the following are fundamental characteristics of financial information?**

(i) Relevance
(ii) Faithful representation

A (i) and (ii)
B (i) only
C Neither (i) nor (ii)
D (ii) only

(2 marks)

5.6 **What accounting principle states that 'For accounting purposes, a business is separate from its owners'?**

A Going concern
B Materiality
C Business entity
D Comparability

(2 marks)

5.7 A number of users would broadly agree that faithful representation has been achieved.

Which qualitative characteristic of financial information is described by this statement?

A Comparability
B Understandability
C Verifiability
D Relevance **(2 marks)**

5.8 A business applies the same depreciation policy to all of its computers.

Which accounting principle does this treatment follow?

A Accruals
B Comparability
C Money measurement
D Business entity **(2 marks)**

5.9 Transactions are stated at the value at which they occurred and are not adjusted at the end of the year.

Which accounting principle is described by this statement?

A Business entity
B Historical cost
C Materiality
D Going concern **(2 marks)**

5.10 **Which qualitative characteristic of financial information can be achieved through a combination of consistency and disclosure?**

A Comparability
B Understandability
C Verifiability
D Relevance **(2 marks)**

5.11 Information may become less useful if there is a delay in reporting it.

Which qualitative characteristic of financial information is described by this statement?

A Comparability
B Understandability
C Verifiability
D Timeliness **(2 marks)**

(Total = 22 marks)

Do you know? – Control accounts and the correction of errors

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- A ..... is an account in which records are kept of transactions involving all customers in total. The balance on this account at any time will be the total amount ..... the business at that time from its customers.
- The balance on the payables control account at any time will be the total amount ..... the business at that time to its suppliers.
- A trial balance includes the balances on the ..... accounts but excludes the balances on the ..... accounts in the receivables and payables ledgers.
- Four reasons for having control accounts are:
  - They provide a check on the ..... of entries made in the personal accounts.
  - They assist in the location of ..... , where postings to the control accounts are made daily, weekly or even monthly.
  - Where there is a separation of clerical duties, they provide an ..... check.
  - They provide a ..... , which can be extracted more quickly and simply than many individual balances in the receivables or payables ledger.
- If the correction of an error involves a double entry in the ledger accounts, then it is done by using a ..... . When the error breaks the rule of double entry it is corrected by the use of a ..... account as well as a ..... .
- Suspense accounts, as well as being used to correct some errors, are also opened when it is not known immediately where to post an amount. When the mystery is solved, the suspense account is ..... and the amount correctly posted using a ..... .
- Suspense accounts are also opened if the ..... does not ..... .
- Bank reconciliations help to identify differences between the ..... and the ..... .
- *Possible pitfalls:*

  Write down the mistakes you know you should avoid.

Did you know? – Control accounts and the correction of errors

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- A **receivables control account** is an account in which records are kept of transactions involving all customers in total. The balance on this account at any time will be the total amount **due** to the business at that time from its customers.
- The balance on the payables control account at any time will be the total amount **owed by** the business at that time to its suppliers.
- A trial balance includes the balances on **control** accounts but excludes the balances on the **personal** accounts in the receivables and payables ledgers.
- Four reasons for having control accounts are:
  - They provide a check on the **accuracy** of entries made in the personal accounts.
  - They assist in the location of **errors**, where postings to the control accounts are made daily, weekly or even monthly.
  - Where there is a separation of clerical duties, they provide an **internal** check.
  - They provide a **total balance**, which can be extracted more quickly and simply than many individual balances in the receivables or payables ledger.
- If the correction of an error involves a double entry in the ledger accounts, then it is done by using a **journal entry**. When the error breaks the rule of double entry it is corrected by the use of a **suspense** account as well as a **journal entry**.
- Suspense accounts, as well as being used to correct some errors, are also opened when it is not know immediately where to post an amount. When the mystery is solved, the suspense account is **closed** and the amount correctly posted using a **journal entry**.
- Suspense accounts are also opened if the **trial balance** does not **balance**.
- Bank reconciliations help to identify differences between the **bank ledger account** and the **bank statement.**
- *Possible pitfalls:*
  - **Confusing entries between the control account and the list of balances.**
  - **Failing to maintain the double entry.**
  - **Confusing items which affect the bank ledger account with items which affect the bank statement.**
  - **Not remembering that 'debit' and 'credit' on a bank statement are expressed from the bank's point of view, not the customer's.**

6 Control accounts and the correction of errors 94 mins

6.1 You were given the following information:

Receivables at 1 January 20X3	$10,000
Receivables at 31 December 20X3	$9,000
Total receipts during 20X3 (including cash sales of $5,000)	$85,000

What was the value of credit sales in the year to 31 December 20X3?

$ ☐

(2 marks)

6.2 George is preparing the general ledger journal entry to write off an irrecoverable debt. He knows that the debit entry should be made in the receivables expense account.

In which general ledger account should the credit entry be made?

A Revenue account
B Bank account
C Receivables account
D Receivables allowance account

(2 marks)

6.3 **Which of the following are reasons for maintaining control accounts?**

(i) To simplify the preparation of final accounts
(ii) To check the accuracy of postings
(iii) To confirm the value of sales
(iv) To assist in locating errors in posting

A (i), (ii) and (iii)
B (i), (iii) and (iv)
C (i), (ii) and (iv)
D (ii), (iii) and (iv)

(2 marks)

6.4 When posting an invoice for car repairs, $870 was entered on the correct side of the motor expenses account. The invoice was for $780.

What correction should be made to the motor expenses account?

A Debit $90
B Credit $90
C Debit $1,650
D Credit $1,650

(2 marks)

6.5 Shirley has prepared the following reconciliation of the balance on the receivables ledger control account in her general ledger to the total of the list of balances on customers' personal accounts:

	$
Balance on general control account	35,776
Less balance omitted from list of balances	452
	35,324
Add sales day book undercast	900
Total of list of balances	36,224

What is the correct balance of receivables to be reported on the statement of financial position?

A $35,324
B $35,776
C $36,224
D $36,676

(2 marks)

6.6 Tony made one error when he posted the total value of invoices from the purchase daybook to the general ledger. He posted $274,865 to the debit side of the purchases account. The correct total was $274,685.

How is the trial balance affected by this error?

A The total of the debit balances and the total of the credit balances will agree, but will be overstated

B The total of the debit balances and the total of the credit balances will agree, but will be understated

C The total of the debit balances will exceed the total of the credit balances

D The total of the credit balances will exceed the total of the debit balances **(2 marks)**

6.7 The balance on Jane's payables ledger control account is $31,554. Jane has discovered that she has not recorded:

(i) A settlement discount of $53 received from a supplier; and
(ii) A supplier's invoice for $622.

What amount should be reported for payables on Jane's statement of financial position?

A $30,879
B $30,985
C $32,123
D $32,229 **(2 marks)**

6.8 Anne has prepared the following reconciliation between the balance on her trade payables ledger control account in her general ledger and the list of balances from her suppliers ledger:

	$
Balance on general ledger control account	68,566
Credit balance omitted from list of balances from payables ledger	(127)
	68,439
Undercasting of purchases day book	99
Total of list of balances	68,538

What balance should be reported on Anne's statement of financial position for trade payables?

$ [ ] **(2 marks)**

6.9 A suspense account shows a credit balance of $130.

This balance could be due to which of the following?

A Omitting a sale of $130 from the receivables account

B Recording a purchase of $130 twice in the purchases account

C Failing to write off a bad debt of $130

D Recording an electricity bill paid of $65 by debiting the bank account and crediting the electricity account. **(2 marks)**

6.10 When Nicola extracted her trial balance, the total of the debit balances exceeded the total of the credit balances by $1,000. She opened a suspense account to make the two totals equal. She then discovered that an invoice received for property repairs for $1,500 was entered as $500 on the credit side of the property repairs account.

What is the revised balance on the suspense account when Nicola corrects this error?

A $Nil
B $2,000 debit
C $2,000 credit
D $3,000 credit **(2 marks)**

6.11 Daljit received a cheque for $950 from his insurance company in settlement of a claim for repairs to a van. The bookkeeper recorded the cheque correctly in the cash day book, but did not complete the double entry. The total of the trial balance did not agree and a suspense account was opened to record the difference.

What journal entry is required to eliminate the balance on the suspense account?

A	Debit	Suspense	$950	
	Credit	Insurance		$950
	Being correction of an error of omission			
B	Debit	Insurance	$950	
	Credit	Suspense		$950
	Being correction of an error omission			
C	Debit	Suspense	$950	
	Credit	Van repairs		$950
	Being correction of an error of omission			
D	Dedit	Van repairs	$950	
	Credit	Suspense		$950
	Being correction of an error of omission			

(2 marks)

6.12 **Which of the following statements is/are correct?**

(i) A separate suspense account should be opened for each error in the ledgers.

(ii) A suspense account is sometimes opened to complete postings while more information is sought on a transaction.

	Correct	Not correct
Statement (i)	O	O
Statement (ii)	O	O

(2 marks)

6.13 Norma's trial balance includes a suspense account with a credit balance of $280. She has discovered that a supplier's invoice for $140 was entered twice in the purchase day book.

What is the balance on the suspense account after this error is corrected?

A $Nil
B $140 credit
C $280 credit
D $420 credit

(2 marks)

6.14 When Jan's trial balance was extracted, the total of the debit balances was $450 less than the total of the credit balances so a suspense account was opened.

When she checked, Jan found that:

(i) A supplier's invoice for $225 had been debited to both the expense account and the payables control account.

(ii) A cash sale for $900 had been omitted from the accounting records.

When these errors are corrected, what is the balance on the suspense account?

A $900 debit
B $900 credit
C $1,800 debit
D $1,800 credit

(2 marks)

6.15 When Pete's trial balance was extracted, the total of the debit balances was $420 less than the total of the credit balances. He opened a suspense account while he checked the entries. He then found that:

(i) A cash sale for $80 was entered correctly in the cash account, but no entry was made in the sales account.

(ii) When journal entries were posted to the general ledger, a debit entry of $100 for expenses was incorrectly posted as a credit entry of $700.

When Pete corrects these errors what is the balance on his suspense account?

A $300 credit
B $460 credit
C $1,140 debit
D $1,300 debit

(2 marks)

6.16 Gusto owns a grocery store and prepares accounts to 31 March each year. On 1 April 2015 he purchased a new delivery van costing $5,000 to use in his business. He incorrectly recorded this as maintenance expenses. Gusto has a policy of depreciating vehicles over 5 years and assumes a nil residual value.

How will the correction of this error affect the profit for the year ended 31 March 2016?

A Increase profits by $4,000
B Increase profits by $5,000
C Decrease profits by $1,000
D Decrease profits by $4,000

(2 marks)

6.17 Your bank account in the general ledger at 31 December 20X3 shows a bank balance of $565 overdrawn. On comparing this with your bank statement at the same date, you discover the following.

(i) A cheque for $57 drawn by you on 29 December 20X3 has not yet been presented for payment.

(ii) A cheque for $92 from a customer, which was paid into the bank on 24 December 20X3, has been dishonoured on 31 December 20X3.

What is the correct overdrawn bank balance to be shown in the statement of financial position at 31 December 20X3?

$ [ ]

(2 marks)

6.18 Elaine is preparing her bank reconciliation. She has noted the following:

(i) The bank has levied charges on her account.
(ii) A cheque payable to S Wright has not been presented at the bank.

Which of the above errors require an entry in the bank account in her general ledger?

A Both (i) and (ii)
B (i) only
C Neither (i) nor (ii)
D (ii) only

(2 marks)

6.19 Your firm's bank statement at 31 October 20X8 shows a balance of $13,400. You subsequently discover that the bank has dishonoured a customer's cheque for $300 and has charged bank charges of $50, neither of which is recorded in your bank account in the general ledger. There are unpresented cheques totalling $1,400. You further discover that an automatic receipt from a customer of $195 has been recorded as a credit in your bank account in the general ledger.

What was the balance on your bank account in the general ledger before correcting the errors and omissions?

A $11,960
B $12,155
C $13,360
D $13,750

(2 marks)

6.20 A business had a balance at the bank of $2,500 at the start of the month. During the following month, it paid for materials costing $1,000 less trade discount of 20% and taking advantage of the settlement discount of 10%. It received a cheque from a customer in respect of an invoice for $200, who took advantage of the available settlement discount of 5%.

What was the balance at the bank at the end of the month?

$ [ ]

(2 marks)

6.21 Margaret checked her bank statement with the bank account in her nominal ledger and found the following differences:

(i) Some cheques have not been lodged by her suppliers.
(ii) The bank credited a personal lodgement to her business account in error.
(iii) The bank debited fees on her account.

Which of the differences require an entry in the bank account in the general ledger?

A (i)
B (ii)
C (iii)
D (ii) and (iii)

(2 marks)

6.22 Linda found the following when carrying out her bank reconciliation:

(i) A cheque for $7,523 has not been presented at the bank.
(ii) A cheque for $560 has been incorrectly recorded as $650 in Linda's ledger.

Which of these items will require an entry in Linda's general ledger?

A (i) only
B (ii) only
C Both (i) and (ii)
D Neither (i) nor (ii)

(2 marks)

6.23 You are preparing a client's final accounts. You know that the client's bookkeeper has correctly completed a reconciliation of the bank balance in the general ledger to the balance on the bank statement. The balances from the general ledger and the bank statement are:

General ledger balance	$2,358 (credit)
Bank statement balance	$1,053 (debit)

The difference between the two balances is explained by unpresented cheques and outstanding lodgements.

How should the bank balance be reported in the final accounts?

A As a current asset of $1,053
B As a current liability of $1,053
C As a current asset of $2,358
D As a current liability of $2,358

(2 marks)

6.24 At 30 April 20X8 the balance on the bank account in Jim's general ledger showed that he had $685 cash at the bank. When he carried out his bank reconciliation, he found that he had omitted bank charges of $722 for the year to 30 April 20X8.

What bank balance should be included on Jim's opening trial balance at 1 May 20X8?

A $685 debit
B $685 credit
C $37 debit
D $37 credit

(2 marks)

6.25 **Which of the following would require an adjustment to be made to both the receivables ledger control account and the list of balances?**

A The sales day book being undercast by $900
B The failure to record anywhere in the books a contra entry between Mr Gibson's receivables ledger account and his payables ledger account
C The posting of an invoice for $150 to the account of Mr Jones rather than Mr Johns
D The figure for the sums received from customers of $3,214 in the cash received day book being posted to the receivables ledger control account as $2,314

(2 marks)

6.26 Fred is reconciling the balance on his payables ledger control account with the total of the list of balances from his payables ledger. A debit balance of $200 on a supplier's account has been included in the list of balances as a credit balance.

What adjustment(s) should be made for this error?

	Control account	*List of balances*
A	Credit $400	Increase total by $200
B	Credit $200	Reduce total by $400
C	No adjustment	Reduce total by $400
D	Debit $400	No adjustment

(2 marks)

6.27 Ned is reconciling the balance on his payables ledger control account with the total of the list of balances from his payables ledger. The purchases day book has been overcast by $1,000.

What adjustment(s) should be made for this error?

	Control account	*List of balances*
A	Debit $1,000	No adjustment
B	Debit $2,000	Reduce total by $2,000
C	Credit $1,000	No adjustment
D	No adjustment	Increase total by $1,000

(2 marks)

6.28 Carol has prepared the following reconciliation of the balance on the payables ledger control account in her general ledger with the list of balances on the payables ledger:

	$
Total list of balances	86,579
Balance omitted from list	1,385
Balance on control account	87,964

What should be reported in Carol's statement of financial position for trade payables?

A A current asset of $86,579
B A current liability of $86,579
C A current asset of $87,964
D A current liability of $87,964

(2 marks)

6.29 The balance on Amy's receivables ledger control account in the general ledger is $100 more than the total listing of the balances on the personal accounts.

Which of the following treatments of an invoice for $100 could have caused this difference?

A The invoice was entirely omitted
B The invoice was entered on the credit side of the personal account
C The invoice was not entered in the personal account
D The invoice was entered twice in the personal account

(2 marks)

6.30 **How should the balance on the receivables ledger control account be reported in the final accounts?**

A As an expense account
B As a non-current asset
C As a current asset
D As a current liability

(2 marks)

6.31 At 1 November 20X4 Brian owed $28,754 to his suppliers. During the year he paid his suppliers a total of $185,844. At 31 October 20X5 he owed $26,189.

What was the value of Brian's credit purchases in the year to 31 October 20X5?

$ ☐

(2 marks)

6.32 **Which of the following statements is/are correct?**

(i) The receivables ledger control account balance must be correct if it agrees with the total of the list of balances from the receivables ledger.

(ii) If there is a difference between the balance on the receivables ledger control account and the total of the list of balances from the receivables ledger, the balance on the control account is always correct.

	Correct	Not correct
Statement (i)	O	O
Statement (ii)	O	O

(2 marks)

6.33 Tony's bookkeeper has prepared the following trade payables ledger reconciliation:

	$
Balance on general ledger control account	78,553
Less discount not recorded in general ledger	128
	78,425
Add debit balance of $100 included on list of balances as credit balance	200
Total of list of balances	78,625

What is the correct payables balance to be reported in the statement of financial position?

A $78,425
B $78,553
C $78,626
D $78,753 **(2 marks)**

6.34 When carrying out the reconciliation of the balance on the receivables ledger control account with the list of balances from the receivables ledger, Tom found the following:

(i) The total of the sales day book was overcast by $90.
(ii) A sales invoice for T. Blair was posted to J. Blair's account.
(iii) An invoice to a customer for $650 had been recorded as $560 in the sales day book.

Which of the errors will require an entry in the general ledger?

A (i), (ii) and (iii)
B (i) and (ii) only
C (i) and (iii) only
D (ii) and (iii) only **(2 marks)**

The following information relates to questions 6.35 and 6.36

While carrying out the reconciliation of the balance on the payables control account in the general ledger with the list of balances from the payable ledger, Celine discovered the following errors:

(i) A payment of $1,700 in full settlement of a balance of $1,714 was correctly recorded on the supplier's account but only $1,700 was posted to the control account.

(ii) The total of the purchase day book was understated by $900.

(iii) A supplier's credit note was incorrectly recorded the daybook as an invoice.

(iv) No entries were made to record an arrangement to offset a balance of $620 against a balance in the receivables ledger.

6.35 **Which of the above errors require a correcting entry in the general ledger?**

A (i) and (ii) only
B (ii) and (iii) only
C (iii) and (iv) only
D (i), (ii), (iii) and (iv) **(2 marks)**

6.36 **Which of the above errors should be dealt with as an adjustment to the list of balances from the payables ledger?**

A (i) and (ii) only
B (ii) and (iii) only
C (iii) and (iv) only
D (i), (ii), (iii) and (iv) **(2 marks)**

6.37 When preparing the reconciliation between the balance on the receivables ledger control account in her general ledger and the total of the list of balances from the personal ledger, Avril discovered the following errors:

(i) An invoice for $375 was entered in the daybook as a credit note.

(ii) An addition error meant that a customer's balance was understated in the personal ledger.

(iii) Avril agreed to offset a balance in the receivables ledger against a balance in the payables ledger, but no entries were made.

Which of the errors require an entry in the general ledger?

A (i), (ii) and (iii)
B (i) and (ii) only
C (ii) and (iii) only
D (i) and (iii) only

(2 marks)

6.38 Jane found the following when carrying out her bank reconciliation based on a bank statement printed from her bank's internet banking website.

(i) Bank interest of $190 on the bank statement had not yet been recorded.

(ii) Due to a problem with the bank's online banking software, the bank had confirmed payments for the last day of the month were not yet appearing on the bank statement. As a result a payment of $1,000 confirmed as received by a supplier and entered in the cash book was not showing on the statement.

Which of these items will require an entry in Jane's general ledger?

	Entry required	Entry not required
Item (i)	O	O
Item (ii)	O	O

(2 marks)

6.39 On 30 June 20X8 the debit balance on the bank account in Pat's general ledger was $1,080. When he carried out his bank reconciliation and having contacted his bank, he found that the general ledger differed from his bank statement because the bank statement contained an error. A receipt for $800 that belonged to another of the bank's customers had been included on Pat's statement. The bank manager stated they would rectify the error in July 20X8.

Taking into account the information above, how should Pat's bank balance be reported in the statement of financial position at 30 June 20X8?

A A current asset of $1,880
B A current asset of $1,080
C A current asset of $280
D A current liability of $280

(2 marks)

(Total = 78 marks)

Do you know? – Accruals and prepayments, receivables and irrecoverable debts

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- ..... are expenses charged against profits which relate to a particular accounting period, even though they have not yet been paid.
- ..... are payments which have been made in one accounting period, but should not be wholly or partly charged against profit until a later period, because they relate to that later period.
- Accruals are ..... and prepayments are ..... in the statement of financial position.
- An ..... debt is a specific debt which is not expected to be repaid.
- If an irrecoverable debt is subsequently paid after it has been written off, the accounting treatment depends upon when it was paid. If it is paid ..... the end of the period it was written off in, the entry for the write-off must be ..... If it is paid ..... the end of the period it was written off in, it is treated as ..... in the ..... .
- An allowance for receivables is an ..... of the debts which are not expected to be repaid. This is expressed as a percentage of the receivables balance.
- When an allowance for receivables is created, the double entry is Dr ..... and Cr ..... .
- The trade receivables balance in the statement of financial position is disclosed ..... of the allowance for receivables.
- A ..... is a liability of uncertain timing or amount.
- *Possible pitfalls:*

  Write down the mistakes you know you should avoid.

Did you know? – Accruals and prepayments, receivables and irrecoverable debts

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- **Accruals** are expenses charged against profits which relate to a particular accounting period, even though they have not yet been paid.
- **Prepayments** are payments which have been made in one accounting period, but should not be wholly or partly charged against profit until a later period, because they relate to that later period.
- Accruals are **liabilities** and prepayments are **assets** in the statement of financial position.
- An **irrecoverable** debt is a specific debt which is not expected to be repaid.
- If an irrecoverable debt is subsequently paid after it has been written off, the accounting treatment depends upon when it was paid. If it is paid **before** the end of the period it was written off in, the entry for the write-off must be **reversed**. If it is paid **after** the end of the period it was written off in, it is treated as **sundry income** in the **statement of profit or loss.**
- An allowance for receivables is an **estimate** of the debts which are not expected to be repaid. This is expressed as a percentage of the receivables balance.
- When an allowance for receivables is created, the double entry is Dr **receivables expense** and Cr **allowance for receivables.**
- The trade receivables balance in the statement of financial position is disclosed **net** of the allowance for receivables.
- A **provision** is a liability of uncertain timing or amount.
- *Possible pitfalls:*
  - **Confusing accruals with prepayments.**
  - **Confusing the double entry when creating or adjusting an allowance for receivables.**

7 Accruals and prepayments 38 mins

7.1 Mr Bod has paid rent of $2,400 for the period 1 January 20X8 to 31 December 20X8. His first accounts are being drawn up for the nine months ended 30 September 20X8.

What should his first accounts show?

A Only a rent expense of $2,400
B A rent expense of $1,800 and a pre-payment of $600
C A rent expense of $1,800 and accrued income of $600
D A rent expense of $2,400, with an explanatory note that this is the usual charge for 12 months

(2 marks)

7.2 Jamie is preparing his trial balance at 31 October 20X7. At 1 November 20X6 he had an accrual of $297 for telephone expenses. During the year to 31 October 20X7 he paid invoices for telephone charges up to 31 October 20X7 of $4,570.

What balance should Jamie include in his initial trial balance at 31 October 20X7 for telephone expenses?

A $4,273 debit
B $4,273 credit
C $4,867 debit
D $4,867 credit

(2 marks)

7.3 Jean's electricity expense account has a debit balance of $1,540. Jean had no opening accrual or prepayment for electricity. The last electricity invoice was for $462 for the 3 months to 30 September 20X7.

What are the correct amounts to be charged to Jean's statement of profit or loss for the year to 30 November 20X7 and reported as an accrual on her statement of financial position at 30 November 20X7 for electricity?

	Charge to statement of profit or loss	*Accrual*
A	$1,694	$154
B	$1,694	$308
C	$1,848	$154
D	$1,848	$308

(2 marks)

7.4 After completing his final accounts, Kevin found that he had understated a prepayment.

How are Kevin's net profit and capital affected by the correction of the error?

	Increased	Decreased
Net profit	O	O
Capital	O	O

(2 marks)

7.5 Lindsey has paid $11,040 for rent for the six month period to 31 August 20X2.

What accrual or prepayment is required when preparing accounts for the year ended 30 June 20X2?

A A prepayment of $1,840
B A prepayment of $3,680
C An accrual of $1,840
D An accrual of $3,680

(2 marks)

7.6 Joan's draft final accounts were prepared including a prepayment for rent of $970. The prepayment should have been $1,170.

When the error is corrected, how will the net profit be affected?

A Net profit will decrease by $200
B Net profit will increase by $200
C Net profit will decrease by $1,170
D Net profit will increase by $1,170

(2 marks)

7.7 Alan prepared his draft final accounts, but did not adjust these for a prepayment of $1,500 and an accrual of $400.

How will Alan's profit and net assets be affected by including the prepayment and accrual?

	Net Profit will	*Net assets will*
A	Increase by $1,100	Reduce by $1,100
B	Reduce by $1,900	Increase by $1,900
C	Increase by $1,100	Increase by $1,100
D	Reduce by $1,900	Reduce by $1,900

(2 marks)

7.8 In the year to 30 September 20X3 Rena paid a total of $2,850 for business car expenses. This includes $350 which Rena paid from her personal funds. There was an opening accrual of $329 on the car expenses account and the closing accrual was $464.

What is the charge for car expenses to be reported in Rena's statement of profit or loss for the year to 30 September 20X3?

$ ☐

(2 marks)

7.9 Beth's draft accounts for the year to 31 October 20X5 showed a loss of $1,486. When she prepared the accounts, Beth did not include an accrual of $1,625 and a prepayment of $834. Beth subsequently adjusted the accounts to reflect the accrual and prepayment.

What was Beth's profit or loss for the year to 31 October 20X5 following the inclusion of the accrual and prepayment?

A A loss of $695
B A loss of $2,277
C A loss of $3,945
D A profit of $1,807

(2 marks)

7.10 Dave Hull is preparing his final accounts for the year to 30 April 20X6. The last payment Dave made for electricity was in March 20X6 when he paid $3,270 for the three months to 28 February 20X6.

What adjustment does Dave need to make when preparing his final accounts for the year to 30 April 20X6?

A A prepayment of $1,090
B An accrual of $1,090
C A prepayment of $2,180
D An accrual of $2,180

(2 marks)

7.11 In September 20X6 Alison paid $7,800 for rent for the four months from 1 October 20X6.

What should be reported on Alison's statement of financial position at 30 November 20X6?

A An accrual of $3,900
B An accrual of $1,950
C A prepayment of $3,900
D A prepayment of $1,950

(2 marks)

7.12 In the year to 30 November 20X6 Norah paid $1,765 for electricity. At 1 December 20X5 she had an accrual of $264 for electricity. At 30 November 20X6 the accrual was $312.

What is the charge for electricity in Norah's statement of profit or loss for the year to 30 November 20X6?

$ ☐

(2 marks)

7.13 At 1 May 20X7 Brian had an opening accrual of $353 for motor expenses. During the year to 30 April 20X8 he paid invoices for motor expenses with a total value of $4,728. He has no closing accrual or prepayment at 30 April 20X8.

What balance should Brian enter on his trial balance for motor expenses?

A $4,375 debit
B $4,375 credit
C $5,081 debit
D $5,081 credit

(2 marks)

7.14 Maureen had an opening accrual of $533 for telephone expenses. During the year she paid invoices with a total value of $2,974. Her closing accrual was $488.

What is the correct charge for telephone expenses in Maureen's statement of profit or loss?

A $1,953
B $2,929
C $3,019
D $3,995

(2 marks)

7.15 **Which of the following statements about accruals are correct?**

(i) Accruals represent expenses that have not yet been paid.

(ii) Accruals have an effect on both the statement of profit or loss and the statement of financial position.

(iii) If accruals exceed prepayments, the business is likely to go bankrupt and will need an allowance for receivables.

A (i) and (ii) only
B (i) and (iii) only
C (ii) and (iii) only
D (i), (ii) and (iii)

(2 marks)

7.16 At 1 November 20X8 Borim had an accrual of $855 for fuel. During the year to 31 October 20X9 he paid invoices with a total value of $11,874. His closing accrual at 31 October 20X9 was $962.

What is the charge for fuel in his statement of profit or loss for the year to 31 October 20X9?

$ ☐

(2 marks)

(Total = 32 marks)

8 Receivables and irrecoverable debts 31 mins

8.1 At 30 April 20X7 the total amount owed to James by his customers was $54,864. At the same date, James calculated that his receivables allowance is $3,775.

How should these balances be reported in James' statement of financial position as at 30 April 20X7?

A $51,089 as a current asset
B $51,089 as a current liability
C $54,864 as a current asset and $3,775 as a current liability
D $54,864 as a current liability, and $3,775 as a current asset **(2 marks)**

The following information relates to questions 8.2 and 8.3

The total amount owed to Robert by his customers at 30 November 20X7 was $78,600. Robert has decided that a balance of $600 should be written off as it is irrecoverable, and determines that an allowance equal to $1\frac{1}{2}$% of the remaining receivables balance should be made. His receivables allowance at 1 December 20X6 was $1,200.

8.2 Robert has made the entry in the receivables expense account to write off the irrecoverable balance.

What other entry does he need to make?

A A debit entry in the revenue account
B A credit entry in the revenue account
C A debit entry in the receivables account
D A credit entry in the receivables account **(2 marks)**

8.3 **How should the movement in the receivables allowance be reflected in the statement of profit or loss?**

A A credit of $21
B A charge of $21
C A credit of $30
D A charge of $30 **(2 marks)**

8.4 Leung makes an allowance for receivables on the basis of the length of time the debt has been outstanding. The analysis of receivables' balances at 30 May 20X2, and the related allowance is:

Length of time debt has been outstanding	*Allowance required*	*Balances at 30.11.X1*
		$
Less than 30 days	Nil	70,866
30 days to 59 days	10% of balances	25,250
60 days and over	50% of balances	10,808

What should the allowance for receivables be?

A $2,525
B $5,404
C $7,929
D $10,808 **(2 marks)**

8.5 Colin allows for potential irrecoverable debts on the basis of the length of time the debt has been outstanding. The aged receivables analysis at 30 September 20X3 and the allowances required are:

Age of debt	$	*Allowance required*
0 – 30 days	56,800	1% of balances
31 – 59 days	37,700	20% of balances
60 days and over	14,900	75% of balances

At 1 October 20X2, Colin's allowance for receivables was $18,765.

Which of the following should be reported in Colin's statement of profit or loss for the year to 30 September 20X3?

A A charge of $518
B A credit of $518
C A charge of $19,283
D A credit of $19,283

(2 marks)

8.6 At 30 November 20X6 the balance on Claire's receivables ledger is $37,890. Clare has decided to write off balances totaling $1,570. She has also calculated that an allowance equivalent to 2.5% of the remaining balances is required.

What value of receivables should be reported in Claire's statement of financial position at 30 November 20X6?

$ ☐

(2 marks)

8.7 **What general ledger entries are required to write off an irrecoverable balance due from a customer?**

A	Debit	Revenue
	Credit	Receivables expense
B	Debit	Receivables expense
	Credit	Revenue
C	Debit	Receivables expense
	Credit	Trade receivables control
D	Debit	Trade receivables control
	Credit	Receivables expense

(2 marks)

8.8 Shirley wishes to write off an irrecoverable receivables balance. She has made the correct entry in the receivables expense account.

What entry is needed to complete the double entry?

A Debit receivables
B Credit receivables
C Debit receivables allowance
D Credit receivables allowance

(2 marks)

8.9 In September 20X1, Dora wrote off an amount of $120 due from a customer who had become bankrupt. However, in January 20X2, she unexpectedly received half of the amount due from that customer. Dora prepares her accounts to 31 December each year.

How should Dora account for this amount?

A As an accrual for $60
B As sundry income of $60 in the statement of profit or loss
C As a new receivable of $60
D As a prepayment of $60

(2 marks)

8.10 In the year to 31 December 20X1, Tracy wrote off an amount of $275 due from a customer who had become bankrupt. She also makes an allowance of 3% of the total receivables balance at the year end. Receivables at 31 December 20X1 were $12,000. The previous year's allowance was for $400.

What amount should be written off to the statement of profit or loss for the year to 31 December 20X1?

A $360
B $635
C $315
D $235

(2 marks)

8.11 At 31 December 20X2 a company's receivables totalled $400,000 and an allowance for receivables of $50,000 had been brought forward from the year ended 31 December 20X1.

It was decided to write off debts totalling $38,000 and to adjust the allowance for receivables to 10% of the receivables.

What charge for receivables expense should appear in the company's statement of profit or loss for the year ended 31 December 20X2?

A $74,200
B $51,800
C $28,000
D $24,200

(2 marks)

8.12 At 1 July 20X3 a limited liability company had an allowance for receivables of $83,000.

During the year ended 30 June 20X4 debts totalling $146,000 were written off. At 30 June 20X4 it was determined that a receivables allowance of $218,000 was required.

What figure should appear in the company's statement of profit or loss for the year ended 30 June 20X4 for receivables expense?

A $155,000
B $364,000
C $281,000
D $11,000

(2 marks)

8.13 A company has received cash for a debt that was previously written off.

Which of the following is the correct double entry to record the cash received?

	Debit	*Credit*
A	Irrecoverable debts expense	Accounts receivable
B	Cash	Sundry income – irrecoverable debts recovered
C	Allowance for receivables	Accounts receivable
D	Cash	Allowance for receivables

(2 marks)

(Total = 26 marks)

Do you know? – Costs of goods sold and the treatment of inventories

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- Inventories are valued at the lower of ..... and .....
  (IAS 2 *Inventories*).
- The formula for calculating cost of goods sold is: ..... + ... – ..... .
- ..... refers to the cost of transporting purchased goods from the supplier to the premises of the business which has bought them.
- The quantity of inventories held at the year end is established by means of a ..... count of items in an annual checking exercise, or by a ..... inventory check.
- There are several pricing techniques for valuing inventories. Three examples are ..... , ... and ..... .
- *Possible pitfalls:*

  Write down the mistakes you know you should avoid.

Did you know? – Costs of goods sold and the treatment of inventories

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- Inventories are valued at the lower of **cost** and **net realisable value** (IAS 2 *Inventories*).
- The formula for calculating cost of goods sold is: **Opening inventory + Purchases – Closing inventory.**
- **Carriage** refers to the cost of transporting purchased goods from the supplier to the premises of the business which has bought them.
- The quantity of inventories held at the year-end is established by means of a **physical** count of items in an annual inventory counting exercise, or by a **continuous** inventory check.
- There are several pricing techniques for valuing inventories. Three examples are **FIFO, continuous weighted average pricing** and **periodic weighted average pricing.**
- *Possible pitfalls:*
  - **Thinking that net realisable value is merely the selling price and forgetting to deduct any costs still to be incurred in getting the inventory ready to sell and selling it.**

9 Costs of goods sold and the treatment of inventories 31 mins

9.1 **In times of rising prices, the FIFO method of inventory valuation, when compared to the average cost method of inventory valuation, will usually result in which of the following?**

A A higher profit and a lower closing inventory value
B A higher profit and a higher closing inventory value
C A lower profit and a lower closing inventory value
D A lower profit and a higher closing inventory value

(2 marks)

9.2 Daniel made an error when he calculated the value of his closing inventory, which means that the inventory is overvalued.

How are his net profits for the year and net assets at the end of the year affected by this error?

	Net profit	*Net assets*
A	Overstated	Understated
B	Overstated	Overstated
C	Understated	Understated
D	Understated	Overstated

(2 marks)

9.3 Your organisation uses the continuous weighted average cost method of valuing inventories. During August 20X1, the following inventory details were recorded:

Opening balance	*30 units valued at $2 each*
5 August	Purchase of 50 units at $2.40 each
10 August	Issue of 40 units
18 August	Purchase of 60 units at $2.50 each
23 August	Issue of 25 units

What is the value of the inventory balance at 31 August 20X1?

A $172.50
B $176.25
C $180.00
D $187.50

(2 marks)

9.4 During May 20X7, Sarah's purchases were $126,500, and her sales were $150,000. Sarah's gross profit was 20% of sales. The value of her inventory at 1 May 20X7 was $12,500.

What was the value of Sarah's inventory at 31 May 20X7?

$ ☐

(2 marks)

9.5 Paul discovered that goods with a cost of $5,000 and a net realisable value of $3,000 have been omitted from the year-end inventory count.

What adjustment should be made to closing inventory?

A Increase of $5,000
B Increase of $3,000
C Increase of $2,000
D Decrease of $2,000

(2 marks)

9.6 **Which method of inventory valuation is used when issues are assumed to be taken from inventory in the order in which they were received?**

A Last in, first out
B First in, first out
C Periodic weighted average
D Continuous weighted average

(2 marks)

9.7 At 30 June 20X2 Dilip's inventory was valued at its cost of $45,400. This included items costing $2,600 which have since been superseded by an updated design. Dilip will be able to sell these items through an agent for $1,400. The agent's commission will be 10% of selling price.

What was the correct value of closing inventory at 30 June 20X2?

A $45,400
B $44,200
C $44,060
D $42,800

(2 marks)

9.8 Lavinia valued her inventory at 31 December 20X2 at its cost of $11,480. This included some items which cost $975 which have been hard to sell. Lavinia intends to have these items repacked at a cost of $225. This will allow her to sell them for $450.

What was the correct value of closing inventory at 31 December 20X2?

$ [ ]

(2 marks)

9.9 **Which of the following is the correct formula to calculate cost of goods sold?**

A Purchases – Opening inventory – Closing inventory
B Purchases + Opening inventory + Closing inventory
C Purchases – Opening inventory + Closing inventory
D Purchases + Opening inventory – Closing inventory

(2 marks)

9.10 Tim has recently commenced trading. The materials he uses in his business are subject to regular price rises. He is unsure how to value his inventory and is trying to decide whether to use first in, first out (FIFO), or continuous weighted average.

Which of the following statements is correct?

A Tim's profit will be unaffected by the method of inventory valuation.
B FIFO will lead to a higher reported profit.
C Continuous weighted average will lead to a higher reported profit.
D The profit figure will be more accurate if FIFO is used.

(2 marks)

9.11 Agnes sold some items of inventory which she had bought for $2,622, for $1,950 in cash.

How are her assets and capital affected by the sale?

	Assets	*Capital*
A	Reduced by $672	Reduced by $672
B	Reduced by $2,622	Reduced by $672
C	Increased by $672	Increased by $2,622
D	Increased by $1,950	Reduced by $672

(2 marks)

9.12 The information below relates to inventory item Z.

March	1	50 units held in opening inventory at a cost of $40 per unit
	17	50 units purchased at a cost of $50 per unit
	31	60 units sold at a selling price of $100 per unit

Under the continuous weighted average cost method (AVCO), what is the value of inventory held for item Z at 31 March?

A $4,000
B $1,800
C $2,000
D $2,500

(2 marks)

9.13 A firm has the following transactions with its product R.

1 January 20X1	Opening inventory: nil
1 February 20X1	Buys 10 units at $300 per unit
11 February 20X1	Buys 12 units at $250 per unit
1 April 20X1	Sells 8 units at $400 per unit
1 August 20X1	Buys 6 units at $200 per unit
1 December 20X1	Sells 12 units at $400 per unit

The firm uses periodic weighted average cost (AVCO) to value its inventory. What is the inventory value at the end of the year?

A $Nil
B $2,057.12
C $2,400.00
D $2,007.20

(2 marks)

(Total = 26 marks)

Do you know? – Non-current assets and depreciation

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- Depreciation is a measure of the ..... , ... or other reduction in the ..... life of a non-current asset through ....., ... or ..... . It is usually calculated using the ..... method or the ..... method.
- Depreciation charges should be ..... over a non-current asset's life and so allocated to the accounting periods which are expected to benefit from the asset's use. The allowance for depreciation is both charged against ..... and deducted from the .... in the statement of financial position.
- The profit or loss on disposal of non-current assets is the difference between the ..... of the asset and the ..... of the asset at the time of sale.
- A ..... is a listing of all non-current assets owned by the organisation, broken down perhaps by department, location or asset type.
- *Possible pitfalls:*

  Write down the mistakes you know you should avoid.

Did you know? – Non-current assets and depreciation

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- Depreciation is a measure of the **wearing out, consumption** or other reduction in the **useful economic** life of a non-current asset through **use, time** or **obsolescence**. It is usually calculated using the **straight-line** method or the **reducing balance** method.
- Depreciation charges should be **spread fairly** over a non-current asset's life and so allocated to the accounting periods which are expected to benefit from the asset's use. The allowance for depreciation is both charged against **profit** and deducted from the **value of the non-current asset** in the statement of financial position.
- The profit or loss on disposal of non-current assets is the difference between the **sale price** of the asset and the **carrying amount** of the asset at the time of sale.
- A **non-current assets register** is a listing of all non-current assets owned by the organisation, broken down perhaps by department, location or asset type.
- *Possible pitfalls:*
  - **Applying the straight line method of depreciation to carrying amount rather than cost.**
  - **Calculating profit or loss on disposal of a non-current asset as the difference between proceeds and cost rather than proceeds and carrying amount.**

10 Non-current assets and depreciation 48 mins

10.1 **What is the purpose of charging depreciation?**

A To allocate the cost less residual value of a non-current asset over the accounting periods expected to benefit from its use

B To ensure that funds are available for the eventual replacement of the asset

C To reduce the cost of the asset in the statement of financial position to its estimated market value

D To comply with the consistency principle

(2 marks)

10.2 Jimi sold a machine which originally cost $14,900. At the date of the sale the accumulated depreciation on the machine was $8,940. The sale proceeds were $7,455.

What is the profit or loss on the sale of the machine?

A Profit of $1,485
B Loss of $1,485
C Loss of $1,495
D Profit of $1,495

(2 marks)

10.3 A non-current asset that originally cost $12,500 was sold at a loss of $4,500. Depreciation had been provided using the reducing balance method, at 20% per annum since its purchase.

Which of the following correctly describes the sale proceeds and length of time for which the asset had been owned?

	Sale proceeds	*Length of ownership*
A	Cannot be calculated	Cannot be calculated
B	Cannot be calculated	2 years
C	$8,000	Cannot be calculated
D	$8,000	2 years

(2 marks)

10.4 A machine was purchased in January 20X6 for $64,000. Depreciation was charged at 50% per annum on the reducing balance method with a full year's charge in the year of purchase. No depreciation is charged in the year of disposal. The company's year-end is 31 December. The machine was sold on 3 April 20Y0 for $2,500.

What is the profit or loss on sale?

A Profit $500
B Profit $562.50
C Loss $1,375
D Loss $1,500

(2 marks)

10.5 Phil's non-current asset register shows a carrying amount of $271,200. However his non-current asset account in the general ledger shows a carrying amount of $251,200. Phil has discovered the difference between the two has arisen because he has not removed a disposed asset from the register.

Which of the following are possible values for the disposal proceeds and profit on disposal of the disposed asset not removed from the register?

A Disposal proceeds of $30,000 and a profit on disposal of $10,000
B Disposal proceeds of $30,000 and a carrying amount of $10,000
C Disposal proceeds of $30,000 and a loss on disposal of $10,000
D Disposal proceeds of $10,000 and a carrying amount of $10,000

(2 marks)

10.6 At 31 December 20X1, Tina owned equipment which had cost $168,500. At that date $66,500 had been charged in respect of depreciation. Tina's accounting policy is to charge depreciation on equipment at a rate of 25% on the reducing balance basis.

What is the depreciation charge to be included in Tina's statement of profit or loss for the year ended 31 December 20X2?

A $66,500
B $42,125
C $25,500
D $16,625

(2 marks)

10.7 A machine cost $9,000. It had an expected useful life of six years, and an expected residual value of $1,000. It has been depreciated at 30% per annum on the reducing balance basis. A full year's depreciation was charged in the year of purchase, with none in the year of sale. During Year 4, it was sold for $3,000.

What was the profit or loss on disposal?

A $87 loss
B $87 profit
C $750 profit
D $750 loss

(2 marks)

10.8 **What is the accounting principle which dictates that non-current assets should be valued at cost, less accumulated depreciation, rather than their enforced saleable value?**

A Materiality
B Business entity
C Consistency
D Going concern

(2 marks)

10.9 A non-current asset was disposed of for $2,200 during the last accounting year. It had been purchased exactly three years earlier for $5,000 and had been depreciated on the reducing balance basis at 20% per annum.

What was the profit or loss on disposal?

$ [ ]

(2 marks)

10.10 By charging depreciation, a business aims to ensure that the cost of non-current assets is spread over the accounting periods which benefit from their use.

Which accounting principle does this relate to?

A Separate entity
B Materiality
C Accruals
D Going concern

(2 marks)

The following information relates to questions 10.11 and 10.12

Arnold bought a machine for use in his business on 1 November 20X4. He gave the supplier a cheque for $11,570 and traded in an old machine. The supplier allowed him $4,430 in part-exchange for the old machine. Arnold depreciates machinery on the reducing balance basis at a rate of 20% per annum. The old machine had cost $12,000 and had been depreciated by $5,856.

10.11 **What was the depreciation charge on the new machine for the year to 31 October 20X5?**

A $886
B $1,428
C $2,314
D $3,200

(2 marks)

10.12 **What was the profit or loss on the trade in of the old machine?**

A Profit of $1,426
B Profit of $1,714
C Loss of $1,426
D Loss of $1,714

(2 marks)

10.13 **Which of the following is/are correct?**

(i) The non-current asset register is part of the double entry system.
(ii) A non-current asset register is required in every organisation's accounting system.
(iii) Assets should be removed from the non-current asset register when they have been fully depreciated.

A (i) only
B (ii) only
C (iii) only
D None of the statements

(2 marks)

10.14 When Michelle purchased a new car, she used her old car in part-exchange. She has made the correct entry for the part-exchange value of $3,500 in the non-current asset disposal account.

What other entry is needed to complete the double entry for the part-exchange value of $3,500?

A A debit entry in the motor vehicles at cost account
B A credit entry in the motor vehicles at cost account
C A debit entry in the bank account
D A credit entry in the bank account

(2 marks)

10.15 On 1 July 20X4 Tom bought a machine for $15,500. He depreciates machinery at a rate of 20% per annum on the reducing balance basis. A full year's depreciation is charged in the year an asset is purchased. His year-end is 31 October.

What was the depreciation charge on the machine for the year to 31 October 20X6?

$ [ ]

(2 marks)

10.16 **Which of the following are reasons for maintaining a non-current asset register?**

(i) To calculate the total balance outstanding on loans raised to buy non-current assets
(ii) To help in carrying out the physical verification of non-current assets
(iii) To calculate the profit or loss on disposal of non-current assets

A (i), (ii) and (iii)
B (i) and (ii) only
C (i) and (iii) only
D (ii) and (iii) only

(2 marks)

10.17 **Which of the following should normally be recorded in a non-current asset register?**

(i) Location of each asset
(ii) Serial number of each asset
(iii) Accumulated depreciation on each asset

A (i) only
B (ii) and (iii) only
C (i) and (iii) only
D (i), (ii) and (iii)

(2 marks)

10.18 Ed's year end is 30 September. He depreciates office furniture at 15% per annum on the straight line basis. A full year's depreciation is charged in the year an asset is purchased, and no depreciation is charged in the year it is sold. In March 20X5 Ed bought office furniture for $80,000.

If he sells the office furniture for $39,000 in July 20X8, what will be Ed's profit or loss on disposal?

A Profit of $7,000
B Loss of $7,000
C Profit of $5,000
D Loss of $5,000

(2 marks)

10.19 Joan acquired a new non-current asset and as part of the purchase she part exchanged an old non-current asset. The entries in her journal include:

Debit	Asset disposal account
Credit	Non-current assets at cost

What aspect of the transaction is recorded by this entry?

A Cash proceeds from disposal of the old non-current asset
B Cash payment for purchase of the new non-current asset
C Transfer of the original cost of the old non-current asset on disposal
D Part exchange value of the old non-current asset

(2 marks)

10.20 Jo sold a non-current asset which had originally cost $87,600 for $43,000. At the date of disposal, the accumulated depreciation on the asset was $45,800.

What was the profit or loss on disposal of the asset?

A $1,200 profit
B $1,200 loss
C $2,800 profit
D $2,800 loss

(2 marks)

(Total = 40 marks)

Do you know? – The accounts of sole traders

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- At the end of the financial year, the balances on income and expense accounts are transferred to the ..... .
- Any balance on drawings will be debited to ..... in the statement of financial position.
- Balances on ..... or ..... or ..... accounts are carried forward to the next accounting period.
- *Possible pitfalls:*

  Write down the mistakes you know you should avoid.

Did you know? – The accounts of sole traders

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- At the end of the financial year, the balances on income and expense accounts are transferred to the **trading, income and expense account.**
- Any balance on drawings will be debited to **owner's capital** in the statement of financial position.
- Balances on **asset** or **liability** or **capital** accounts are carried forward to the next accounting period.
- *Possible pitfalls:*
  - **Confusing statement of financial position and statement of profit or loss items.**
  - **Not dealing correctly with goods taken for own use by the proprietor.**

11 The accounts of sole traders 60 mins

11.1 **Which TWO of the following would NOT be classified amongst current liabilities in the accounts of a business?**

- ☐ An allowance for receivables
- ☐ Accrued interest charges
- ☐ A bank loan repayable in five years
- ☐ Taxation payable

(2 marks)

11.2 The carrying amount of a trader's non-current assets was $200,000 at 1 August 20X0. During the year ended 31 July 20X1 he sold non-current assets for $25,000 on which he sustained a loss of $5,000. The depreciation charge for the year was $20,000.

What was the carrying amount of non-current assets at 31 July 20X1?

A $150,000
B $155,000
C $160,000
D $180,000

(2 marks)

11.3 On 1 December 20X6 Pat borrowed $40,000 at a fixed rate of interest. A single capital repayment is due on 1 December 20X9. During the year to 30 November 20X7 the interest of $300 per month has been paid on the last day of each month.

How should the loan be reported on Pat's statement of financial position at 30 November 20X7?

	Current liability	*Non-current liability*
A	$3,600	$40,000
B	$40,000	$3,600
C	Nil	$40,000
D	$40,000	Nil

(2 marks)

11.4 When he closed his ledger accounts at 30 April 20X7 Luther's wages expense account had a debit balance of $87,963. Luther also had to make an accrual of $1,268 for outstanding wages.

What is Luther's opening balance for wages at 1 May 20X7?

A $1,268 debit
B $1,268 credit
C $87,963 debit
D $87,963 credit

(2 marks)

11.5 At 31 May 20X7 Katie had a loan with an outstanding balance of $30,000. She is required to repay $500 on the 10th of each month.

How should the loan be reported on her statement of financial position at 31 May 20X7?

A As a current liability of $30,000
B As a current liability of $24,000 and a non-current liability of $6,000
C As a current liability of $6,000 and a non-current liability of $24,000
D As a non-current liability of $30,000

(2 marks)

11.6 In September 20X3, Bridget took out a business development loan for $15,000. This is to be repaid in three equal instalments. The first instalment is due for repayment on 1 January 20X5.

How will the outstanding balance be reported in Bridget's statement of financial position at 30 November 20X3?

A $15,000 as a current liability
B $5,000 as a current liability and $10,000 as a non-current liability
C $10,000 as a current liability and $5,000 as a non-current liability
D $15,000 as a non-current liability

(2 marks)

The following information relates to questions 11.7 and 11.8

At 31 December 20X3 Anna's inventory was valued at $6,400 and her trial balance included the following balances:

	Debit	*Credit*
	$	$
Revenue		45,000
Purchases	29,500	
Inventory at 1 January 20X3	5,700	
Carriage inwards	750	
Postage	340	
Wages	6,000	
Advertising	1,900	
Other expenses	2,500	

11.7 **What was Anna's gross profit?**

A $4,710
B $15,110
C $15,450
D $16,200

(2 marks)

11.8 **What amount should have been reported as expenses in Anna's statement of profit or loss?**

$ ☐

(2 marks)

11.9 At 31 March Sally was owed $47,744 by her customers. At the same date her allowance for receivables was $3,500.

How should these balances be reported on Sally's statement of financial position at 31 March?

A $44,244 as a current asset
B $3,500 as a current asset and $47,744 as a current liability
C $47,744 as a current asset and $3,500 as a current liability
D $51,244 as a current asset

(2 marks)

11.10 Colin made a mistake in his calculations which resulted in the value of his closing inventory at 30 April 20X4 being overstated by $900. The value was calculated correctly at 30 April 20X5.

What was the effect of the error on the profit reported in Colin's accounts for each of the two years?

	20X4	*20X5*
A	Overstated by $900	Not affected
B	Overstated by $900	Understated by $900
C	Understated by $900	Not affected
D	Understated by $900	Overstated by $900

(2 marks)

11.11 Kieron is an antiques dealer. His inventory includes a clock which cost $15,800. Kieron expects to spend $700 on repairing the clock which will mean that he will be able to sell it for $26,000.

At what value should the clock be included in Kieron's inventory?

A $15,100
B $15,800
C $25,300
D $26,000

(2 marks)

11.12 On 1 November 20X4 Leah took out a business development loan of $30,000. The loan is to be repaid in 10 equal six monthly instalments. Leah made the first repayment of $3,000 on 1 May 20X5.

How should the outstanding balance of $27,000 be reported on Leah's statement of financial position at 31 May 20X5?

	Current liability	*Non-current liability*
A	Nil	$27,000
B	$6,000	$21,000
C	$21,000	$6,000
D	$27,000	Nil

(2 marks)

11.13 At 1 November 20X4 Dorothy's receivables allowance was $5,670. At 31 October 20X5 she was owed $275,600 by her customers. She has determined that an allowance equivalent to 2% of outstanding balances is required at 31 October 20X5.

What should be reported in Dorothy's statement of profit or loss for the year to 31 October 20X5?

A A credit of $158
B A credit of $5,512
C A charge of $158
D A charge of $5,512

(2 marks)

11.14 Simon, who is a sole trader, made a profit of $22,860 in the year to 30 November 20X5. During the year his drawings were $16,890. At 1 December 20X4 the balance on his capital account was $68,920.

What was the balance on Simon's capital account at 30 November 20X5?

A $29,170
B $62,950
C $74,890
D $108,670

(2 marks)

11.15 **Which of the following is the correct journal entry to write off an irrecoverable debt?**

A	Debit	Revenue
	Credit	Irrecoverable debts
B	Debit	Irrecoverable debts
	Credit	Bank
C	Debit	Receivables
	Credit	Irrecoverable debts
D	Debit	Irrecoverable debts
	Credit	Receivables

(2 marks)

11.16 Harvey's trial balance includes a balance for his drawings.

How should this balance be treated in the final accounts?

A As expenses in the statement of profit or loss
B As income in the statement of profit or loss
C As a reduction in capital
D As an increase in capital

(2 marks)

11.17 Gladys has prepared her draft final accounts, which show a net profit of $24,952 and closing capital of $75,841. She has now found that a supplier's invoice for $250 for advertising expenses was not recorded in her general ledger.

When the error is corrected what are the revised figures for net profit and capital?

	Net profit	*Capital*
A	$24,702	$75,591
B	$24,702	$76,091
C	$25,202	$75,591
D	$25,202	$76,091

(2 marks)

11.18 In the year to 31 May 20X6, Julie paid $2,500 for property repairs. Her bookkeeper treated this as capital expenditure.

What is the effect of this error on Julie's profit for the year to 31 May 20X6, and the value of her assets at that date?

	Understated	*Overstated*
Profit	O	O
Assets	O	O

(2 marks)

11.19 In Theo's statement of profit or loss for the year ended 31 May 20X6 the charge for motor repairs was $2,850. This included an accrual of $220.

When Theo's opening trial balance at 1 June 20X6 is prepared, what is the correct balance on the motor repairs account?

A $220 (debit)
B $220 (credit)
C $2,850 (debit)
D $2,850 (credit)

(2 marks)

11.20 At 31 October 20X6 Janine had an outstanding balance of $24,000 on her bank loan account. The terms of the loan require her to repay $400 on the first day of each month.

How should the loan be reported on Janine's statement of financial position at 31 October 20X6?

	Current liability	*Non-current liability*
A	Nil	$24,000
B	$24,000	Nil
C	$19,200	$4,800
D	$4,800	$19,200

(2 marks)

11.21 **What entries should be made in a sole trader's capital account to record a loss for the period and drawings?**

	Debit	Credit
Loss	O	O
Drawings	O	O

(2 marks)

11.22 At his year-end, Keith had accrued expenses totalling $4,176 and prepaid expenses totalling $3,718.

How should the accrued and prepaid expenses be reported on Keith's statement of financial position?

A As a current asset of $458
B As a current liability of $458
C As a current asset of $4,176 and a current liability of $3,718
D As a current asset of $3,718 and a current liability of $4,176

(2 marks)

The following information relates to questions 11.23 and 11.24

At 31 May 20X8, Janet's general ledger included the following balances:

Trade receivables	$137,850
Receivables allowance at 1 June 20X7	$2,492

Janet has calculated that her receivables allowance should be revised to $2,757.

11.23 **What amount should be reported on Janet's statement of profit or loss for receivables expense?**

A A charge of $265
B A credit of $265
C A charge of $2,757
D A credit of $2,757

(2 marks)

11.24 **How should receivables be reported on Janet's statement of financial position at 31 May 20X8?**

A Current asset of $137,850 and current liability of $2,757
B Current asset of $135,093
C Current asset of $137,850 and current liability of $2,492
D Current asset of $135,358

(2 marks)

11.25 Vikki is preparing her final accounts for the year to 31 October 20X8. The most recent invoice in her records for electricity was a charge of $1,647 for the three months to 31 August 20X8.

What post trial balance adjustment should Vikki make?

A $549 prepayment
B $549 accrual
C $1,098 prepayment
D $1,098 accrual

(2 marks)

(Total = 50 marks)

Do you know? – The extended trial balance

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- An extended trial balance is a ..... , used to keep track of adjustments between the ..... and the ..... .
- The extended trial balance gives a vertical list of all the ledger account balances (the trial balance) with further columns for adjustments, accruals and prepayments and then two pairs of further columns which show whether figures go to the ..... or the ..... .
- The extended trial balance can be computerised. The computer could be programmed to do all the trial balance work itself by extracting the ..... . The extended trial balance could be prepared using a ..... package.
- Normally, when an error is found it is entered into the journal and then the correcting entries are made in the relevant ..... . In practice, some errors are not discovered until the last moment. When this happens, the corrections are entered in the journal and their effect must be noted on the extended trial balance, in the '..... ' column.
- The extended trial balance produces balances which can be taken directly to the ..... and ..... .
- *Possible pitfalls:*

  Write down the mistakes you know you should avoid.

Did you know? – The extended trial balance

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- An extended trial balance is a **worksheet**, used to keep track of adjustments between the **trial balance** and the **final accounts.**
- The extended trial balance gives a vertical list of all the ledger account balances (the trial balance) with further columns for adjustments, accruals and prepayments and then two pairs of further columns which show whether figures go to the **statement of profit or loss** or the **statement of financial position.**
- The extended trial balance can be computerised. The computer could be programmed to do all the trial balance work itself by extracting the **ledger balances.** The extended trial balance could be prepared using a **spreadsheet** package.
- Normally, when an error is found it is entered into the journal and then the correcting entries are in the relevant **ledger accounts.** In practice, some errors are not discovered until the last moment. When this happens, the corrections are entered in the journal and their effect must be noted on the extended trial balance, in the **'other adjustments'** column.
- The extended trial balance produces balances which can be taken directly to the **statement of financial position** and **statement of profit or loss.**
- *Possible pitfalls:*
  - **Confusing statement of profit or loss items with statement of financial position items.**
  - **Subtracting the credit column from the debit column when asked to derive the profit from the ETB statement of profit or loss column totals. You should subtract the debit column from the credit column to arrive at the profit. If the result is negative then there is a loss.**

12 The extended trial balance — 41 mins

The following information relates to questions 12.1 to 12.5 which refer to the trial balance at the end of this section.

On Sebastian Njomo's partially completed extended trial balance **at the end of this section**, each intersection of a column and a row represents a cell. Each cell is referenced by the combination of the relevant column letter and row number. For example, the sales figure of $967,286 is located in cell C5. Use this method to identify the correct cell when answering these questions.

12.1 **Into which cells should this journal entry be posted?**

DR	Purchases	$100	
CR	Drawings		$100

A D31 and E6
B D6 and E31
C D6 and E6
D D31 and E31

(2 marks)

12.2 **Which cells would contain the entries for a prepayment of rent?**

A F38 and G38
B F11 and G11
C F11 and G38
D F38 and G11

(2 marks)

12.3 **Which cells would contain the entries for a reduction in the receivables allowance?**

A F27 and G15
B F27 and G27
C F15 and G27
D F15 and G15

(2 marks)

12.4 **When completing the extended trial balance, what is the value that should be recorded in the statement of profit or loss debit column for advertising and promotions?**

A $37,636
B $37,836
C $41,636
D $41,836

(2 marks)

12.5 **When completing the extended trial balance which is the correct cell for the extension for drawings?**

A H31
B I31
C J31
D K31

(2 marks)

The following questions do NOT refer to the trial balance at the end of this section.

12.6 Ossie is completing his extended trial balance.

Into which columns should he extend the entries for closing inventory?

	Statement of profit or loss columns	*Statement of financial position columns*
A	Debit	Debit
B	Debit	Credit
C	Credit	Debit
D	Debit	Credit

(2 marks)

12.7 When Ossie completed his extended trial balance the totals were:

Statement of profit or loss columns		*Statement of financial position columns*	
Debit	*Credit*	*Debit*	*Credit*
$	$	$	$
129,685	136,894	149,212	142,003

What is Ossie's profit or loss for the period?

A A loss of $7,209
B A loss of $12,318
C A profit of $7,209
D A profit of $12,318 **(2 marks)**

12.8 Priscilla is completing her extended trial balance, which includes balances for depreciation expense and accumulated depreciation.

Into which columns should these balances be extended?

	Depreciation expense	*Accumulated depreciation*
A	Statement of profit or loss debit	Statement of profit or loss credit
B	Statement of financial position credit	Statement of financial position debit
C	Statement of profit or loss debit	Statement of financial position credit
D	Statement of financial position debit	Statement of profit or loss credit

(2 marks)

12.9 Naomi has calculated that her result for the year is a profit.

In which columns of the extended trial balance should Naomi make entries for the profit?

	Debit	Credit
Statement of profit or loss	○	○
Statement of financial position	○	○

(2 marks)

12.10 **Which of the following best describes the purpose of the extended trial balance?**

A To provide a check of the completeness of the general ledger accounts

B To provide a record of adjustments made to the trial balance when calculating the figures for inclusion in the final accounts

C To record unusual transactions

D To make adjustments needed to arrive at the profit reported to the tax authorities **(2 marks)**

12.11 **For which TWO of the following adjustments can an extended trial balance be used?**

☐ Closing inventory
☐ Sales returns
☐ Accruals
☐ Discounts received

(2 marks)

12.12 Louise is completing her extended trial balance. In the statement of profit or loss columns, the total of the debit column is greater than the total of the credit column.

Which of the following could explain this?

A Louise has overstated the credit entry for closing inventory
B Louise has not made any entries for the post trial balance adjustments
C Louise has made a profit
D Louise has made a loss **(2 marks)**

12.13 **Into which statement of profit or loss columns of the extended trial balance should the balances for sales returns and purchases returns be extended?**

	Sales returns	*Purchases returns*
A	Debit	Debit
B	Debit	Credit
C	Credit	Debit
D	Credit	Credit

(2 marks)

12.14 When using an extended trial balance to prepare her final accounts, Cathy decided that she needed to make provision for legal expenses.

Into which columns will balances be extended?

	Statement of profit or loss	*Statement of financial position*
A	Debit	Debit
B	Debit	Credit
C	Credit	Credit
D	Credit	Debit

(2 marks)

12.15 **When the trial balance is being extended, where should the balances for accumulated depreciation be entered?**

A Statement of financial position debit only
B Statement of financial position credit only
C Statement of financial position debit and statement of profit or loss credit
D Statement of financial position credit and statement of profit or loss debit

(2 marks)

12.16 **When the trial balance is extended, in which column should the value of opening inventory be entered?**

A Statement of profit or loss debit
B Statement of profit or loss credit
C Statement of financial position debit
D Statement of financial position credit

(2 marks)

12.17 Val has extended and totalled her extended trial balance, but has not entered the profit or loss for the period. The total of the statement of financial position debit column is less than the total of the statement of financial position credit column.

Which of the following is correct?

A Val has made a profit, and the total of the statement of profit or loss debit column will be less than the total of the statement of profit or loss credit column

B Val has made a loss, and the total of the statement of profit or loss debit column will be less than the total of the statement of profit or loss credit column

C Val has made a profit, and the total of the statement of profit or loss debit column will be greater than the total of the statement of profit or loss credit column

D Val has made a loss, and the total of the statement of profit or loss debit column will be greater than the total of the statement of profit or loss credit column **(2 marks)**

(Total = 34 marks)

	A	B	C	D	E	F	G	H	I	J	K
	Sebastian Njomo										
	Trial balance as at 30 September 20X9										
1		**Balances per ledger**		**Journal entries**		**Post T B adjustments**		**Statement of profit or loss**		**Statement of financial position**	
2											
3		Dr	Cr	Dr	Cr	Dr	Cr	Dr	Cr	Dr	Cr
4		$	$	$	$	$	$	$	$	$	$
5	Sales		967,286								
6	Purchases	535,825									
7	Inventory at 1.10.X8	88,519									
8	Wages	122,456									
9	Carriage inwards	12,982									
10	Discount allowed	6,347									
11	Rent	90,000									
12	Equipment repairs	14,198									
13	Advertising and promotions	39,736		2,000							
14	Telephone	14,522					100				
15	Bad debts	2,734									
16	Electricity	11,529									
17	Stationery	3,382									
18	Vehicle expenses	14,571									
19	Non-current assets at cost										
20	Motor vehicles	95,345									
21	Equipment	168,000									
22	Allowance for depreciation at 1.10.X8										
23	Motor vehicles		62,645								
24	Equipment		89,950								
25	Receivables	105,070									
26	Payables		92,357								
27	Allowance for doubtful debts at 1.10.X8		5,662								
28	Bank account		22,581								
29	Cash on hand	500									
30	Capital account as at 1.10.X8		121,235								
31	Drawings	36,000									
32											
33											
34											
35											
36											
37											
38	Prepayments/Accruals										
39	Totals	1,361,716	1,361,716								
40											

BPP LEARNING MEDIA

Do you know? – Incomplete records

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- When tackling incomplete records questions you may need to:
  - Prepare a(n) ..... if no statement of financial position is given in the question.
  - Write up or complete any ..... transactions and write up the cash receipts and payments account. There will usually be a balancing figure on the cash accounts, typically ..... , ... or ..... .
  - Use mark-ups/gross profit margin percentages or complete the receivables and payables control accounts to help you establish ..... and ..... .
  - Use the ..... equation to derive the profit or loss for the year.
- *Possible pitfalls:*

  Write down the mistakes you know you should avoid.

Did you know? – Incomplete records

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- When tackling incomplete records questions you may need to:
  - Prepare an **opening statement of affairs** if no statement of financial position is given in the question.
  - Write up or complete any **bank account** transactions and write up the cash receipts and payments account. There will usually be a balancing figure on the cash accounts, typically **drawings**, **bankings** or **cash sales**.
  - Use mark-ups/gross profit margin percentages or complete the receivables and payables control accounts to help you establish **sales** and **purchases**.
  - Use the **accounting** equation to derive the profit or loss for the year.
- *Possible pitfalls:*
  - **Not recognising that there are incomplete records.**
  - **Confusing mark-up with gross profit margin.**

13 Incomplete records — 34 mins

13.1 Lennox, a sole trader, has calculated that his cost of sales for the year is $144,000. His sales figure for the year includes an amount of $2,016 being the amount paid by Lennox himself into the business bank account for goods withdrawn for private use. The figure of $2,016 was calculated by adding a mark-up of 12% to the cost of the goods. His gross profit percentage on all other goods sold was 20% of sales.

What is the total figure of sales for the year?

A $172,656
B $177,750
C $179,766
D $180,000

(2 marks)

13.2 At 31 May 20X6 Dave's capital balance was $96,578. During the year to 31 May 20X7, his drawings were $25,764. At 31 May 20X7 his capital balance was $104,864.

What was Dave's profit for the year to 31 May 20X7?

$ [ ]

(2 marks)

13.3 At 31 October 20X6 Gina Dobbs owed her suppliers $13,856. During the year to 31 October 20X7, her payments to suppliers totalled $95,886, and at 31 October 20X7 she owed $11,552.

What is the value of Gina's credit purchases for the year to 31 October 20X7?

A $70,478
B $93,582
C $98,190
D $121,294

(2 marks)

13.4 In the year to 30 November 20X7, Grace Smith obtained a 25% mark up on all her sales.

Her sales for the year totalled $120,600. Her opening inventory was valued at $9,340 and her closing inventory was valued at $11,855.

What was the value of Grace's purchases for the year to 30 November 20X7?

A $87,935
B $92,965
C $93,965
D $98,995

(2 marks)

13.5 Albert does not keep full accounting records. His last accounts show that his capital balance was $42,890. At the year-end he calculated that his assets and liabilities were:

	$
Non-current assets	41,700
Inventory	9,860
Receivables	7,695
Payables	4,174
Bank overdraft	5,537

On reviewing his calculations, you note that he did not include $258 of unpaid invoices for expenses.

What is the value of Albert's closing capital?

A $49,286
B $49,544
C $60,360
D $60,876

(2 marks)

13.6 In the last 12 months, Jenna's capital balance increased by $6,798. In the year her drawings totalled $14,600 and she introduced additional capital of $2,900.

What is Jenna's net profit or loss for the year?

A $4,902 loss
B $18,498 loss
C $4,902 profit
D $18,498 profit

(2 marks)

13.7 In the year to 30 April 20X6, Peter's sales were $182,000. All of his sales were made at a mark up of 30%. His opening inventory value was $11,800 and his closing inventory value was $9,700.

What was the value of Peter's purchases in the year to 30 April 20X6?

A $125,300
B $137,900
C $140,000
D $142,100

(2 marks)

13.8 In the year to 30 April 20X8, Tanya paid a total of $127,569 to her suppliers.

Her opening and closing balances due to suppliers and her opening and closing inventory values were:

	Opening value	*Closing value*
Suppliers	$11,564	$12,826
Inventory	$5,288	$4,184

What was Tanya's cost of sales for the year to 30 April 20X8?

A $125,203
B $126,307
C $127,727
D $129,935

(2 marks)

The following scenario relates to questions 13.9 and 13.10.

In the year to 31 May 20X8, Lesley's sales totalled $600,000 and her cost of sales totalled $480,000.

13.9 **What are the correct figures for Lesley's mark up and margin?**

	Mark-up	Margin
20%	O	O
25%	O	O

(2 marks)

13.10 **What is the correct margin figure if the gross profit mark up is 60%?**

A 60.0%
B 37.5%
C 66.7%
D 150.0%

(2 marks)

13.11 **If sales were $51,000, and cost of sales was $42,500, what was the gross profit percentage?**

A 16.67%
B 20%
C 83.333%
D 120%

(2 marks)

13.12 A business has compiled the following information for the year ended 31 October 20X2:

	$
Opening inventory	386,200
Purchases	989,000
Closing inventory	422,700

The gross profit as a percentage of sales is always 40%

Based on these figures, what is the sales revenue for the year?

A $1,333,500
B $1,587,500
C $2,381,250
D The sales revenue figure cannot be calculated from this information

(2 marks)

13.13 **Which of the following calculations could produce an acceptable figure for a sole trader's net profit for a period if no accounting records had been kept?**

A Closing net assets plus drawings minus capital introduced minus opening net assets
B Closing net assets minus drawings plus capital introduced minus opening net assets
C Closing net assets minus drawings minus capital introduced minus opening net assets
D Closing net assets plus drawings plus capital introduced minus opening net assets **(2 marks)**

13.14 **A business has opening inventory $30,000, achieves a mark-up of 25% on sales, sales totalled $1,000,000, purchases were $840,000. Calculate closing inventory.**

A $30,000
B $40,000
C $120,000
D $70,000

(2 marks)

(Total = 28 marks)

Do you know? – Partnerships

Check that you can fill in the blanks in the statements below before you attempt any questions. If in doubt, you should go back to your BPP Interactive Text and revise first.

- The liability of a partnership to its owners is usually recorded in two accounts.
  - ..... account: records fixed capital of each partner.
  - ..... account: records each partner's share of profits and losses less any drawings made.
- The partnership profit is divided among the partners in the ..... account which follows the statement of profit or loss.
- When a new partner joins an existing partnership, the funds they bring in are .....to their ..... account. The new partner must pay for a share of the partnership's ..... .
- The partners can choose whether to maintain the goodwill in the partnership accounts. If they decide not to, it is ..... to the partners' capital accounts in the new profit sharing ratio.
- *Possible pitfalls*

  Write down the mistakes you know you should avoid.

Did you know? – Partnerships

Could you fill in the blanks? The answers are in bold. Use this page for revision purposes as you approach the exam.

- The liability of a partnership to its owners is recorded in two accounts.
  - **Capital** account: records fixed capital of each partner.
  - **Current** account: records each partner's share of profits and losses less any drawings made.
- The partnership profit is divided among the partners in the **appropriation account** which follows the statement of profit or loss.
- When a new partner joins an existing partnership, the funds they bring in are **credited** to their **capital** account. The new partner must pay for a share of the partnership's **goodwill.**
- The partners can choose whether to maintain the goodwill in the partnership accounts. If they decide not to, it is **debited** to the partners' capital accounts in the new profit sharing ratio.
- *Possible pitfalls*
  - **Splitting profits equally between partners rather than according to a profit-sharing agreement.**
  - **Incorrectly accounting for the goodwill when a new partner joins an existing partnership.**

14 Partnerships 38 mins

14.1 **What double entry is necessary to record interest earned on partners' capital account balances?**

A Debit Partners' current accounts
Credit Appropriation account

B Debit Appropriation account
Credit Partners' current accounts

C Debit Appropriation account
Credit Cash

D Debit Appropriation account
Credit Partners' capital accounts

(2 marks)

14.2 A partnership employs an inexperienced bookkeeper. He has written up the current account of one of the partners as follows.

CURRENT ACCOUNT

	$		$
Interest on capital	2,800	Balance b/f	270
Salary	1,500	Drawings	6,200
Balance c/f	10,870	Net profit	8,700
	15,170		15,170

The balance brought forward is entered correctly and the other entries are all correct in amount. However, the bookkeeper is not very sure of the difference between debits and credits.

What is the corrected balance carried forward?

A A debit balance of $1,530
B A debit balance of $6,530
C A credit balance of $7,070
D A credit balance of $16,470

(2 marks)

14.3 A partner's private petrol bills have been treated as part of the partnership's motor vehicle expenses.

Which of the following entries is necessary to correct the error?

A Debit Drawings account
Credit Motor vehicle expenses account

B Debit Motor vehicles expenses account
Credit Drawings account

C Debit Motor vehicles expenses account
Credit Capital account

D Debit Capital account
Credit Motor vehicle expenses account

(2 marks)

14.4 **What double entry is necessary to record interest payable on partners' drawings?**

A	Debit	Partners' drawings accounts
	Credit	Partners' current accounts
B	Debit	Appropriation account
	Credit	Partners' drawings accounts
C	Debit	Partners' drawings accounts
	Credit	Interest payable account
D	Debit	Partners' current accounts
	Credit	Appropriation account

(2 marks)

14.5 **What does a debit balance on a partner's current account indicate?**

A The firm owes the partner money
B The partner owes the firm money
C The partner's bank account is overdrawn
D The firm has made a loss in recent years

(2 marks)

14.6 Ingrid and Sam are in partnership sharing profits and losses in the ratio 3:4. The statement of profit or loss for the year to 31 May 20X6 reported a net profit of $30,709. Ingrid is entitled to a salary of $14,000 per annum.

What was Sam's share of the profit for the year to 31 May 20X6?

A $7,161
B $9,548
C $17,548
D $25,548

(2 marks)

14.7 Alex and Kim are in partnership. In the year to 31 October 20X6, Alex's drawings were $18,000 and the following entries were made in the partnership appropriation account for Alex:

	$
Salary	6,500
Interest on drawings	1,800
Share of profit	12,750

At 1 November 20X5, the balance on Alex's current account was $24,800 (credit).

What was the balance on Alex's current account at 31 October 20X6?

A $24,250
B $27,850
C $42,250
D $45,850

(2 marks)

14.8 Alec and Carl are in partnership, sharing profits and losses in the ratio 3:2. The statement of profit or loss for the year to 31 October 20X8 reported a profit of $98,500.

Interest on capital has been calculated as:

Alec	$7,900
Carl	$5,100

Both capital and current accounts are maintained in the books of the partnership. Neither partner made any drawings in the year to 31 October 20X8.

What was the increase in the balance on Carl's current account in the year to 31 October 20X8?

A $34,200
B $39,300
C $39,400
D $49,700

(2 marks)

14.9 Bruce and Larry have been in a partnership for several years and share profits and losses equally. On 1 January 20X1, they are going to be joined by a new partner, Eddie. Bruce and Larry estimate that at this date they have goodwill of $12,000. They decide that they will not maintain the goodwill in the partnership's accounts. The new profit sharing ratio between Bruce, Larry and Eddie is 2:2:1.

What adjustments should be made in the partners' capital accounts when the goodwill is removed from the accounts?

A Debit the capital accounts $6,000 (Bruce) and $6,000 (Larry)
B Credit the capital accounts $6,000 (Bruce) and $6,000 (Larry)
C Debit the capital accounts $4,800 (Bruce), $4,800 (Larry) and $2,400 (Eddie)
D Credit the capital accounts $4,800 (Bruce), $4,800 (Larry) and $2,400 (Eddie) **(2 marks)**

14.10 David and Tony have been in partnership, sharing profit and losses in the ratio 3:2.

At 1 July 20X3, Jack was admitted to the partnership when the goodwill was valued at $50,000. The partners drew up a new partnership agreement stating that profits would now be shared equally and that goodwill would not be maintained in the accounts. On 1 July 20X3, the total value of the capital and current balances of David and Tony was $360,000.

How much must Jack contribute to the partnership to ensure that his opening capital balance is nil?

$ [ ] **(2 marks)**

14.11 Sarah and Tanya were equal partners in a business, each with capital of $120,000. It was agreed that Ursula should join the partnership, with all three partners sharing profits equally. For the purpose of admitting the new partner, the value of the goodwill of the business was agreed at $90,000, but goodwill would not be maintained in the accounts. Ursula introduced $80,000 in cash to the business.

What were the balances on the capital accounts of Sarah and Ursula after the admission of Ursula to the partnership?

	Sarah	*Ursula*
A	$120,000	$80,000
B	$135,000	$50,000
C	$150,000	$50,000
D	$165,000	$80,000

(2 marks)

14.12 Bruce and Lee are in partnership. The balances on their capital and current accounts at the start of the financial year were as follows:

	Bruce	*Lee*
	$	$
Capital account	100,000	50,000
Current account	12,000 credit	14,000 credit

Lee is paid a salary of $40,000 per year. Both partners take interest on capital at 6% per year. The residual profits are shared between Bruce and Lee in the ratio 4:3. During the year just ended, the partnership profit was $199,500 and Bruce drew $7,500 each month from the business.

What were the balances on Bruce and Lee's current accounts at the end of the year?

	Bruce	*Lee*
A	$1,800	$107,500
B	$4,000	$121,500
C	$9,800	$118,500
D	$14,000	$121,500

(2 marks)

14.13 Amber and Kieran are in partnership. Amber is entitled to a salary of $19,000 per annum according to the partnership agreement.

The net profit of the partnership for the year ended 31 May 20X5 was $108,255.

The figures for interest on capital and interest on drawings for the year were as follows:

	Amber	*Kieran*
Interest on capital	$10,200	$9,300
Interest on drawings	$2,100	$3,300

What was the residual profit for the year to 31 May 20X5?

A $103,355
B $83,855
C $75,155
D $64,354

(2 marks)

14.14 **Which of the following best describes a partnership?**

A Two people who run a business
B A business arrangement between a number of people who share profit equally
C A relationship that exists between persons carrying on a business in common with a view of profit
D A business arrangement involving shareholders **(2 marks)**

14.15 **Which of the following items would NOT be included in a partnership agreement?**

A The profit sharing ratio
B The maximum amount that any partner can loan to the business
C Interest to be charged on partners' drawings
D Salaries to be paid **(2 marks)**

14.16 Partnership accounts show a capital account and a current account for each partner.

Are the following statements true or false?

	True	False
A wide range of items are recorded in the capital account	☐	☐
The current account normally remains constant from year to year	☐	☐

(2 marks)

(Total = 32 marks)

---

15 Mixed Bank 1 — 48 mins

15.1 Jane is preparing her bank reconciliation. The bank balance in her general ledger is $422 credit. The only items which need to be dealt with are:

(i) A cheque for $822 issued to a supplier which has not yet appeared on the bank statement.
(ii) Interest received of $153 which was credited by the bank, but not recorded by Jane.

What is the closing balance on Jane's bank statement?

A $269 overdrawn
B $1,091 overdrawn
C $553 cash at bank
D $1,397 cash at bank

(2 marks)

15.2 A business should be treated as separate from its owners.

Which accounting principle is described in the above sentence?

A Materiality
B Consistency
C Accruals
D Business entity

(2 marks)

15.3 **Which TWO of the following statements about suspense accounts are true?**

☐ A suspense account is a temporary account.
☐ A suspense account can be opened when a trial balance does not balance.
☐ The balance on the suspense account will be an expense in the statement of profit or loss.
☐ Suspense accounts can only be used for revenue expenditure.

(2 marks)

15.4 Bethan's accounts for the year-ended 30 June 20X5 include an accrual for telephone expenses of $75. During the year ended 30 June 20X6, she makes payments for telephone charges of $1,150, which includes one invoice of $270 for the quarter ending 31 July 20X6.

What will be the charge for telephone expenses in the statement of profit or loss for the year ended 30 June 20X6?

A $1,075
B $985
C $895
D $880

(2 marks)

15.5 Jaya started trading a year ago, selling knitwear she makes with her team of three other knitters. She sells her sweaters at a mark up of 35%. In the first year of trading, she bought wool for her sweaters costing $4,875. Jumper sales in the year were $5,670.

What was the value of Jaya's closing inventory of wool for sweaters?

A $675
B $795
C $911
D $1,190

(2 marks)

15.6 **Which of the following are examples of non-current assets?**

(i) Farm machinery acquired by hire purchase
(ii) Rented office premises
(iii) Laptops used by sales staff
(iv) Bank loan repayable over 10 years

A (i) and (ii)
B (i) and (iii)
C (ii) and (iv)
D (iii) and (iv) **(2 marks)**

15.7 Patrick bought a new cappuccino machine for his café. The purchase price of the machine was $2,500 and Patrick chose to depreciate the machine over five years. He charged a full year's worth of depreciation in the year of acquisition and none in the year of disposal. After 2½ years, Patrick sold the machine for $1,600.

What was the profit or loss on disposal of the machine?

A Profit of $100
B Loss of $100
C Profit of $600
D Profit of $600 **(2 marks)**

15.8 Thomas has prepared his extended trial balance. The total of the statement of profit or loss debits is less than the total of the statement of profit or loss credits. Thomas takes the figure and enters it into the appropriate column for the statement of financial position.

Has Thomas made a profit or a loss for the period and which column will he enter the profit/(loss) in the statement of financial position?

A A profit, entered in the debit column
B A loss, entered in the debit column
C A profit, entered in the credit column
D A loss, entered in the credit column **(2 marks)**

15.9 **Which of the following statements about partnerships are correct?**

(i) In a partnership, the partners always agree to share profits equally.
(ii) In a partnership, the partners are carrying on a business in common with a view to profit.
(iii) New partners cannot join the partnership if they previously worked as an employee for the business.
(iv) The personal liability of each partner for the partnership's liabilities is unlimited.

A (i) and (ii)
B (i) and (iii)
C (ii) and (iv)
D (iii) and (iv) **(2 marks)**

15.10 Patrick is preparing a reconciliation between the total of the list of balances from his receivables ledger, which is $37,552, and the balance on the receivables control account in his general ledger, which is $38,842.

He has found that the following errors have been made:

(i) A debit balance of $1,200 was omitted from the list of balances.
(ii) A credit note for $375 was recorded in the daybook as an invoice.
(iii) The total of the sales invoices in the sales daybook was overstated by $90.

What value should be reported in Patrick's statement of financial position for receivables?

A $38,002
B $38,377
C $38,752
D $38,842 **(2 marks)**

15.11 Manfred's business has net assets at 1 July 20X3 and 30 June 20X4 of $56,750 and $63,260 respectively. During the year, Manfred introduced capital of $5,000 and made drawings of $175 per week.

What profit or loss was made by Manfred's business in the year ended 30 June 20X5?

A Profit of $2,410
B Loss of $2,410
C Profit of $10,610
D Loss of $10,610

(2 marks)

15.12 Sonia is retiring as an ice-cream vendor. She sold her ice-cream van for $1,650. The van originally cost $15,800. At the date of the sale, accumulated depreciation on the van was $12,640.

What was the profit or loss on disposal of the ice-cream van?

A A profit of $1,510
B A loss of $1,510
C A profit of $3,160
D A loss of $3,160

(2 marks)

15.13 Shirley's bank account in the general ledger shows a balance of $1,138 at 31 December. When she compares this balance with her bank statement at the same date, she finds the following differences:

	$
Unpresented cheque	78
Overdraft fees for November	60
Receipts not yet credited by bank	389

What is the corrected balance on the bank account in the general ledger at 31 December?

A $1,060
B $1,078
C $1,276
D $1,527

(2 marks)

The following information relates to questions 15.14 and 15.15.

Vivienne and Robert are in partnership, sharing profits and losses in a ratio of 3:2. They maintain current accounts and fixed capital accounts. In the last year, their profit before appropriations was $27,800. Robert is entitled to an annual salary of $3,800.

During the year Vivienne and Robert made cash drawings of $12,000 each.

15.14 **What is Vivienne's share of the profit?**

$ ☐

(2 marks)

15.15 The correct entries for the partners' drawings have been made in the cash account.

What entries are needed to complete the posting for the partners' drawings?

A Debit entries in the partners' capital accounts
B Credit entries in the partners' capital accounts
C Debit entries in the partners' current accounts
D Credit entries in the partners' current accounts

(2 marks)

15.16 Pam runs a restaurant. In November 20X8 she received a letter from a solicitor representing a customer who claims she suffered food poisoning after eating in the restaurant. The customer is claiming damages of $2,000. Pam offered to pay $400. Her solicitor's advice is that in the event of the case going to court, she is likely to be required to pay $1,200. The solicitor also advised that the court case is unlikely to take place before May 20X9.

What amount should be provided for in respect of the claim in Pam's final accounts for the year ended 31 December 20X8?

A $Nil
B $400
C $1,200
D $2,000

(2 marks)

15.17 Joyce's trial balance has been completed and extended. The totals of the statement of profit or loss columns and the statement of financial position columns are:

Statement of profit or loss		*Statement of financial position*	
Debit	*Credit*	*Debit*	*Credit*
$100,478	$110,536	$120,621	$110,563

What is Joyce's profit or loss?

A Profit of $10,058
B Loss of $10,058
C Profit of $10,085
D Loss of $10,085

(2 marks)

15.18 Scarlett is preparing the final accounts for a business. The cost of the items in closing inventory is $41,875. This includes some items which cost $1,960 and which were damaged in-transit. She has estimated that it will cost $360 to repair the items, and that they can then be sold for $1,200.

What is the correct inventory valuation for inclusion in the final accounts?

A $39,915
B $40,755
C $41,515
D $42,995

(2 marks)

15.19 Bjorn has prepared the following bank reconciliation at 31 December:

	$
Balance on bank statement	974 credit
Outstanding cheques	(348)
Outstanding lodgement	262
Balance on ledger account	888 debit

What balance should be reported for cash in Bjorn's statement of financial position as at 31 December?

A $888 as a current asset
B $888 as a current liability
C $974 as a current asset
D $974 as a current liability

(2 marks)

15.20 Owen allows customers to return faulty goods within 14 days of purchase. At 30 November 20X5 he made a provision of $6,548 for sales returns. At 30 November 20X6 he has calculated that his provision should be $7,634.

What should be reported in Owen's statement of profit or loss for the year to 31 October 20X6 in respect of the provision?

A A charge of $7,634
B A credit of $7,634
C A charge of $1,086
D A credit of $1,086

(2 marks)

(Total = 40 marks)

16 Mixed Bank 2 — 48 mins

16.1 Edith has estimated that at 31 May 20X6, she had the following assets and liabilities:

	$
Non-current assets	33,750
Inventory	4,845
Trade receivables	11,248
Trade payables	9,633
Bank overdraft	539

On checking, you note that she also had a prepayment for rent of $520.

What was the value of Edith's capital at 31 May 20X6?

A $39,151
B $40,191
C $40,229
D $41,269

(2 marks)

16.2 **Which TWO of the following costs should be classified as capital expenditure in the accounts of a business?**

- ☐ The cost of an extension to the premises
- ☐ The cost of redecorating premises
- ☐ The cost of roof repairs on premises
- ☐ Solicitors' fees in connection with the acquisition of premises

(2 marks)

16.3 **Are the following statements true or false?**

		True	False
(i)	Control accounts can help to speed up the preparation of draft accounts by providing the statement of financial position values for trade receivables and trade payables.	○	○
(ii)	Control accounts are always used in double entry bookkeeping	○	○

(2 marks)

16.4 **Which of the following items should be included in the calculation of gross profit?**

A Carriage inwards
B Carriage outwards
C Depreciation of head office building
D Salaries of administrative staff

(2 marks)

16.5 Chimwe purchased a new non-current asset, and paid for this by cheque. At the same time a bank loan was raised to provide some of the funds needed for the purchase.

What entry correctly records the purchase of the non-current asset?

A	Debit	Non-current assets
	Credit	Bank
B	Debit	Non-current assets
	Credit	Bank loan
C	Debit	Bank
	Credit	Non-current assets
D	Debit	Bank loan
	Credit	Non-current assets

(2 marks)

16.6 Jodie is carrying out a reconciliation of the bank account in her general ledger with the balance on her bank statement. She has found the following reasons for the difference between the two balances:

(i) Some cheques paid to suppliers have not been presented at the bank.
(ii) The bank has made charges on Jodie's account.
(iii) A customer has paid $980 directly into Jodie's bank account.

Which of the above items will require an entry in the general ledger?

A (i) and (ii)
B (ii) and (iii)
C (i) and (iii)
D (i), (ii) and (iii)

(2 marks)

16.7 Rashid held the following inventory at 30 April 2016:

Units	Cost per unit	Selling price per unit	Selling costs per unit
200	$13.50	$15.00	$2.50

What should be the closing inventory balance as at 30 April 20X6?

A $2,500
B $3,000
C $2,700
D $3,200

(2 marks)

16.8 **Which quality of financial information is described as being complete, neutral and free from error?**

A Relevance
B Understandability
C Faithful representation
D Comparability

(2 marks)

16.9 Your payables ledger control account has a balance at 1 October 20X8 of $34,500 credit. During October, credit purchases were $78,400, cash purchases were $2,400 and payments made to suppliers, excluding cash purchases, and after deducting settlement discounts of $1,200, were $68,900. Purchase returns were $4,700.

What was the closing balance?

A $38,100
B $40,500
C $47,500
D $49,900

(2 marks)

16.10 Bert is preparing his trial balance and has included cash sales of $2,450 as a credit balance of $2,540.

If this was the only error in the year, what will be the opening balance on his suspense account?

A $90 Dr
B $90 Cr
C $180 Dr
D $180 Cr

(2 marks)

16.11 **Which of the following errors will not be revealed by extracting a trial balance?**

(i) Error of transposition
(ii) Error of original entry
(iii) Error of reversal
(iv) Complete omission

A (i), (ii) and (iii)
B (ii), (iii) and (iv)
C (ii) and (iii)
D (ii) and (iv)

(2 marks)

16.12 Flora received an invoice for $96 on 2 October 20X2 relating to stationery costs for September 20X2, but she omitted to record it.

What was the effect of this error on the profit for the year to 30 September 20X2 and the net assets at the year-end?

A Both profit and net assets were understated
B Both profit and net assets were overstated
C Profit was understated and net assets were overstated
D Profit was overstated and net assets were understated **(2 marks)**

16.13 Steve's furniture business has cash of $3,575, trade receivables of $2,750, inventory worth $21,870 and a bank loan of $5,600. He rents his showroom from the owner of the premises for $12,000 a quarter, paid in advance on the 1 of February, May, August and November each year.

What is the capital balance at 31 December 20X1?

A $34,595
B $25,595
C $22,595
D $28,195 **(2 marks)**

16.14 Naomi received a supplier statement from John showing she owed John $56,438. This did not agree with John's account balance in Naomi's payables ledger. The following discrepancies were identified:

(1) A cheque from Naomi for $4,243 had not been received by John
(2) Naomi had not yet received an invoice from John for $2,130.

What is the correct amount owed to John by Naomi?

$ ☐ **(2 marks)**

16.15 Kuldip has written off a customer's outstanding balance in his accounts for the year ended 30 September 20X1. However, the customer paid the full amount of the outstanding balance of $277 in December 20X1.

How should Kuldip account for the payment made by the customer?

A Credit the receivables expense account in the statement of profit or loss
B Create an accrual in the statement of financial position
C Treat it as sundry income in the statement of profit or loss
D Create a provision for the amount received **(2 marks)**

16.16 Jemima has petty cash of $53 and a bank overdraft (repayable on demand) of $787 at the year-end.

How should these balances be presented in her statement of financial position at the year-end?

A Current asset of $53 and current liability of $787
B Current liability of $53 and non-current liability of $787
C Current asset of $53 and non-current liability of $787
D Non-current asset of $53 and non-current liability of $787 **(2 marks)**

16.17 **Which of the following are acceptable methods of valuing inventory in accordance with IAS 2 *Inventories*?**

(i) First in, first out
(ii) Last in, first out
(iii) Periodic weighted average
(iv) Continuous weighted average

A (i), (iii) and (iv)
B (ii), (iii) and (iv)
C (i) and (ii)
D (iii) and (iv) **(2 marks)**

16.18 Jas had the following figures in her accounts at the year end:

Revenue	$64,200
Purchases	$27,500
Opening inventory	$4,700
Closing inventory	$6,800
Carriage outwards	$750
Carriage inwards	$980

What was Jas' gross profit for the year?

A $37,820
B $38,050
C $38,800
D $39,780

(2 marks)

16.19 George has built his own garage for his car repair business.

Which of the following costs can he capitalise in respect of the garage?

(i) Bricks and cement
(ii) Costs of employing Arthur to help with the building work
(iii) Insurance costs for the garage
(iv) Repair costs for the garage door

A (i) and (ii)
B (i), (ii) and (iii)
C (ii), (iii) and (iv)
D (i) and (iii)

(2 marks)

16.20 Nutan has prepared her year-end accounts for the year ended 31 December 20X1 but has forgotten to make adjustments for the rental charge of the photocopier and telephone charges. She pays the rental charge on the photocopier monthly in advance, paying $150 each month. The telephone bill for the quarter ended 31 January 20X2 is $270.

What adjustments are required to correct these?

A Prepayment of $150; accrual of $180
B Prepayment of $150; accrual of $90
C Accrual of $150; prepayment of $180
D Accrual of $150; prepayment of $90

(2 marks)

(Total = 40 marks)

17 Mixed Bank 3 — 48 mins

17.1 You are preparing the final accounts for a partnership, and have to include the following items:

(i) Partners' salaries
(ii) Staff salaries
(iii) Interest on a loan from a partner

Which of the items should be included in the calculation of profit for the year in the statement of profit or loss?

A (i) and (ii)
B (i) and (iii)
C (ii) and (iii)
D (i), (ii) and (iii)

(2 marks)

17.2 Archibald, a market trader, employs his wife in the business at a monthly salary of $450. She has not received the salary since October 20X1. The business accounts are prepared for the year ended 31 December 20X2.

How should the amount owing to her should be included in Archibald's accounts?

A A credit in the statement of profit or loss; receivable in the statement of financial position
B A debit in the statement of profit or loss; payable in the statement of financial position
C A credit in the statement of profit or loss; payable in the statement of financial position
D A debit in the statement of profit or loss; receivable in the statement of financial position

(2 marks)

17.3 When Paul's extended trial balance was extended and totalled, the totals were:

Statement of profit or loss		*Statement of financial position*	
Debit	*Credit*	*Debit*	*Credit*
$97,945	$120,634	$84,752	$62,063

What was Paul's profit or loss?

A $22,689 loss
B $22,689 profit
C $35,882 loss
D $35,882 profit

(2 marks)

17.4 Bill uses the first in, first out method of inventory valuation. At 1 May 20X8 he had 60 units in inventory at a total value of $1,320. The movement on his inventory in May 20X8 was:

Receipts	14 May	120 units at $22.20
	26 May	150 units at $22.30
Revenue	18 May	90 units
	28 May	80 units

What was the value of Bill's inventory at 31 May 20X8?

$ ☐

(2 marks)

17.5 Wilson has returned goods to his supplier. The goods were intended for resale and were bought on credit.

What journal entry should Wilson make in his general ledger?

A	Debit	Purchase returns
	Credit	Trade payables
B	Debit	Trade payables
	Credit	Bank
C	Debit	Bank
	Credit	Trade payables
D	Debit	Trade payables
	Credit	Purchase returns

(2 marks)

The following information relates to questions 17.6 and 17.7.

Tony sold a non-current asset with a carrying amount of $1,500 for $1,600. The cash received was correctly recorded in the bank account, but was credited to the revenue account. Tony made no entries in the non-current asset accounts in the general ledger in respect of the sale.

17.6 **What action should be taken to ensure that the debit and credit totals of the trial balance agree?**

A Open a suspense account with a debit balance of $1,500
B Open a suspense account with a debit balance of $1,600
C Open a suspense account with a debit balance of $3,100
D A suspense account is not needed as the total will agree

(2 marks)

17.7 **If the error is not corrected before the final accounts are prepared, how will the net profit be affected?**

A Net profit will be correct
B Net profit will be overstated by $100
C Net profit will be overstated by $1,500
D Net profit will be overstated by $1,600

(2 marks)

17.8 Minnie calculated that her receivables allowance at 30 April 20X7 should be $890. At 30 April 20X6, her receivables allowance was $770.

How should the movement in the receivables allowance be recorded in Minnie's statement of profit or loss?

A A charge of $890
B A credit of $890
C A charge of $120
D A credit of $120

(2 marks)

17.9 **What does a debit balance of $1,250 on X's account in the books of Y mean?**

A X owes $1,250 to Y
B Y owes $1,250 to X
C X has returned goods worth $1,250 to Y
D Y has returned goods worth $1,250 to X

(2 marks)

The following information relates to questions 17.10 and 17.11.

Jamie is preparing a reconciliation of the balance on the payables ledger control account in the general ledger to the total of the list of balances on the accounts in the payables ledger. He has discovered the following:

(i) A debit balance on a supplier's account was listed as a credit balance.
(ii) An invoice for $378 was entered in the purchase day book as $387.

17.10 **Which of the errors will require an adjustment to the payables ledger control account in the general ledger?**

A Neither (i) nor (ii)
B (i) only
C (ii) only
D Both (i) and (ii)

(2 marks)

17.11 **Which of the errors will require an adjustment to the list of balances?**

A Neither (i) nor (ii)
B (i) only
C (ii) only
D Both (i) and (ii)

(2 marks)

17.12 Denise's trial balance does not agree by $700.

Which of the following errors could have caused this difference?

A A stationery payment of $350 has been debited to a non-current asset account

B A laptop costing $350 has been credited to the purchases account

C A $700 cheque received from P Jones has been credited to S Jones' account in the payables ledger

D A $700 cheque for wages has been debited to the rent account **(2 marks)**

17.13 Morph's art and craft business has suffered some bad publicity as a result of a customer claiming to be suffering from skin rashes as a result of using a new brand of paint sold in Morph's shop. The customer wrote to Morph in November 20X3, threatening to take him to court and claiming damages of $5,000. Morph's lawyer has advised him that if the case goes to court, he is likely to have to pay the customer $3,000.

What amount should Morph include as a provision in his accounts for the year ended 31 December 20X3?

$ ☐

(2 marks)

17.14 According to IAS 2 *Inventories* inventory must be valued at the lower of cost and net realisable value.

Which of the following can be included in cost?

(i) Cost of purchase
(ii) Cost of selling
(iii) Cost of conversion
(iv) Cost of storage

A (i) and (ii)
B (i) and (iii)
C (ii) and (iv)
D (ii) and (iii)

(2 marks)

17.15 **Which of the following statements about depreciation is correct?**

A Depreciation is a cash expense in the statement of profit or loss
B Depreciation is a fund set aside for future replacement of a non-current asset
C Depreciation is a way of spreading the cost of a non-current asset over its useful life
D Depreciation is a method of reflecting the revised value of an asset

(2 marks)

17.16 Harminder's shoe business had opening inventory of $2,050 at 1 January 20X5. His closing inventory at 31 December 20X5 was valued at $1,570. Revenue for the year totalled $25,730. Harminder makes a mark up of 25% on cost of all shoes he sells.

What was the cost of Harminder's purchases during the year?

A $13,672
B $19,624
C $20,104
D $25,250

(2 marks)

17.17 **Which of the following is likely to be included in a partnership agreement?**

(i) Any salaries to be paid to partners
(ii) The proportion in which residual profit will be shared amongst partners
(iii) The detailed roles of each partner in the day-to-day running of the business
(iv) The amount of drawings permissible for each partner

A (i) and (ii)
B (i), (ii) and (iv)
C (ii) and (iii)
D (ii), (iii) and (iv)

(2 marks)

17.18 Peppa has just started trading as a florist but is a bit confused as to the difference between capital and revenue expenditure. She bought a new delivery van in the year for $1,500 but has expensed it all instead of capitalising it.

What effect will this have on her profit and net assets figures for the year?

	Understated	*Overstated*
Profit	O	O
Net assets	O	O

(2 marks)

17.19 Simon receives an invoice from a supplier for some printing paper which he had ordered. The invoice is for $132 but Simon enters it into the books as $123 by mistake.

What type of error has Simon made?

A Error of omission
B Error of transposition
C Error of commission
D Error of principle

(2 marks)

17.20 Andrea and Kev are in a partnership, sharing profits in the ratio 3:2. Kev is paid a salary of $5,000. Profit for the year is $64,000.

How much of the total profit is each partner entitled to?

	Andrea	*Kev*
A	$35,400	$28,600
B	$35,400	$23,600
C	$40,400	$23,600
D	$40,400	$28,600

(2 marks)

(Total = 40 marks)

18 Mixed Bank 4 — 48 mins

18.1 Jay opened a bike shop last year. He sells his products at a mark up of 35%. In the first year of trading, he bought goods for $73,700. His sales in the year were $85,900.

What is the value of Jay's closing inventory?

A $10,070
B $12,200
C $16,470
D $17,865

(2 marks)

The following information relates to questions 18.2 and 18.3.

Ethel's trial balance includes the following balances:

Trade receivables	$136,853 debit
Receivables allowance	$14,862 credit

18.2 **If no further entries are needed, how should these balances be reported on Ethel's statement of financial position?**

	Current asset	*Current liability*
A	$136,853	$14,862
B	$121,991	Nil
C	$14,862	$136,853
D	Nil	$121,991

(2 marks)

18.3 **If Ethel calculates that her receivables allowance should be revised to $13,854, what should be reported for receivables expense in her statement of profit or loss?**

A A charge of $13,854
B A credit of $13,854
C A charge of $1,008
D A credit of $1,008

(2 marks)

18.4 Gayle paid for office cleaning in cash. She made the following entries in her general ledger:

Debit Trade payables
Credit Office cleaning expenses

Which accounts require a correcting entry?

A Office cleaning expenses and cash only
B Office cleaning expenses and trade payables only
C Cash and trade payables only
D Office cleaning expenses, cash and trade payables

(2 marks)

18.5 Trevor's trial balance includes a suspense account with a debit balance of $900. He has discovered that:

(i) A supplier's invoice for $16,700 was posted to the correct side of the purchases account as $17,600 (the correct entry was posted to the payables control account); and

(ii) A cheque for $900 has not been recorded in his ledger.

What is the balance on the suspense account after these errors are corrected?

A Nil
B $900 Dr
C $1,800 Dr
D $2,700 Dr

(2 marks)

18.6 The payables ledger control account balance at 1 January 20X0 was $10,000.

In the year to 31 December 20X0 these transactions occurred:

	$
Credit notes received	1,500
Cash paid to suppliers	30,000
Purchases from suppliers	40,000
Contras with receivables ledger	1,000

What was the balance on the payables ledger control account at 31 December 20X0?

$ [ ]

(2 marks)

18.7 Fred correctly recorded his August sales of $2,652 (inclusive of sales tax at 20%) in his receivables ledger control account and the sales account, but forgot to make a posting to his sales tax account.

If this was his only error in the year what was the balance on his suspense account?

A $442 credit
B $442 debit
C $884 credit
D $884 debit

(2 marks)

18.8 Jane sells baby clothes and accessories in her designer boutique. At 31 December 20X5, she had inventory of 15 baby sleeping bags left, valued at $25 each (their cost price). During the year ended 31 December 20X6, she purchased a further 75 baby sleeping bags at $25 each, and she sold a total of 65 sleeping bags, making sales of $2,275. There were 25 sleeping bags left in inventory at the year-end, each valued at their cost price of $25.

What was Jane's gross profit for the baby sleeping bags?

A $150
B $650
C $1,400
D $1,275

(2 marks)

18.9 **How should carriage costs be treated in the statement of profit or loss when the purchaser pays?**

A As purchases costs
B As selling and distribution costs
C As sundry income
D As discounts received

(2 marks)

18.10 A business depreciates some of its laptops over a useful life of three years and some of them over a useful life of five years.

What accounting principle is not being applied in this scenario?

A Historical cost
B Accruals
C Materiality
D Consistency

(2 marks)

18.11 **Which TWO of the following adjustments can an extended trial balance be used for?**

- ☐ Depreciation
- ☐ Suspense accounts
- ☐ Accruals
- ☐ Discounts received

(2 marks)

18.12 Vera's trade payables at 1 June 20X4 were $79,654. On 31 May 20X5 she had trade payables of $68,912. During the year, she paid her suppliers a total of $178,970.

What were Vera's purchases in the year?

A $168,228
B $178,970
C $189,712
D $247,882

(2 marks)

18.13 Leandra recently started trading as an on-line designer handbag store. Her understanding is that inventory should always be valued at cost. At the year-end, she valued her inventory of handbags at $15,700, being the cost price of the bags she had left in stock. However, this included handbags costing $6,350 which were manufactured by a designer who has fallen from favour in the fashion world. Leandra subsequently decided to reduce the selling price of these to 10% of their cost price.

What was the correct value of the inventory at the year-end?

A $9,350
B $9,985
C $15,065
D $15,700

(2 marks)

18.14 Prisha has prepared her year-end accounts but is unsure what to do in respect of a customer who came into her shop recently and slipped on the floor. The customer is threatening to sue Prisha for $5,000 as a result of the injuries sustained from the fall. Prisha has offered to pay $250, although her lawyer thinks it is very unlikely that the claim will succeed.

What amount should Prisha include as a provision in her accounts?

A $Nil
B $250
C $2,500
D $5,000

(2 marks)

18.15 Stuart owns a furniture shop. In June 20X6, he made the following sales and purchases of sofabeds:

1 June 20X6	20 units in inventory at $90 each
3 June 20X6	Purchased 40 units at $85 each
17 June 20X6	Sold 30 units
19 June 20X6	Purchased 50 units at $75 each
24 June 20X6	Sold 55 units

What was the value of closing inventory at 30 June 20X6 using the first in, first out method?

A $1,875
B $2,025
C $2,125
D $2,650

(2 marks)

18.16 Joe is registered for sales tax and has purchased goods for resale costing $567.50. This amount includes sales tax of 20%.

What debit entry should be made in the goods for resale account?

A $454.00
B $473.00
C $567.50
D $603.25

(2 marks)

18.17 When Ed prepared his year-end accounts, he expensed the purchase price of his new delivery van instead of capitalising it.

What effect will this error have on Ed's profit for the year and his net assets at the year-end?

A Both profit and net assets will be understated
B Both profit and net assets will be overstated
C Profit will be understated and net assets will be overstated
D Profit will be overstated and net assets will be understated

(2 marks)

18.18 Hema opened a hair salon last year. She sells haircare products such as shampoo, conditioner and styling products as well as cutting and styling people's hair. She buys haircare products from the wholesaler and sells them at a mark up of 25%. In the first year of trading, she bought haircare products for $2,100. Her sales in the year were $2,335.

What is the value of Hema's closing inventory of haircare products?

$ [ ]

(2 marks)

18.19 At 1 January 20X1, Laura's bank balance was $1,170. During the year, she issued cheques to suppliers totalling $47,286. Her total lodgements during the year were $53,492. She incurred bank charges of $48 for going overdrawn in July 20X1.

What was Laura's balance brought forward at 1 January 20X2 as per her accounting records?

A $4,988 credit
B $4,988 debit
C $7,328 credit
D $7,328 debit

(2 marks)

18.20 At Deepa's year-end, the balance on the receivables control account in the general ledger is $33,735 and the total of the list of balances on the customers' accounts is $33,235. Deepa has investigated and found out that the difference is because a receipt for $50 was entered correctly in the day book but was recorded as $550 on the customer's account.

What is the correct value of receivables to be reported on Deepa's statement of financial position at the year-end?

A $33,185
B $33,235
C $33,735
D $33,785

(2 marks)

(Total = 40 marks)

19 Mixed Bank 5 — 48 mins

19.1 During the year to 30 November 20X5, Amanda bought goods for resale at a cost of $75,550. Her inventory at 1 December 20X4 was valued at $15,740. She did not count her inventory at 30 November 20X5, but she knows that her sales for the year to 30 November 20X5 were $91,800. All sales were made at a mark up of 20%.

Based on the information above, what was the value of Amanda's inventory at 30 November 20X5?

A $13,630
B $14,790
C $16,690
D $17,850

(2 marks)

19.2 Darren is a second hand car dealer. If a car develops a fault within 30 days of the sale, Darren will repair it free of charge.

At 30 April 20X4 Darren had made a provision for repairs of $2,500. At 30 April 20X5 he calculated that his provision should be $2,000.

What entry should be made for the provision in Darren's statement of profit or loss for the year to 30 April 20X5?

A A charge of $500
B A credit of $500
C A charge of $2,000
D A credit of $2,000

(2 marks)

19.3 In Benni's records for the year to 31 October 20X8, expenditure on a depreciable asset has been incorrectly classified as revenue expenditure.

If the error is not corrected, what is the effect on Benni's profit for the years to 31 October 20X8 and 20X9?

	Year to 31 October 20X8	*Year to 31 October 20X9*
A	Understated	Understated
B	Overstated	Overstated
C	Understated	Overstated
D	Overstated	Understated

(2 marks)

19.4 In June 20X8 Laura bought goods for $12,000. She paid $11,000 of this by cheque and agreed a 30 day credit period for the balance. She intends to buy more goods for $13,000 in July 20X8.

What value should be reported for Laura's payables at 30 June 20X8?

$ [ ]

(2 marks)

BPP LEARNING MEDIA

19.5 Andrew's trial balance at 31 October 20X7 includes the following balances:

	$
Machinery at cost	85,800
Accumulated depreciation on machinery	21,750
Trade receivables	42,650
Receivables allowance	1,570
Bank overdraft	6,470
Inventory at 1 November 20X6	21,650

His inventory at 31 October 20X7 is valued at $22,300.

What value should be reported for current assets in Andrew's statement of financial position at 31 October 20X7?

A $62,730
B $63,380
C $64,950
D $69,850

(2 marks)

19.6 **Which of the following statements about a trial balance is/are correct?**

(i) If the total of the debit balances equals the total of the credit balances, no errors have been made in posting to the general ledger.

(ii) The trial balance always records non-current assets at market value.

A (i) only
B (ii) only
C Both (i) and (ii)
D Neither (i) nor (ii)

(2 marks)

19.7 Kiera knows that her accounting records contain the following errors:

(i) A cash sale for $430 was recorded correctly in the cash account but was entered on the correct side of the sales account as $340.

(ii) The entry for depreciation was made correctly in the accumulated depreciation account, and was entered on the wrong side of the depreciation expense account.

Which of the errors will lead to the total of the debit balances being greater than the total of the credit balances in Kiera's trial balance?

A (i) only
B (ii) only
C (i) and (ii)
D neither (i) nor (ii)

(2 marks)

19.8 **Which of the following is the correct definition of net realisable value, in accordance with IAS 2 *Inventories*?**

A Selling price
B Selling price less estimated cost to completion
C Selling price less selling costs
D Selling price less estimated cost to completion and selling costs

(2 marks)

19.9 Dot runs a retail clothing business. One of Dot's customers returned a coat that had been bought for $110 as she had changed her mind about it when she got the coat home.

What double entry should Dot make to record the return of the coat?

A	Dr Receivables ledger control $110	Cr Bank $110
B	Dr Bank $110	Cr Receivables ledger control $110
C	Dr Receivables ledger control $110	Cr Sales returns $110
D	Dr Sales returns $110	Cr Bank $110

(2 marks)

19.10 Michelle runs a hair salon. She is preparing her year-end accounts at the moment but is unsure how to treat a potential provision. Just before the year-end, one of Michelle's junior members of staff burnt a customer's hair while it was being coloured. The customer was understandably upset and sent a letter to Michelle, threatening to sue for damages of $2,500 in court. At the time of the incident, Michelle did not charge the customer but offered her a free colour and cut (worth $125) which the customer declined. Michelle's lawyer is confident that the customer will settle out of court for $500.

What amount should be provided for in Michelle's year-end accounts?

A $Nil
B $125
C $500
D $2,500 **(2 marks)**

19.11 Richard compared his bank statement with the bank account in his general ledger and found that they did not agree. He investigated further and concluded that there were two possible reasons for the discrepancy.

(i) A cheque from one of his customers was returned by the bank as unpaid. The customer has since filed for bankruptcy.

(ii) The bank charged him for going overdrawn for one day in the period.

Which of the reasons require an entry in the bank account in Richard's general ledger?

A (i) only
B (ii) only
C Both (i) and (ii)
D Neither (i) nor (ii) **(2 marks)**

19.12 Jamie bought a new mowing machine for his gardening business on 1 January 20X3 for $2,380. He had to pay $120 for the machine to be delivered to him. At the time of purchase, he also paid $300 insurance for the machine in the event of malfunction or theft. Jamie charges depreciation at 10% per year on the straight line basis, with a full year's charge in the year of acquisition and none in the year of disposal.

What will be the carrying amount of the mowing machine at the 31 December 20X4?

$ ☐ **(2 marks)**

19.13 George guarantees his customers that they will obtain a full refund if they return goods within 30 days. At 31 March 20X5 his provision for sales returns was $2,700. At 31 March 20X6 he estimated that the provision should be $3,000.

What value should be included in George's statement of profit or loss for the year to 31 March 20X6 for the movement in the provision for sales returns?

A A charge of $3,000
B A credit of $3,000
C A charge of $300
D A credit of $300 **(2 marks)**

19.14 Julie is preparing a reconciliation between her receivables control account and the receivables ledger. The balance on the receivables control account is $67,240 and the total of the list of balances in the receivables ledger is $54,568.

Which of the following would explain the difference?

A A cash receipt of $12,672 from Gary has been correctly posted to the receivables control account, but has not been included in Gary's account in the receivables ledger

B An invoice to Karen of $12,672 has been omitted from the sales day book

C Credits allowed of $6,336 have been included on the wrong side of the receivables control account

D A contra with Mason of $6,336 has not been included in the receivables control account

(2 marks)

19.15 Your firm's bank account in the general ledger shows a credit bank balance of $1,240 at 30 April 20X9. Upon comparison with the bank statement, you determine that there are unpresented cheques totalling $450, and a receipt of $140 which has not yet been passed through the bank account. The bank statement shows bank charges of $75 which have not been entered in the relevant cash day book.

What is the balance on the bank statement?

A $1,005 overdrawn
B $930 overdrawn
C $1,475
D $1,550

(2 marks)

19.16 **Which of the following is the correct journal entry to record a credit note issued to a customer for goods returned?**

A	Debit	Sales returns
	Credit	Cash
B	Debit	Cash
	Credit	Sales returns
C	Debit	Trade receivables
	Credit	Sales returns
D	Debit	Sales returns
	Credit	Trade receivables

(2 marks)

19.17 When extracting the trial balance for B Wright, you found that there was a difference of $90 between the totals of the debit and credit balances. You opened a suspense account for the difference. You have now discovered that an invoice for $1,560 for advertising has been posted erroneously to the advertising account as $1,650.

What entry is needed to correct the error and clear the suspense account?

A Dr Trade Payables $90, Cr Suspense $90
B Dr Advertising $90, Cr Suspense $90
C Dr Suspense $90, Cr Advertising $90
D Dr Suspense $90, Cr Trade Payables $90

(2 marks)

19.18 **Which of the following is not a qualitative characteristic of financial information?**

A Relevance
B Comparability
C Accruals
D Understandability

(2 marks)

19.19 **What are the entries to partners' current accounts for appropriations of profit and drawings?**

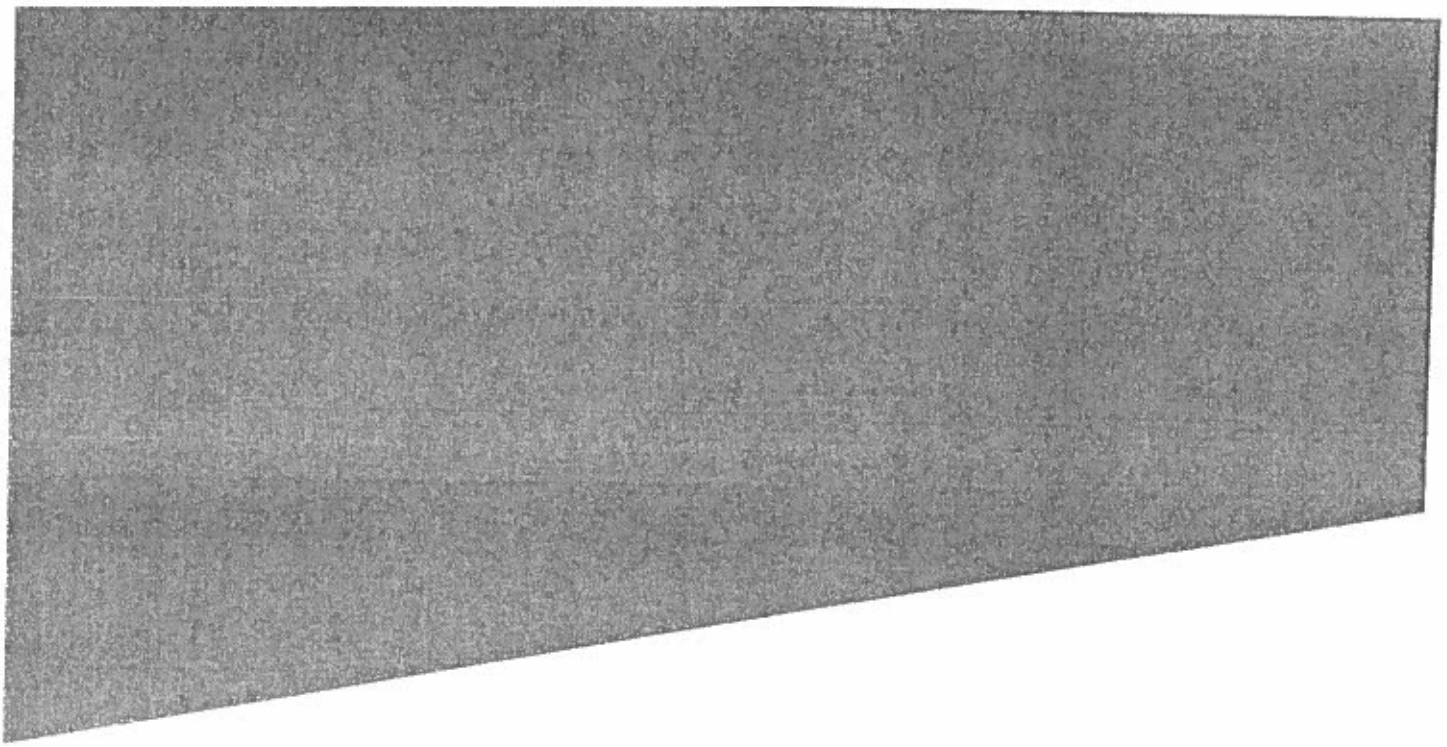
	Debit	Credit
Profit	O	O
Drawings	O	O

(2 marks)

19.20 Fred has a business which capitalises all items which meet the criteria under IAS 16 and which cost more than $500. A difference has been located on the trial balance and this has been posted to the suspense account. Fred has noticed that new computers purchased for $700 have been posted to the office expenses account. **What is the correction required in the accounts?**

A	Debit	Office expenses	$700		
	Credit	Suspense account		$700	
B	Debit	Suspense account	$700		
	Credit	Office expenses		$700	
C	Debit	Non-current assets	$700		
	Credit	Office expenses		$700	
D	Debit	Non-current assets	$700		
	Debit	Suspense account	$700		
	Credit	Office expenses		$1,400	**(2 marks)**

(Total = 40 marks)



Answers

1 Assets, liabilities and the accounting equation

P	=	Profit earned in current period
I	=	Increase/decrease in net assets in current period
D	=	Drawings in current period
C	=	Capital introduced in current period

1.1 C The accounting equation states that:

Capital + Liabilities = Assets

or

Capital = Assets – Liabilities (= net assets)

Andy's capital is $10,000 and his net assets are therefore also $10,000. Total assets are $16,000, but liabilities are $6,000.

1.2 B Closing capital – opening capital = increase (I) in net assets. Drawings cause net assets to be reduced as they are a reduction in capital. Option B is equivalent to:

P = I + D – C

This is the correct form of the business equation and can be used to compute net profit.

1.3 A Julie has exchanged one asset (cash) for another (prepayment).

1.4 The answer is $55,500

I = P + C – D

I = $(35,400 + 10,200 – 6,000)

I = $39,600

∴ Opening capital = opening net assets = $(95,100 – 39,600) = $55,500.

1.5 A The answer is $3,200 loss

P = I + D – C

P = – $1,800 + $16,300 – $17,700

P = – $3,200

1.6 B A bank overdraft is a liability.

1.7 The correct answers are:

- Resource controlled by the entity
- Resulting from a past event

The Conceptual Framework states the definition of an asset as being 'A resource controlled by an entity, resulting from a past event, from which an inflow of economic benefit is expected' (*Conceptual Framework, para.6*). An outflow of benefits characterises a liability. Increases in economic benefits are gains (income) in the period.

1.8 C Both assets (computer) and liabilities (bank loan) have increased.

1.9 A The main purpose of the statement of financial position is to report the assets, liabilities and capital of the business at a particular date.

1.10 D Profit and capital introduced are increases of capital. Drawings reduce capital.

1.11 The answer is $69,972

Drawings and a loss for the year both decrease capital, the capital introduced increases it.

Therefore the closing balance is:

$85,872 – $19,500 – $1,700 + $5,300 = $69,972.

1.12 D

(Capital c/f – capital b/f – capital introduced + drawings = net profit)	
Closing net assets	27,600
Less opening net assets	(16,100)
Less capital introduced	(2,950)
Add drawings	1,450
Net profit	10,000

1.13 C Drawings effectively return part of their capital in the business to the proprietors.

Assets increase, capital increases – drawings will reduce cash at bank. Capital will reduce by the amount of the drawings.

Assets decrease, capital increases – assets will decrease but capital will also decrease by the amount of the drawings.

Assets decrease, liabilities decrease – the proprietors' interest in the business is its capital (which equals assets less liabilities), drawings are a return of capital not a reduction in a liability of the business.

1.14 B

	$
Opening capital	10,000
Capital introduced	4,000
Drawings	(8,000)
Loss (bal fig)	(1,500)
Closing capital	4,500

2 Statement of financial position and statement of profit or loss

2.1 C A is a receivable, B is inventory and D is a liability.

2.2 A The trade payables are due to be paid within 12 months, the overdraft is repayable on demand.

2.3 D Capital expenditure relates to the acquisition or improvement of non-current assets. It does not include repairs and maintenance.

2.4 The correct answers are:

- Road tax
- Maintenance contract

Number plates and delivery costs are included in the capital cost of acquiring the car. Road tax and maintenance are annual charges against revenue.

2.5 B

	$
Equipment	39,900
Delivery	1,000
	40,900

2.6 C Delivery and installation costs will be included in the cost of the asset. However maintenance costs are a revenue item.

2.7 C Items (i) and (ii) are non-current assets. Only item (iii) is a current asset.

2.8 A Profit and net assets are both overstated.

2.9 C Assets which are expected to be converted into cash in the short term.

2.10 Insurance is an expense, trade payables is a liability and trade receivables is an asset.

2.11 The false statements are:

- It shows the value of sales less total expenses as gross profit.
- It represents the financial position at a point in time.

Gross profit is the difference between the value of sales and the purchase cost (or production cost) of the goods sold.

The statement of profit or loss represents the financial performance over a period of time.

2.12 C A five-year bank loan should be split into a current and non-current liability.

2.13 D Cash held at the bank is an asset and employees' salaries are an expense.

2.14 B The statement of financial position contains a list of all the assets owned and all the liabilities owed by a business.

2.15 B Items A, C and D are all examples of capital expenditure reflected in the statement of financial position.

3 Recording and summarising transactions

3.1 B We need to decrease the motor expenses by $36 and also decrease payables by $36.

3.2 Statement (i) is false.

Statement (ii) is true.

3.3 Invoices and credit notes are examples of source documents.

3.4 B Source documents are always recorded in the books of prime entry. A business can have as many or as few books of prime entry as it wants. It will only use those it considers it needs to make record keeping more efficient or more effective. Credit notes received are in respect of purchase returns not sales returns. The journal is a book of prime entry.

3.5 D Debit notes raised appear in the purchase returns day book (returns outwards).

3.6 B Purchase returns are a credit as this reduces expense and also reduces the amount payable to the supplier (debit payables) by $125.

3.7 D Transactions are recorded net of trade discounts. The goods were bought for cash, not on credit.

3.8 C The cash received day book is summarised and posted to the general ledger. The other three are posted to the receivables/payables control accounts.

3.9 C Direct debits are recorded in the cheques issued day book.

3.10 A This transaction reduces sales (a debit) and also the amount receivable from the customer (a credit) by $30.

3.11 B Purchase invoices are recorded in the purchase day book.

Option A is incorrect, these are recorded in the cheques issued day book.

Option C is incorrect, the supplier will deduct trade discounts prior to raising the invoice total.

Option D is incorrect, these are recorded in the purchase returns day book.

3.12 A

Dr Receivables	$150	
Dr Sales Returns	$300	
Cr Revenue		$150
Cr Cash		$300

The double entry for the sale of goods on credit is Dr Receivables; Cr Revenue $150. The return of goods previously sold for cash is Dr Sales Returns, Cr Cash $300.

3.13 C Dr Cash, Cr Receivables.

4 Posting transactions, balancing accounts and the trial balance

4.1 A A credit balance is a liability, thus X owes Y $917.

4.2 D A credit balance indicates a liability or a revenue. Expenses and assets are represented by debit balances. An amount owing to an organisation is a receivable (an asset) and therefore a debit balance.

4.3 D Only a return of goods from X would generate a credit entry on X's account in the books of Y. The other choices all result in a debit entry on X's account in Y's books.

4.4 D The journal is recording a cash receipt from T Sugden. When cash is received from a customer the cash at bank (an asset) is increased resulting in a debit entry, and the receivable balance is decreased resulting in a credit entry. If the transaction was a cash sale the credit entry would be to sales, therefore choice A is incorrect. Choices B and C involve paying out cash which would involve reducing cash at bank via a credit entry and the journal clearly shows the entry to be 'Debit Cash'.

4.5 D Dr Purchases $600 and Cr Payables $600.

Melissa is **not** registered for sales tax purposes and therefore cannot reclaim the input sales tax of $100.

4.6 C The double entry increases purchases and decreases stationery. Therefore it has to be the correction of an error whereby purchases were originally entered as stationery.

4.7 A The receivables allowance is deducted from trade receivables and the net figure of $71,192 ($75,943 – $4,751) is reported in the statement of financial position.

4.8 The correct answers are:

- Assets are represented by debit balances
- Income is included in the list of credit balances

The other options are incorrect because not all debit balances are expenses and capital is a credit balance.

4.9 D An error of principle. Non-current assets have been confused with revenue items.

4.10 B Both accounts in the entry are wrong.

4.11 C An error of principle is where there is a posting to the wrong category of account. This is the case in C because non-current assets have been confused with trade purchases. In A and B the entries are to the correct accounts but the debits and credits are the wrong way round (errors of reversal). D is an error of original entry.

4.12 D Debits will exceed credits by 2 × $48 = $96.

4.13 Net profit and capital will both be reduced.

As revenue expenditure has been understated the correction will increase expenses and thus reduce profit. As net profit is added to the proprietor's capital balance, this will also be reduced.

4.14 C Error of principle.

4.15 A A credit entry made on the debit side of the correct account will result in debits being higher than credits and cause the trial balance to be out of balance. Choices B, C and D do not result in debit balances being higher than credit balances or *vice-versa*. Therefore they will not be detected when a trial balance is extracted.

4.16 The correct answers are:

- Error of single entry
- Error of transposition

The trial balance will not balance if only one side of an entry is posted or if an incorrect amount is posted, as would happen if there were an error of transposition.

An error of commission may be incorrect, but will still have two matching entries and an error of omission does not appear at all.

4.17 C $200 has been **credited** to the expense account when it should have been debited. The effect of this is to make the debit total short by $400.

A would cause the **credit** total to be $400 less. B would not cause any imbalance. D would make the debit total only $200 less.

4.18 D If the debit balances exceed the credit balances by $500, then it is likely that a credit entry of $250 has been wrongly entered as a debit. Only D meets these criteria.

4.19 C The two balances must be separately disclosed.

4.20 $284,931

The debits are as follows:

	$
Opening inventory	9,649
Purchases	142,958
Expenses	34,835
Non-current assets	63,960
Receivables	31,746
Cash at bank	1,783
	284,931

4.21 Errors of principle will not be revealed by extracting a trial balance. Errors of transposition will.

4.22 C 157,728 + 90 (430 – 340).

4.23 C Closing off the ledger accounts and producing a trial balance will enable the accountant to establish whether or not the value of all the debits is equal to the value of all the credits.

4.24 C The posting is the wrong way round leading to an understatement of profit amounting to $6,900, plus an additional $90 for the transposition.

4.25 $17,649

(5,754 + 11,745 + 150).

4.26 C Businesses submit periodic sales tax returns to the tax authorities showing output and input tax, and make a payment to the tax authority when output tax exceeds input tax for the period.

4.27 The correct answers are:

- Taxable sales exceed a limit for compulsory registration set by the tax authorities
- The business falls under any specified limits but makes zero rated supplies and is charged input tax by its suppliers

Businesses usually register for sales tax because they are required to, having exceeded a taxable sales (rather than exempt sales) limit as specified by the tax authority. A business may also voluntarily register if they make zero rated supplies and are able to recover input tax, as they will be due a refund each period from the tax authority.

4.28 D Sales tax figure of $25,000 includes tax, therefore the sales tax figure is

$25,000 × 20/120 = $4,167

Purchases figures excludes sales tax, so this must be calculated.

$7,000 × 20% = $1,400

Total sales tax liability is $500 (opening credit) + $4,167 – $1,400 = $3,267

4.29 B The trial balance is a list of ledger balances extracted from the general ledger accounts which helps to ensure that the double entry bookkeeping has been accurate. If the bookkeeping has been accurate (in terms of entering a debit or credit of the same value for each transaction), the total of the debits will equal the total of the credits in the trial balance.

4.30 A The double entry does not balance and there will be a trial balance difference of $1,000 if the sales credit entry is $500 but the receivables debit entry is $1,500. For all the other options the credits and debits are equal or are not entered at all.

5 Accounting principles and characteristics

5.1 D The owner is separate from the business, so this must be accounted for.

5.2 C Under materiality, only material items should appear in the financial statements. Items are material if their omission or misstatement would influence the economic decisions of users based on the financial statements.

5.3 A The main significance of the going concern principle is that the assets of the business should not be valued at their 'break-up' value, which is the amount that they would sell for if they were sold off piecemeal and the business were thus broken up.

5.4 B Accruals

5.5 A Both relevance and faithful representation are described as fundamental by the Framework.

5.6 C The business entity concept is the one described. Going concern (A) relates to the assumption that the business will continue in operation for the foreseeable future. Materiality (B) relates to the principle that financial statements should be free from material misstatement. Items are material if their omission or misstatement would influence the economic decisions of users based on the financial statements. Comparability (D) is a qualitative characteristic rather than a principle.

5.7 C This describes verifiability.

5.8 B This describes consistency, which applies the qualitative characteristic of comparability.

5.9 B Transactions being stated at the value when they occurred is an application of the historical cost principle.

5.10 A Comparability can usually be achieved through consistency and disclosure.

5.11 D This describes timeliness.

6 Control accounts and the correction of errors

6.1 $79,000

RECEIVABLES CONTROL ACCOUNT

	$		$
Balance at 1 Jan 20X3	10,000	Receipts (re credit sales)	80,000
Credit sales (bal fig)	79,000	Balance c/d	9,000
	89,000		89,000

(Alternative working: Credit sales = $80,000 – $10,000 + $9,000 = $79,000.)

6.2 C The balance on the customer's account will be reduced by the write-off.

6.3 C Control accounts are set up for statement of financial position items, not statement of profit or loss accounts such as sales.

6.4 B $870 will have been debited to the expense account. To bring this amount down to $780, it will be credited with $90.

6.5 D The correct balance on the control account is $36,676 ($35,776 + $900 undercast).

6.6 C The question implies that the credit entry was posted correctly. The debit entry is $180 too high. Therefore the debit entries will exceed the credit entries by $180.

6.7 C

Balance per ledger	$31,554	Cr
Discount	$53	Dr
Invoice	$622	Cr
Corrected balance	$32,123	Cr

6.8 $68,665

	Control account $	*List of balances* $
Balance/total	68,566	68,538
Credit balance omitted	–	127
Undercasting of day book	99	–
	68,665	68,665

6.9 B In A, a debit entry has been omitted from the receivables account. This would give rise to a debit balance in the suspense account. Both C and D are examples of a transaction being omitted entirely and although the general ledger is incorrect, it will still balance.

6.10 D

SUSPENSE ACCOUNT

	$		$
Closing balance	3,000	Difference on TB	1,000
		Debit property repairs (500 + 1,500)	2,000
	3,000		3,000

6.11 C Daljit has debited the $950 and credited nothing.

Thus the balance on the suspense amount is a credit of $950.

So, the required journal entry to eliminate the suspense account is:

Dr	Suspense account	$950
Cr	Van repairs	$950

Being correction of an error of omission.

6.12 Statement (i) is incorrect, statement (ii) is correct.

One suspense account will be kept into which any number of entries can be made.

6.13 C An invoice entered twice will not give rise to a suspense account entry.

6.14 A The correction of (i) will add a further $450 to the suspense account. (ii) will have no effect on the suspense account.

6.15 A

SUSPENSE ACCOUNT

	$		$
Opening balance	420	Debit to expenses	800
Credit to sales account	80		
Balance	300		
	800		800
		Balance b/d	300

6.16 A

Reversal of the cost of the asset booked to expenses	$5,000
Increase in profits	($1,000)
Charge full year's depreciation ($5,000/5)	$4,000 increase
Overall effect on net profit	

6.17 $657

$(565) o/d – $92 dishonoured cheque = $(657) o/d

BANK

	$		$
		Original balance	565
Balance c/d	657	Dishonoured cheque	92
	657		657
		Balance b/d	657

6.18 B The unpresented cheque will be an item in the reconciliation.

6.19 A The correct answer is $11,960

	$
Statement balance	13,400
Add back dishonoured cheque	300
Add back bank charges	50
Less unpresented cheques	(1,400)
Adjustment re error (2 × 195)	(390)
	11,960

6.20 $1,970

	$
Opening bank balance	2,500
Payment ($1,000 – $200) × 90%	(720)
Receipt ($200 × 95%)	190
Closing bank balance	1,970

6.21 C Is the correct answer

(i) Is a timing difference
(ii) Is a bank error, which the bank will have to correct

6.22 B Item (i) affects the reconciliation. Only item (ii) needs to be corrected in the general ledger.

6.23 D As the difference is explained by timing differences, no entries are required in the general ledger. The general ledger is therefore correct. A credit balance means the account is overdrawn.

6.24 D Jim's bank account will be overdrawn by $37 ($685 cash at bank less the $722 of bank charges).

6.25 B Not recording the contra entry will affect both Mr Gibson's account and the control account. Undercasting the sales day book (A) will cause the total of the sales day book to be incorrect which will only affect the control account. The posting of an invoice to the wrong personal account (C) will not affect the control account, only the personal accounts. The posting of incorrect totals from cash day books (D) will only affect control accounts, not the personal accounts.

6.26 C Only the list of balances is affected.

6.27 A An overcast of the day book means that only the control account is overstated.

6.28 D $87,964 (the balance on the control account) will be reported as a current liability.

6.29 C An invoice not entered in the personal accounts would still have been included in the day book so would still be posted to the control account, resulting in the balance on the control account being higher than for the total listing of balances on the personal accounts. If the invoice was entirely omitted (A) then there would be no difference arising. If the invoice was entered on the credit side of the personal account (B) the control account would be $200 higher. If the invoice was entered twice in the personal account (D) then the total listing would be higher than the control account in the general ledger.

6.30 C Receivables are reported as a current asset.

6.31 $183,279

PAYABLES CONTROL

	$		$
Payments	185,844	Opening balance	28,754
Closing balance	26,189	Purchases	183,279
	212,033		212,033

6.32 Neither of these statements is correct. The control account and the list of balances can both be incorrect.

6.33 A The debit balance of $100 is already correctly included in the general ledger.

6.34 C Misposting from T Blair to J Blair will only affect the receivables ledger.

6.35 D All of these errors require a correcting entry in the general ledger.

6.36 C (iii) and (iv) require adjustments to the list of balances as there will be errors in the individual supplier accounts.

6.37 D (ii) only affects the customer's personal account.

6.38 Only item (i) requires an entry. The difference relating to the bank error should not be entered but instead noted on the bank reconciliation statement as a difference between the bank statement and general ledger.

6.39 B There is no adjustment needed to Pat's general ledger balance of $1,080 for the bank error as it is the bank statement that is wrong and not Pat's records. The $800 would, however, be noted as a reconciling item on the bank reconciliation.

7 Accruals and prepayments

7.1 B 9 months expense, 3 months prepaid. Therefore the expense is 9/12 × $2,400 = $1,800 and the prepayment is 3/12 × $2,400 = $600.

7.2 A $297 was accrued last year and should be deducted from this year's charge.

7.3 D An accrual of $308 ($462 × 2/3) is made for the period up to November and added to the statement of profit or loss charge. The statement of profit or loss charge is the sum of this accrual and the existing balance: $1,540 + $308 = $1,848.

7.4 Net profit and capital will both be increased.

7.5 B $11,040 × 2/6 = $3,680 prepaid.

July and August 20X2 are paid in advance.

7.6 B A prepayment reduces expenses and therefore increases profit. The correction will add $200 to prepayments and will therefore increase net profit by the same amount.

7.7 C The prepayment will add $1,500 to profit and net assets.

The accrual will reduce profit and net assets by $400.

The net effect will be to increase both by $1,100.

7.8 $2,985

Bear in mind that the opening accrual will actually be a **reversal** of the previous year's accrual, so it will be a **credit** to the car expenses account. You may want to write up the T-account for car expenses. The postings to the car expenses account will be as follows:

	$
Opening accrual (Cr)	(329)
Payments (Dr)	2,850
Closing accrual (Dr)	464
Charge to statement of profit or loss (Dr balance)	2,985

7.9 B

	$
Original loss	(1,486)
Accrual	(1,625)
Prepayment	834
Revised loss	(2,277)

7.10 D Dave must accrue for two months electricity. The accrual is 2/3 × $3,270 = $2,180.

7.11 C A prepayment ($7,800 × 2/4) of $3,900.

7.12 $1,813

$(1,765 – 264 + 312)

7.13 A

Invoices	$4,728	Dr
Opening accrual	$353	Cr
Closing balance	$4,375	Dr

7.14 B

The expense account has an opening balance of	$533 Cr
The total of the invoices is	$2,974 Dr
The closing accrual is	$488 Dr
Thus the charge to the statement of profit or loss is	$2,929 Dr

7.15 A Accruals do represent expenses that have not yet been paid. Accruals are posted as a credit to the statement of financial position and a debit to the relevant expense in the statement of profit or loss. Accruals are a non-cash adjustment and an excess of accruals over prepayments does not indicate a business is likely to go bankrupt.

7.16 $11,981

	$	
Opening accrual	855	Credit
Invoices	11,874	Debit
Closing accrual	962	Debit
	11,981	Debit

8 Receivables and irrecoverable debts

8.1 A The allowance is netted off against the receivables balance.

8.2 D A credit entry in the receivables account.

8.3 C A credit of $30

The new balance on the receivables will be $1,170 (($78,600 – $600) × 1.5%) This is a reduction of $30 from the previous balance of $1,200, which will be credited to the statement of profit or loss.

8.4 C The answer is $7,929.

Length of time debt has been outstanding	*Allowance required*	*Balances at 30.11.X1* $	*Allow* $
Less than 30 days	Nil	70,866	–
30 days to 59 days	10% of balances	25,250	2,525
60 days and over	50% of balances	10,808	5,404
			7,929

8.5 A

Colin will require the following allowance:

	$
$56,800 × 1%	568
$37,700 × 20%	7,540
$14,900 × 75%	11,175
	19,283
Less allowance b/f	(18,765)
Increase required	518

8.6 $35,412 ($37,890 – $1,570) – (2.5% × $36,320).

8.7 C The receivables expense account is debited with the cost of the irrecoverable debt. The credit to receivables control removes it from the receivables balance.

8.8 B This entry removes the irrecoverable balance from receivables.

8.9 B If money is received from a previously written off debt and it is received after the end of the period in which it was written off, it can be recognised as sundry income in the statement of profit or loss.

8.10 D The write-off of $275 goes to the statement of profit or loss.

The allowance for the year is $12,000 × 0.03 = $360.

This is $400 – $360 = $40 lower than the previous year's allowance.

$275 – $40 = $235.

8.11 D

	$
Closing allowance required (400,000 – 38,000) × 10%	36,200
Opening allowance	50,000
Decrease in allowance	(13,800)
Irrecoverable debts written off	38,000
Statement of profit or loss charge	24,200

8.12 C $146,000 + ($218,000 – $83,000) = $281,000

8.13 B Because the debt has been previously written off, there is no receivable for which to offset the cash, therefore the double entry is Dr Cash, Cr Sundry income – irrecoverable debts recovered.

9 Costs of goods sold and the treatment of inventories

9.1 B Lower-valued inventory has been used in production and higher-valued inventory remains on hand.

9.2 B Both net profit and net assets have been overstated.

9.3 C

	Units	*Unit cost*	*Total*	*Average*
		$	$	$
Opening inventory	30	2.00	60	
5 August purchase	50	2.40	120	
	80		180	2.25
10 August issue	(40)	2.25	(90)	
	40		90	
18 August purchase	60	2.50	150	
	100		240	2.40
23 August issue	(25)	2.40	(60)	
	75		180	

9.4 $19,000

	$
Opening inventory	12,500
Purchases	126,500
Sales at cost price (150,000 × 80%)	(120,000)
Closing inventory	19,000

9.5 B The inventory has been omitted, and must be included at its net realisable value of $3,000.

9.6 B First in, first out.

9.7 C The correct answer is $44,060.

		$
Total sold at cost		45,400
Less obsolete inventory at cost		(2,600)
		42,800
Add net realisable value of obsolete inventory		
– Sales value	1,400	
– 10% Commission	(140)	1,260
Closing inventory 30 November 20X2		44,060

9.8 The correct answer is $10,730.

The hard to sell items have a net realisable value of $450 – $225 = $225

So, the value of the closing inventory should have been:

	$
Original	11,480
Less hard to sell inventory at cost	(975)
Add NRV	225
Closing inventory at 31 December 20X2	10,730

9.9 D Purchases + Opening inventory – Closing inventory

9.10 B FIFO will lead to higher reported profit because his cost of sales will be based on the earliest (and therefore cheapest) purchases.

9.11 A One asset recorded at $2,622 (inventory) has been exchanged for another asset worth $1,950. Therefore both assets and capital are reduced by the difference of $672 ($2,622 – $1,950).

9.12 B

Date	Units	Unit cost	Cost of issues	Balance in inventory
			$	$
1 March	50	$40		2,000
17 March	50	$50		2,500
	100	$45*		4,500
31 March	- 60	$45	2,700	
	40	$45		1,800

* 4,500 / 100

9.13 B Price per unit under periodic weighted average cost:

= Total cost /(opening quantity + total quantity received)

= ($300 × 10) + ($250 × 12) + ($200 × 6) / (0 + 10 + 12 + 6)

= $257.14 per unit.

Valuation of closing inventory of 8 units (10 + 12 – 8 + 6 – 12) × $257.14 = $2,057.12

10 Non-current assets and depreciation

10.1 A It is **never** B as funds are not set aside; nor C, this is revaluation. It aims to comply with the matching (accruals) principle, not the consistency principle (D).

10.2 D

	$
Original cost	14,900
Accumulated depreciation	(8,940)
Carrying amount	5,960
Sale proceeds	7,455
Profit	1,495

10.3 A We would need to know either sale proceeds or length of time.

10.4 D

	$
Carrying amount ($64,000 × 0.5 × 0.5 × 0.5 × 0.5)	4,000
Proceeds	(2,500)
Loss	1,500

10.5 A The difference is due to not having removed an asset which has been disposed of from the register. It had disposal proceeds of $30,000 and a profit on disposal of $10,000, ie a carrying amount of $20,000.

10.6 C The correct answer is $25,500.

	$
Cost at 31 December 20X1	168,500
Less accumulated depreciation at 31 December 20X1	(66,500)
Carrying amount at 31 December 20X1	102,000
25% depreciation charge – year to 31 December 20X2	(25,500)

10.7 A

	$	
$9,000 × 0.7 × 0.7 × 0.7 =	3,087	(CV)
Proceeds of sale	(3,000)	
Loss on disposal	87	

Note. Remember that the expected residual value of $1,000 is not deducted from the depreciable asset value when using the reducing balance basis. The rate of 30% will already have factored this in.

10.8 D Going concern

10.9 $360

	$
Carrying amount ($5,000 × 0.8 × 0.8 × 0.8)	2,560
Proceeds	(2,200)
Loss on disposal	360

10.10 C The depreciation aims to apply the matching (accruals) principle.

10.11 D

Cost of new machine	$
Cheque	11,570
Part exchange	4,430
	16,000
Depreciation ($16,000 × 20%)	3,200

10.12 D

Carrying amount of old machine	$
Cost	12,000
Depreciation	(5,856)
	6,144
Proceeds	4,430
Carrying amount	(6,144)
Loss on sale	(1,714)

10.13 D None of the statements are correct. Item (i) is incorrect and item (ii) is not necessary in a small organisation with few assets. As for item (iii), assets should only be removed from the register when they are sold or scrapped.

10.14 A A debit entry in the motor vehicles at cost account.

10.15 $1,984

20X4	$15,500 × 20% = $3,100	Carrying amount $12,400
20X5	$12,400 × 20% = $2,480	Carrying amount $9,920
20X6	$9,920 × 20% = $1,984	

10.16 D The asset register is not used to calculate the balance outstanding on loans.

10.17 D All of this information should be recorded.

10.18 D Cost $80,000
Depreciation at 15% pa straight line is $12,000
A full year's depreciation will be charged in the years to 30 September 20X5, 20X6 and 20X7.
Thus the carrying amount is $44,000.
If proceeds are $39,000, there will be a loss of $5,000

10.19 C This is the transfer of the original cost of the old non-current asset on disposal.

10.20 A

Cost	$87,600
Less accumulated depreciation at date of sale	$45,800
= Carrying amount at date of sale	$41,800

Proceeds of $43,000 are $1,200 greater than carrying amount, thus a profit on sale.

11 The accounts of sole traders

11.1 The correct answers are:

- An allowance for receivables
- A bank loan repayable in five years

Allowance for receivables is disclosed as a deduction from receivables.

A bank loan is normally classified as a non-current liability.

11.2 A

	$
Opening carrying amount	200,000
Carrying amount of disposals (25,000 + 5,000)	(30,000)
Depreciation	(20,000)
	150,000

11.3 C The loan remains as a non-current liability as it is due for repayment is two years time. As all the interest has been paid up to date there is no current liability.

11.4 B His opening balance will show the outstanding liability at the beginning of the year. This will be the accrual reversed (credited) and this will be offset by the subsequent payment.

11.5 C $6,000 will be repaid over the next 12 months and the balance thereafter.

11.6 D None of the loan is repayable within 12 months of 30 November 20X3, so the whole amount is classified as a non-current liability.

11.7 C

	$	$
Revenue		45,000
Opening inventory	5,700	
Purchases	29,500	
Closing inventory	(6,400)	
Cost of sales		(28,800)
Carriage inwards		(750)
Gross profit		15,450

11.8 $10,740

	$
Postage	340
Wages	6,000
Advertising	1,900
Other expenses	2,500
	10,740

11.9 A The statement of financial position figure is $47,744 less the allowance of $3,500 ie $44,244.

11.10 B The incorrect inventory figure at 30 April 20X4 will affect both years: 20X4 as closing inventory and 20X5 as opening inventory. As the figure is overstated, the cost of sales for 20X4 will be too low and so profit is overstated. For 20X5, cost of sales is too high and so profit is understated.

11.11 B Remember inventory is valued at the **lower** of cost ($15,800) and net realisable value ($26,000 – $700 = $25,300). The lower of these is $15,800.

11.12 B The balance outstanding of $27,000 is divided between the amount due in the next year ($6,000) as a current liability and the remainder of $21,000 as a non-current liability.

11.13 A

	$
Required (275,600 × 2%)	5,512
Current allowance	5,670
Reduction needed this year	(158)

11.14 C

CAPITAL ACCOUNT

	$		$
Drawings	16,890	Opening balance	68,920
Closing balance	74,890	Profit for year	22,860
	91,780		91,780

11.15 D The debit must be to bad debts (irrecoverable debts) and the credit to receivables.

11.16 C Drawings by the proprietor reduce his capital balance.

11.17 A $250 is deducted from both profit and capital.

11.18 Both profits and assets are overstated.

11.19 B $220 credit. The accrual of $220 (debit) is now reversed.

11.20 D $4,800 (400 × 12) will be repaid within one year. The remaining balance is a non-current liability.

11.21 Debit loss/Debit drawings. Both of these involve a reduction of capital.

11.22 D Accruals is a liability account, prepayments is an asset account.

11.23 A

Allowance required	$2,757
Existing allowance	$2,492
Increase, therefore charge	$265

11.24 B Receivables balance ($137,850) less revised allowance ($2,757) = $135,093

11.25 D The last invoice was for $1,647 for a three month period, indicating a cost of $549 per month. The invoice included charges up to 31 August. Accounts are being prepared to 31 October, thus two months (September and October) need to be accrued. Thus the accrual is $549 × 2 = $1,098.

12 The extended trial balance

12.1 B D6 and E31.

12.2 D This is a post TB adjustment. The entry is:
Debit total prepayments F38
Credit rent expense G11

12.3 A This is a post TB adjustment. The entry is:
Debit receivables allowance F27
Credit irrecoverable debts expense G15

12.4 C

	$
Per T/B	39,736
Add journal debit	2,000
Less adjustment credit	(100)
	41,636

12.5 C Drawings are a debit in the statement of financial position.

12.6 C Ossie needs to credit statement of profit or loss and debit the statement of financial position.

12.7 C In the statement of profit or loss, credit entries exceed debit entries so Ossie has made a profit of $7,209 ($136,894 – $129,685).

12.8 C Depreciation expense is a debit to the statement of profit or loss, while accumulated depreciation is a credit to the statement of financial position.

12.9 Statement of profit or loss debit, statement of financial position credit.

12.10 B To provide a record of adjustments made to the trial balance when calculating the figures for inclusion in the final accounts.

12.11 The correct answers are:

- Closing inventory
- Accruals

The extended trial balance can be used to make adjustments for closing inventory and accruals.

12.12 D Louise has made a loss.

A and C would make the credit columns greater, B would have no effect.

12.13 B Sales returns will be debited, purchases returns will be credited.

12.14 B The provision is included in statement of financial position credit column, with the legal costs included in the statement of profit or loss debit column.

12.15 B This is a credit which will be offset against the non-current assets debit balance.

12.16 A Opening inventory is entered in the statement of profit or loss debit column when the trial balance is extended.

12.17 D Val has made a loss, and the total of the statement of profit or loss debit column will be greater than the total of the statement of profit or loss credit column.

13 Incomplete records

13.1 C

	Total sales	*Ordinary sales*	*Private sales*
	$	$	$
Cost of sales	144,000	142,200	1,800
Mark-up:			
12% on cost	216	–	216
20% on sales (= 25% on cost)	35,550	35,550	
Sales	179,766	177,750	2,016

13.2 $34,050

	$
Opening capital balance	96,578
Drawings	(25,764)
Profit for the year (balancing figure)	34,050
Closing capital balance	104,864

In T account format:

CAPITAL ACCOUNT

	$		$
Drawings	25,764	Opening balance	96,578
Closing balance	104,864	Profit for year (Bal fig)	34,050
	130,628		130,628

13.3 B

	$
Payments to suppliers	95,886
Owed at 31.10.X6	(13,856)
Owed at 31.10.X7	11,552
Total credit purchases	93,582

13.4 D

	$
Cost of sales (120,600 × 100/125)*	96,480
Opening inventory	(9,340)
Closing inventory	11,855
Purchases for the year	98,995

* (As sales price is 125%, cost of sales is 100%.)

13.5 A

	$	$
Non-current assets		41,700
Inventory		9,860
Receivables		7,695
		59,255
Less		
Payables	4,174	
Overdraft	5,537	
Unpaid invoices	258	
		(9,969)
Closing capital		49,286

13.6 D This question involves the use of the **business equation.**

	$
Increase in capital	6,798
Add back drawings	14,600
Less capital introduced	(2,900)
Profit for the year	18,498

13.7 B

	$
Cost of sales (182,000 × 100/130)	140,000
Opening inventory	(11,800)
Closing inventory	9,700
Purchases	137,900

13.8 D

Purchases were	Payments made plus increase in suppliers' balances ie $127,569 + ($12,826 – $11,564)		=	$128,831
Thus cost of sales	Opening inventory	$5,288		
	Purchases	$128,831		
		$134,119		
	– Closing inventory	$4,184	=	$129,935

13.9 Mark-up 25% / Margin 20%

	$
Revenue	600,000
Less cost of sales	480,000
Gross profit	120,000

Thus:

Mark-up: 120/480% = 25%
Margin: 120/600% = 20%

13.10 B If

Revenue	160%
Less cost of sales	100%
Mark up on cost of sales	60%

Then margin = 60/160 = 0.375 or 37.5%

13.11 A Gross profit is $51,000 – $42,500 = $8,500, which is 16.67% of $51,000.

13.12 B

	$
Opening inventory	386,200
Purchases	989,000
Closing inventory	(422,700)
Cost of sales	952,500

$952,500 × 100/60 = $1,587,500

13.13 A Closing net assets plus drawings minus capital introduced minus opening net assets.

13.14 D

	$	%
Opening inventory	30,000	
Purchases	840,000	
	870,000	
Closing inventory	(70,000)	
Cost of sales	800,000	100
Gross profit/mark up	200,000	25
Revenue	1,000,000	125

14 Partnerships

14.1 B Interest on partners' capital is an appropriation of profit (debit appropriation account). Since partners have earned the money by their investment in the business, their current accounts should be credited with it. (Option D would be theoretically possible, but most firms maintain current accounts separately from capital accounts in order to record such items.)

14.2 C The corrected account looks like this.

CURRENT ACCOUNT

	$		$
Drawings	6,200	Balance b/f	270
Balance c/f	7,070	Interest on capital	2,800
		Salary	1,500
		Net profit	8,700
	13,270		13,270

14.3 A The petrol bills have been debited to motor vehicle expenses. This is incorrect and should be revised (so credit motor vehicle expenses). Because they are private expenses of the partner they should be debited to their drawings account.

14.4 D Interest payable by partners increases the amounts of profits available for appropriation (credit appropriation account). It must be charged against the partners (debit partners' current accounts).

14.5 B Where a partner's current account has a debit balance, this means that the partner has taken more than their agreed share out of the partnership, ie the partner owes the firm money.

14.6 B (($30,709 – $14,000) × 4/7)

14.7 A ($24,800 + $6,500 – $1,800 + $12,750 – $18,000)

14.8 B

		$	$
Profit per statement of profit or loss			98,500
Less interest on capital	Alec	(7,900)	
	Carl	(5,100)	
			(13,000)
= Available for profit sharing			85,500
Carl's share is 2/5 or			34,200
His share of the total profit also includes:			
Interest on capital			5,100
=			39,300

14.9 C When it is removed, the goodwill of $12,000 must be debited to the partners' capital accounts in the new profit sharing ratio ie 2:2:1. Therefore the adjustment is to debit the capital accounts $4,800 (Bruce), $4,800 (Larry), $2,400 (Eddie).

14.10 $16,667

When Jack joins the partnership, the goodwill needs to be debited to the capital accounts in the new profit sharing ratio of 1:1:1. Therefore, a debit of $16,667 (50,000/3) needs to be made, hence this is the amount that Jack will have to contribute so that his opening capital balance is nil.

14.11 B

	S	*T*	*U*
	$	$	$
Initial capital	120,000	120,000	
Share of goodwill	45,000	45,000	
Capital introduced			80,000
	165,000	165,000	80,000
Eliminate goodwill	(30,000)	(30,000)	(30,000)
Adjusted capital	135,000	135,000	50,000

14.12 D

	B	*L*	*Total*
	$	$	$
Salary		40,000	40,000
Interest on capital	6,000	3,000	9,000
Residual profit (4:3)	86,000	64,500	150,500
	92,000	107,500	199,500
Opening account balance	12,000	14,000	
Drawings	(90,000)		
Closing current account balance	14,000	121,500	

14.13 C

	Total
	$
Net profit	108,255
Salary	(19,000)
Interest on capital	(19,500)
Interest on drawings	5,400
Residual profit	75,155

14.14 C This is the best definition of a partnership.

14.15 B The partnership agreement will not specify the maximum amount that a partner can loan to the business.

14.16 Neither statement is true, the current account records a wide range of items on a continuous basis. It is the capital account that normally remains unchanged from year to year.

15 Mixed Bank 1

15.1 C The ledger balance of $422 credit should be adjusted by a debit entry of $153 for interest. Thus the corrected balance is $269 credit.

The statement balance will therefore be an overdraft of $269 after the cheque of $822 has been processed.

Therefore the statement balance must currently be $553 cash at bank.

15.2 D Business entity.

15.3 The correct statements are:

- A suspense account is a temporary account
- A suspense account can be opened when a trial balance does not balance

Suspense accounts are temporary accounts and one of the reasons for their use is if a trial balance does not balance. They can also be used when a bookkeeper does not know where to post one side of a transaction. Suspense accounts must be investigated and the balance cleared before final accounts are prepared.

15.4 B Bethan made a payment of $1,150 in the year. Of this, $75 relates to the prior year, and $90 (270/3) relates to the month of July 20X6. Therefore the amount that relates to the year ended 30 June 20X6 is $985 ($1,150 – $75 – $270 + ($270 × 2/3)).

15.5 A Jaya's sweater sales of $5,670 can be attributed to purchases of $4,200 ($5,670/1.35). Therefore, of the original $4,875 of purchases, there must be $675 remaining at the year-end ($4,875 – $4,200).

15.6 B The farm machinery acquired by hire purchase and laptops used by sales staff are examples of non-current assets. The office premises are not owned so cannot be capitalised – the rent will be an expense in the statement of profit or loss. The bank loan is an example of a non-current liability, rather than a non-current asset.

15.7 A Patrick will charge $500 depreciation in each of the first two years. In the third year, when he decides to sell the machine, it will therefore have a carrying amount of $1,500 as he does not charge depreciation in the year of disposal. As he sold it for $1,600 he will have made a profit on disposal of $100.

15.8 C Thomas has made a profit because the total of the statement of profit or loss debits is less than the total of the credits. A profit must be entered into the credit column of the statement of financial position.

15.9 C It is not necessary for the partners to share the profits equally. There is no reason why a new partner cannot have previously worked as an employee for the business.

15.10 A

	Receivables ledger	*Control account*
	$	$
	37,552	38,842
Balance omitted	1,200	
Credit note (375 × 2)	(750)	(750)
Invoice total overstated		(90)
	38,002	38,002

15.11 C Opening capital + Capital introduced + Profit – Drawings = Closing capital. Rearranging this, profit = $63,260 – $56,750 – $5,000 + ($175 × 52) = $10,610.

15.12 B The carrying amount of the ice-cream van at the date of disposal was 15,800 – 12,640 = $3,160. Sonia sold the van for $1,650 so made a loss on disposal of $1,510 ($3,160 – $1,650).

15.13 B The bank account in the general ledger needs to be adjusted for the bank charges of $60 (which will show in Shirley's bank statement but not in the ledger).

15.14 $14,400. ($27,800 – $3,800) × 3/5 = $14,400

15.15 C Debit entries in the partners' current accounts.

15.16 C $1,200 is the best estimate Pam has of the payment she may have to make, so the provision should be for that amount.

15.17 A In the statement of profit or loss columns, the difference between the total of the debit balances ($100,478) and the total of the credit balances ($110,536) is the profit or loss for the period. This is $10,058. As the credit balances (income) are greater than the debit balances (expenses), the result is a profit.

15.18 B

	$
Original inventory valuation	41,875
Cost of damaged items	(1,960)
NRV of damaged items ($1,200 – $360)	840
	40,755

15.19 A Bjorn's bank statement is currently in credit with a balance of $974. However, it does not reflect an outstanding lodgement of $262 and uncleared cheques of $348. Hence, at 31 December, the bank balance should be $888 ($974 + $262 – $348). The statement of financial position at 31 December should therefore show a current asset of $888.

15.20 C The provision has increased by $1,086. This increase will be a charge in the statement of profit or loss.

16 Mixed Bank 2

16.1 B ($33,750 + $4,845 + $11,248 – $9,633 – $539 + $520). A prepayment is an asset.

16.2 The correct answers are:

- The cost of an extension to the premises
- Solicitors fees in connection with the acquisition of premises

The cost of premises (including any incidental costs of acquisition, such as solicitors' fees) or any addition to the premises is a capital item. Repairs and redecoration are revenue items.

16.3 Statement (i) is always true. However statement (ii) is not always true: consider the case of computerised accounting where a control account is not needed.

16.4 A Carriage inwards is part of the cost of purchases and, therefore, affects gross profit. All the other items do not affect gross profit, they affect net profit.

16.5 A The bank loan is a separate transaction.

16.6 B (i) will simply be an item in the reconciliation.

16.7 A IAS 2 states that the value of inventory should be carried at the lower of cost and net realisable value

Cost of the inventory 200 × $13.50	$2,700
Net realisable value 200 × ($15 – $2.50)	$2,500

Therefore, the NRV of $12,50 per unit is the correct answer, with 200 units giving a valuation of $2,500.

16.8 C Faithful representation

16.9 A

	$
Opening balance	34,500
Credit purchases	78,400
Discounts	(1,200)
Payments	(68,900)
Purchase returns	(4,700)
	38,100

16.10 A The answer is $90 Dr.

Cash sales should be a credit balance of $2,450. He has recorded a credit of $2,540 ie $90 too much, so the suspense account will have a debit balance of $90.

16.11 B Transposition errors will be revealed by extraction of a trial balance.

16.12 B The invoice should have been recorded as an expense in the statement of profit or loss and an accrual in the statement of financial position. Hence, profit was overstated and so were net assets.

16.13 B The accounting equation must be rearranged to calculate the capital balance. Since assets = capital + liabilities, it follows that capital can be derived by subtracting the liabilities from the assets. In this question, assets total $31,195 ($3,575 + $2,750 + $21,870 + $12,000/3) and liabilities total $5,600 so capital is $25,595 ($31,195 – $5,600).

16.14 $52,195

Statement 1 refers to a cheque that Naomi has already sent John, therefore this has already been processed in her ledgers. This is a timing difference. Statement 2 is an invoice not yet received by Naomi, therefore her books must be adjusted to reflect this difference in the form of an accrual.

However, as we are **not told the balance in Naomi's books**, we have to assume these are the only differences and must use John's statement as the basis to calculate the correct balance:

John's balance (per statement)	$56,438
Naomi's payment	($4,243)
Reconciled statement balance	$52,195

16.15 C As the amount was received after the period in which the receivable was written off, it will be treated as sundry income in the statement of profit or loss.

16.16 A Jemima's statement of financial position will show both a current asset (for the $53 petty cash) and a current liability (for the $787 bank overdraft). The amounts are not netted off to show a net current liability – they must be shown separately.

16.17 A IAS 2 *Inventories* allows inventory to be valued using first in, first out, periodic weighted average and continuous weighted average methods. Last in, last out is no longer allowed by IAS 2.

16.18 A Gross profit is sales less cost of sales. In the cost of sales calculation, carriage inwards should be included as part of the purchases cost. Carriage outwards should be omitted. Cost of sales was therefore $4,700 + $27,500 + $980 – $6,800 = $26,380.

Gross profit must have been $64,200 – $26,380 = $37,820.

16.19 A Only the costs incurred in building the garage can be capitalised, so in this case, the costs of bricks and cement and the costs of employing Arthur will be capitalised. The insurance costs and repairs costs to the door are revenue expenditure and will be expensed in George's statement of profit or loss.

16.20 A Nutan must include a prepayment for the photocopier rental as she pays monthly in advance, so she must recognise a prepayment of $150. She must include an accrual for two months' worth of telephone charges as she receives the telephone bill quarterly in arrears, so she must include an accrual for $180 ($270 × 2/3).

17 Mixed Bank 3

17.1 C Partners' salaries are an appropriation of profit, not an expense.

17.2 B The amount owing to her should be included in Archibald's accounts in the statement of profit or loss as a credit and as a payable in the statement of financial position.

17.3 B For the statement of profit or loss, the total of the credit column exceeded the total of the debit column by $22,689. This represents the profit.

17.4 $3,567

Closing inventory was 160 units. Using FIFO, 150 of these would all have been deemed to be part of the final delivery, and therefore they would have been valued at $22.30 per unit = $3,345. The remaining 10 units would have been deemed to be part of the previous delivery and are therefore would have been valued at $22.20 per unit = $222.

Thus total value was $3,567.

17.5 D The debit removes the amount owing from payables.

17.6 D The double entry has been completed (albeit to the incorrect accounts) and so the trial balance will agree. There is no need for a suspense account.

17.7 C Net profit will be overstated by $1,500. The proceeds of $1,600 have been included in sales but a profit on disposal of $100 ($1,600 – $1,500) has been omitted. So net profit has been overstated by $1,500 ($1,600 – $100).

17.8 C $120 has to be added to the balance of $770 to make $890.

17.9 A X owes money to Y.

17.10 C Error (i) will affect the list of balances but not the control account. However error (ii) will affect the control account.

17.11 D Both errors will affect the list of balances.

17.12 B The entry should have been to debit non-current assets $350 and credit bank $350, but instead the purchases account was credited $350. This would lead to a disagreement of $700.

17.13 $3,000

Morph should include a provision of $3,000 in his year-end accounts as this is the best estimate of the amount he may be required to pay out.

17.14 B Cost can include costs of purchase and costs of conversion. It can also include other costs incurred in bringing the inventory to its present location and condition. Cost should not include selling costs and storage costs.

17.15 C Depreciation is a way of spreading the cost of a non-current asset over its useful life.

17.16 C The first stage is to calculate the cost of goods sold. The gross profit is 20% (25/125) which is $5,146 (20% × $25,730). The cost of goods sold is therefore $25,730 – $5,146 = $20,584. The second stage is to calculate purchases by rearranging the cost of sales formula (opening inventory + purchases – closing inventory = cost of sales). Hence, purchases are $20,584 + $1,570 – $2,050 = $20,104.

17.17 A The partnership agreement would not specify the detailed roles of each partner in the day to day running of the business, neither would it detail the level of drawings each partner could take.

17.18 Both profit and net assets will be understated.

Peppa has expensed the cost of the van, instead of capitalising it. The effect is therefore that profit will be understated and net assets will also be understated.

17.19 B This is an error of transposition as Simon has entered $123 instead of $132.

17.20 A

	Partnership profit	*Andrea*	*Kev*
	$	$	$
	64,000		
Salary	(5,000)		5,000
Profit share (3:2)	(59,000)	35,400	23,600
		35,400	28,600

18 Mixed Bank 4

18.1 A Jay's sales of $85,900 can be attributed to purchases of $63,630 ($85,900/1.35). Therefore, of the original $73,700 of purchases, there must be $10,070 remaining at the year-end ($73,700 – $63,630).

18.2 B Receivables should be reported net of the allowance. Thus:

Trade receivables	$136,853	debit
Less receivables allowance	$14,862	credit
	$121,991	

18.3 D The movement in the allowance of $1,008 ($14,862 – $13,854) should be reported in the statement of profit or loss. As the allowance has reduced, this leads to a debit entry in the allowance account, and a credit in the statement of profit or loss.

18.4 D The debit and credit entries are transposed and the credit entry should be to cash.

18.5 C

SUSPENSE ACCOUNT

	$		$
Opening balance	900	Closing balance	1,800
Correction of purchases	900		
	1,800		1,800

Note. The cheque for $900 has not been recorded at all and so will not affect the suspense account.

18.6 The answer is $17,500.

PAYABLES LEDGER CONTROL ACCOUNT

	$		$
Credit notes received	1,500	b/d 1.1.X0	10,000
Cash	30,000	Purchases	40,000
Contras	1,000		
Balance 31.12.X0	17,500		
	50,000		50,000

18.7 A The sales tax on these sales is $442 which should have been credited to the sales tax control account. No entry was made, so when the trial balance is drawn up the suspense account will have a credit balance of $442.

18.8 B Gross profit is sales less cost of sales. Cost of sales is opening inventory plus purchases less closing inventory. In this case, cost of sales is (15 × $25) + (75 × $25) – (25 × $25) = $1,625. Gross profit is therefore $2,275 – $1,625 = $650.

18.9 A Carriage costs borne by the purchaser are carriage inwards and so are treated as part of the purchases costs figure in the statement of profit or loss. If they were borne by the supplier (carriage outwards), they would be treated as selling and distribution costs in the statement of profit or loss.

18.10 D Not depreciating all the computers over the same period contravenes the accounting principle of consistency.

18.11 The extended trial balance can be used to make adjustments for depreciation and accruals.

18.12 A Purchases in the year can be calculated by deducting the opening trade payables balance from the total of the cash paid in the year and the closing trade payables balance. ($178,970 + $68,912 – $79,654 = $168,228).

18.13 B Inventory should be valued at the lower of cost and net realisable value. In the case of the handbags costing $6,350, they should have been valued at their net realisable value of $635 (10% of $6,350) as this is lower than their cost. Closing inventory should therefore have been valued at $15,700 – $6,350 + $635 = $9,985.

18.14 A Prisha should not include any provision in her accounts for this as it seems very unlikely that the claim will succeed and hence the conditions necessary for a provision to be recognised are not met.

18.15 A Total sofabeds bought in June was 110, of which 85 were sold, leaving 25 unsold at the end of the month. These would have been valued at $75 each, so closing inventory would have been valued at $1,875.

18.16 B The goods for resale account should be debited with $473 ($567.50/1.20) – the amount excluding the sales tax.

18.17 A The cost of the delivery van should have been debited to the non-current assets account; it should not have been expensed. The effect of this error is therefore to understate both profit and net assets.

18.18 $232

Hema's sales of $2,335 can be attributed to purchases of $1,868 ($2,335/1.25). Therefore, of the original $2,100 of purchases, there must be $232 remaining at the year-end ($2,100 – 1,868).

18.19 D The closing bank balance can be calculated as a debit of $7,328 ($1,170 – $47,286 + $53,492 – $48).

18.20 C The entry was correctly made in the day book which feeds into the general ledger and so the general ledger amount will be correct at $33,735. This balance will represent the figure for receivables on the statement of financial position.

19 Mixed Bank 5

19.1 B All sales have a mark up of 20%, therefore sales are 120% of cost of sales.

	$
Cost of sales ($\frac{100}{120} \times$ $91,800)	76,500
Opening inventory	15,740
Purchases	75,550
	91,290
Closing inventory	(14,790)
	76,500

19.2 B Darren needs to reduce the provision by $500 ie a credit to the statement of profit or loss.

19.3 C In 20X9 there will be a missing depreciation charge.

19.4 She owes $1,000 at 30 June 20X8.

19.5 B

	$
Trade receivables	42,650
Receivables allowance	(1,570)
Closing inventory	22,300
Current assets	63,380

19.6 D Neither of these are correct.

19.7 A In (i) $430 is a debit to the cash account and this is greater than the credit entry. In (ii) both entries are credits.

19.8 D IAS 2 *Inventories* defines net realisable value as selling price less estimated costs to completion and estimated costs necessary to make the sale.

19.9 D When the coat was originally sold, the double entry would have been Dr bank $110 and Cr Revenue $110. In order to record the return of the coat, the entries need to be Dr sales returns $110 and Cr bank $110.

19.10 C Michelle should include a provision of $500 in her accounts as this is the best estimate of the likely costs of the claim which she will have to pay.

19.11 C Both reasons will require Richard to make an entry in his general ledger. Lodgements from customers would already have been reflected in the general ledger, but the cheque which bounced would not have. Similarly, bank charges made by the bank would not have been reflected in the general ledger – they would only appear on Richard's bank statement, so need to be included in the general ledger.

19.12 $2,000

According to IAS 16 *Property, Plant and Equipment*, the costs to be included are those incurred in bringing the asset to working condition for its intended use. So in this case, the transportation costs of $120 will be capitalised along with the $2,380 purchase price. The insurance costs cannot be included and will be charged to the statement of profit or loss. The total capitalised cost is therefore $2,500. The depreciation charge each year will be 10% of this ie $250. So the closing carrying amount at 31 December 20X4 will be $2,000 ($2,500 – ($250 × 2 years)).

19.13 C Only the **movement** in the provision is charged.

19.14 C Statement C shows the credit notes on the wrong side of the control account would cause the balance to be over inflated. Correcting this error would reduce the balance by $12,672 and would make it agree to the list of balances in the sales ledger control account.

Statement A does not account for the difference as this would mean that the control account balance would be lower than the list of balances in the receivables ledger, but here the receivables control account is higher.

Statement B would mean that the transaction is likely to be eliminated from both the control account and the list of balances, so would not account for this difference.
Statement D, although the contra would reduce the receivables control account, it would only account for half of the difference.

19.15 A The correct answer is $1,005 overdrawn

	$
Balance on bank account in general ledger (credit balance)	(1,240)
Add unpresented cheque	450
Less uncleared deposit	(140)
Less bank charges	(75)
	1,005

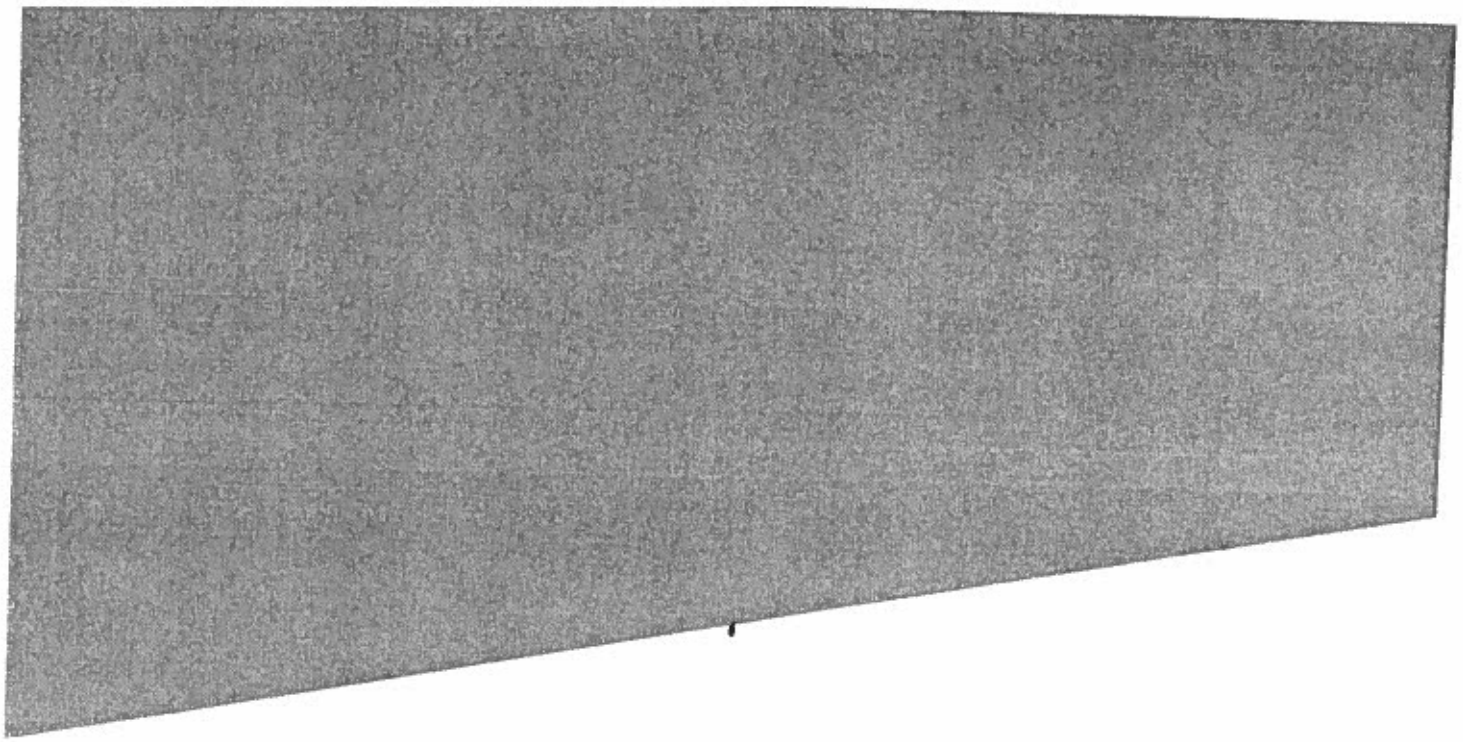
19.16 D Trade receivables have been reduced, no cash has been paid.

19.17 C Dr Suspense $90, Cr Advertising $90.

19.18 C Accruals is an accounting concept rather than a qualitative characteristic.

19.19 Partners' current accounts must be credited with appropriated profit and debited for any drawings.

19.20 C As the business capitalises all items over $500, the computers have incorrectly been expensed. To correct this error, the statement of profit or loss will be credit by $700 and the non-current assets (SOFP) will be debited with the cost of the computers. The suspense account is not affected in this case.



Mock Exams

Foundations In Accountancy
FA2
Maintaining Financial Records

Mock Examination 1
(Specimen Exam June 2014)

Computer-based exam	
Time allowed	2 hours
ALL 50 questions are compulsory and MUST be attempted.	

DO NOT BEGIN THIS EXAM UNTIL YOU ARE READY TO START UNDER EXAMINATION CONDITIONS

All 50 questions are compulsory and must be attempted.

1 Sybil's financial year ended on 30 November 20X2. She incurs the same telephone expense each month. The last invoice paid for telephone calls was $1,800. This invoice covered the three months to 31 October 20X2.

What adjustment is required when preparing the accounts for the year to 30 November 20X2?

- O A prepayment of $600
- O A prepayment of $1,200
- O An accrual of $600
- O An accrual of $1,200

(2 marks)

2 A trial balance fails to agree by $1,000.

Which of the following errors could have caused its difference?

- O A $1,000 cheque received from a customer, F Bloggs, has been credited to J Bloggs' account in the payables ledger
- O A rent payment of $500 had been debited to a non-current asset account
- O A non-current asset costing $500 had been credited to the purchases account
- O A $1,000 cheque paid to a supplier had been credited to the supplier's account in the payables ledger

(2 marks)

3 Norman is entering information into the non-current asset register.

Which TWO of the following items of information will be used when carrying out a verification of the physical presence of non-current assets?

- ☐ Supplier
- ☐ Location
- ☐ Description
- ☐ Cost

(2 marks)

4 John has been asked to provide a copy of his final accounts to his bank manager.

What is the bank manager MOST likely to use the final accounts for?

- O To ensure that the profit is sufficient to provide a good income for John
- O To calculate the tax payable on John's business profit
- O To ensure that John's profit margin is as good as the margin earned by other bank customers
- O To ensure that the business is able to make the repayments on a loan

(2 marks)

5 Harriet is carrying out a reconciliation of her payables ledger. She needs to make correcting entries due to the following errors:

(i) A payment to Bennett Dawson has been posted to the account of Dawson Bennett
(ii) An invoice for $435 has been entered in the purchase day book as $345

Which of the corrections will result in an entry in the general ledger?

	Entry	No entry
Error 1	O	O
Error 2	O	O

(2 marks)

6 **Which of the following statements correctly describes the dual aspect convention of accounting?**

- O A change in the value of assets leads to an equal change in the value of liabilities plus capital
- O Only two ledger accounts will be needed to record any transaction
- O If a transaction requires two debit entries, two credit entries must also be made
- O Transactions are recorded in both a book of prime entry and the general ledger **(2 marks)**

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7 Janet valued her inventory at 30 June at its cost of $22,960. This includes some items which cost $1,950 which have been difficult to sell. Janet intends to have these items repacked at a cost of $400. She can then sell them for $900.

What will be the value of closing inventory in Janet's accounts at 30 June?

- O $20,610
- O $21,510
- O $22,310
- O $24,260 **(2 marks)**

---

8 A business has cash of $1,100, trade payables of $2,500, a mortgage liability of $8,000 and land of $16,000.

What is the capital balance?

$ ☐ **(2 marks)**

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9 Adele runs a restaurant. In August 20X3 she received a letter from a lawyer representing a customer who claims he suffered food poisoning after eating in the restaurant. The customer is claiming damages of $3,000. Adele offered to pay $300. Her lawyer's advice is that in the event of the case going to court, she is likely to be required to pay $1,500. The solicitor also advised that the court case is unlikely to take place before April 20X4.

What amount should be provided for in respect of the claim in Adele's final accounts for the year ended 30 September 20X3?

- O $Nil
- O $300
- O $1,500
- O $3,000 **(2 marks)**

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10 Ruth started trading a year ago. She sells her products at a mark up of 30%. In the first year of trading, she bought goods for $25,800. Her sales in the year were $30,888.

What is the value of Ruth's closing inventory?

- O $1,560
- O $2,040
- O $3,750
- O $5,700 **(2 marks)**

---

11 Arthur has found that an invoice for $780 for motor expenses has been posted to the correct side of the motor expenses account but the entry is for $870.

What entry is needed to correct this error?

O	Dr Suspense $90	Cr Motor expenses $90
O	Dr Motor expenses $90	Cr Suspense $90
O	Dr Motor expenses $90	Cr Trade payables $90
O	Dr Trade payables $90	Cr Motor expenses $90 **(2 marks)**

---

12 Ari is registered for sales tax and he has purchased goods for resale. The invoice shows the cost of the goods as $357.50, which includes sales tax at 10%.

What debit entry should be made in the goods for resale account?

- O $325.00
- O $357.50
- O $321.75
- O $393.25

(2 marks)

13 At 1 September 20X1 the balance on Hai's capital account was $31,754. In the year to 31 August 20X2 he invested an additional amount of $40,000 of personal funds and took a loan of $80,000 for the business. The statement of profit or loss for the year to 31 August 20X2 reported a profit of $48,634 and Hai's drawings during the year were $28,500.

What is Hai's closing capital balance at 31 August 20X2?

- O $43,254
- O $91,888
- O $123,254
- O $151,754

(2 marks)

14 When Frank prepared his year end accounts, he made a calculation error and overstated the value of his closing inventory.

What is the effect of this error on the profit for the year and the net assets at the year end?

	Understated	Overstated
Profit	O	O
Net assets	O	O

(2 marks)

15 John prepared his draft year end accounts, but did not adjust these for a prepayment of $1,500 and an accrual of $400.

How will John's profit and net assets be affected by including the prepayment and the accrual?

O	Net profit will increase by $1,100	Net assets will reduce by $1,100
O	Net profit will reduce by $1,900	Net assets will increase by $1,900
O	Net profit will increase by $1,100	Net assets will increase by $1,100
O	Net profit will reduce by $1,900	Net assets will reduce by $1,900

(2 marks)

16 One of Brian's customers returned goods valued at $670. These had been sold on credit.

What double entry should Brian make to record the return of the goods?

O	Dr Receivables ledger control $670	Cr Bank $670
O	Dr Bank $670	Cr Receivables ledger control $670
O	Dr Receivables ledger control $670	Cr Sales returns $670
O	Dr Sales returns $670	Cr Receivables ledger control $670

(2 marks)

17 Michael and Donald have been in partnership for several years, sharing profits and losses in the ratio 3:4. At 1 January they had the following credit balances on their capital and current accounts:.

	Capital	*Current*
Michael	$65,000	$11,486
Donald	$80,000	$9,637

The partnership statement of profit or loss for the year to 31 December shows a net profit of $28,595, and the partners had made drawings of $16,500 each.

What is the balance of Michael's current account at 31 December?

- O $5,014 debit
- O $7,241 credit
- O $11,326 credit
- O $23,741 credit

(2 marks)

18 At 1 October 20X1, Bakari's bank overdraft was $3,270. During the year to 30 September 20X2, he issued cheques with a total value of $189,642. His total lodgements during the year were $191,729. In addition, bank charges of $827 were incurred.

What is Bakari's bank balance brought forward at 1 October 20X2 as per his accounting records?

- O $2,010 credit
- O $4,530 debit
- O $356 credit
- O $6,184 debit

(2 marks)

---

19 At 31 October the balance on the payables control account in Tim's general ledger is $79,850 and the total of the list of balances on the personal accounts is $79,310. Tim has discovered that the difference is because a payment for $60 was entered correctly in the day book but was recorded as $600 on the supplier's account.

What is the correct value of creditors to be reported on Tim's statement of financial position at 31 October?

$ [ ]

(2 marks)

---

20 **Which TWO of the following errors will be revealed by extracting a trial balance?**

- ☐ Error of single entry
- ☐ Error of commission
- ☐ Error of complete omission
- ☐ Error of transposition

(2 marks)

---

21 **Which of the following is a reason for producing a trial balance?**

- O To check if certain errors have been made when recording transactions
- O To confirm that the balance on each ledger account has been calculated correctly
- O To ensure that all transactions have been recorded
- O To check that depreciation has been calculated correctly

(2 marks)

---

22 At 1 January 20X3 Wasan had 250 units of a particular item in inventory. These were valued at $155 per unit. During January, the purchases and sales of the item were:

Date	*Purchases*	*Sales*
5 January		175 units
10 January	140 units at $158 per unit	
17 January		130 units
22 January	110 units at $160 per unit	
28 January		105 units

Wasan values inventory on the periodic weighted average basis.

What is the value of Wasan's inventory at 31 January 20X3 (to the nearest $1)?

- O $14,125
- O $14,190
- O $14,400
- O $14,299

(2 marks)

---

23 Margaret compared her bank statement with the bank account in her general ledger and found they did not agree. She found two possible reasons for this:

(i) Some cheques have not been lodged by her suppliers
(ii) The bank debited fees on her account

Which of the reasons require an entry in the bank account in the general ledger?

	Entry required	Entry not required
Some cheques have not been lodged by her suppliers	O	O
The bank debited fees on her account	O	O

(2 marks)

24 Alex and Jose are in partnership. Under the terms of the partnership, Alex is entitled to a salary of $11,000 per annum. In the year to 31 December 20X1, the net profit of the partnership was $43,877. Interest on capital and interest on drawings for the year have been calculated as:

	Alex	*Jose*
Interest on capital	$8,000	$9,500
Interest on drawings	$3,500	$5,400

What is the residual profit for the year to 31 December 20X1?

O $35,277
O $24,277
O $52,477
O $41,477

(2 marks)

25 **Which of the following statements regarding inventory valuation is correct?**

O Inventory valuation should exclude profit which has not yet been earned
O All items held in inventory should be valued at cost
O Inventory should be valued at anticipated selling price less any cost which will be incurred
O The purchase price of items which have been held for the longest period is an acceptable method for valuing inventory

(2 marks)

26 **What is the purpose of charging depreciation?**

O To allocate the cost of a non-current asset over the accounting periods expected to benefit from its use
O To ensure that funds are available for the eventual replacement of the non-current asset
O To reduce the cost of a non-current asset in the statement of financial position
O To reflect the falling realisable value of an asset

(2 marks)

27 Samantha has prepared the following bank reconciliation statement at 31 March:

	$
Balance on bank statement	1,250 (overdrawn)
Outstanding cheques	748
Outstanding lodgement	2,200
Balance on ledger account	202 (debit)

How should the bank balance be reported in Samantha's statement of financial position as at 31 March?

O $1,250 as a current asset
O $1,250 as a current liability
O $202 as a current asset
O $202 as a current liability

(2 marks)

28 At the start of the year, the balance on Toni's capital account was $35,869. During the year Toni made drawings of $17,800 and the net profit for the year was $18,700.

What is the balance on Toni's capital account at the end of the year?

$ [ ] **(2 marks)**

---

29 At 30 November, Charles is owed a total of $72,660 by his customers. His receivables allowance brought forward from the previous year end is $11,700. He estimates that his receivables allowance should be equivalent to 15% of the amounts due from customers.

What value should be included in the statement of profit or loss for receivables expense for the year to 30 November?

- O $801 debit
- O $10,899 debit
- O $801 credit
- O $10,899 credit

(2 marks)

---

30 Sarah's bank ledger control account at 30 April shows a balance at the bank of $2,280. Comparison with the bank statement at the same date reveals the following differences:

	$
Unpresented cheques	780
Bank charges not in cash book	40
Receipts not yet credited by the bank	450
Dishonoured cheque not in cash book	120

What is the correct bank ledger control account balance at 30 April?

- O $1,340
- O $2,120
- O $2,360
- O $1,950

(2 marks)

---

31 Maura and Carrie have been in partnership sharing profits and losses equally. At 1 March 20X1 the total value of their capital and current balances was $225,000. At that date Delia was admitted to the partnership and it was agreed that:

(i) The partners would share profits and losses equally
(ii) Goodwill in the business would be valued at $75,000
(iii) Goodwill would not be maintained in the books of the partnership
(iv) Delia would introduce cash to ensure that her opening capital balance is nil

How much must Delia contribute?

- O $25,000
- O $37,500
- O $12,500
- O $75,000

(2 marks)

---

32 Big Builders Ltd allows approved customers a 5% settlement discount if they settle their accounts within 28 days. ABC Ltd has purchased $500 of concrete mix, and they have previously paid within 28 days. Big Builders Ltd makes the appropriate accounting entries.

However, ABC Ltd settle their account paying $500 after 32 days.

What is the correct entries for Big Builders Ltd to make in the accounts?

O	Debit	Bank	$25	
	Credit	Revenue		$25
O	Debit	Revenue	$25	
	Credit	Bank		$25
O	Debit	Bank	$500	
	Credit	Trade receivables		$500
O	Debit	Bank	$500	
	Credit	Revenue		$25
	Credit	Trade receivables		$475

(2 marks)

33 Jessie's trial balance at 30 September 20X0 included:

	Debit	*Credit*
	$	$
Receivables ledger control account	90,350	
Allowance for doubtful debts brought forward		2,490

The following information is also available:

(i) No entries have been made in respect of cash of $1,320 received from Jeffrey whose balance had been written off last year, and

(ii) At 30 September 20X0 an irrecoverable balance of $1,950 is to be written off and the debtors allowance is to be adjusted to 1.5% of the remaining balance

What figure will be reported in the statement of financial position at 30 September for receivables?

O $89,564
O $85,754
O $87,074
O $88,994

(2 marks)

34 **Which of the following is the reason for carrying out a payables ledger reconciliation?**

O To check that the balance on a supplier's ledger account agrees with the supplier's statement
O To check that the entries have been made correctly in the customer's personal accounts
O To check that the value of purchases is correctly recorded in the general ledger
O To check that the balance on the general ledger control account is correct **(2 marks)**

35 Alan purchased a machine on 1 March 20X1 for $12,000. He incurred additional costs for transportation of $1,300 and installation of $2,000. Shortly after he started to use the machine, it broke down and the repairs of the machine cost $600. Alan charges depreciation at 10% per annum on straight line basis with a full year's charge in the year of acquisition.

What is the correct net book value of the machine at the year end date of 31 December 20X1?

$ ☐

(2 marks)

36 Luis and David are in partnership sharing profits and losses in the ratio 3:2. David is entitled to a salary of $9,000 and interest on capital is paid at a rate of 8% per annum. The partners' capital balances are:

Luis	$75,000
David	$60,000

The partnership statement of profit or loss for the year shows a profit of $58,500.

How much of the total profit is Luis entitled to?

- O $23,220
- O $38,220
- O $29,220
- O $35,100

(2 marks)

37 **Which of the following correctly states the accounting equation?**

- O Assets plus liabilities equals capital
- O Assets plus capital equals liabilities
- O Capital plus liabilities equals assets
- O Capital minus liabilities equals assets

(2 marks)

38 Fred purchased a new van. The new van cost $9,000 and Fred paid a cheque for $2,500 to the dealer. In addition the dealer accepted an old van in part exchange. The old van had been bought three years ago for $11,600 and had been depreciated by $6,750.

What is the profit or loss on disposal of the old van?

- O $1,650 loss
- O $1,650 profit
- O $6,500 loss
- O $6,500 profit

(2 marks)

39 Lance is entering an invoice in the purchase day book. The invoice shows the following costs:

	$
Water treatment equipment	39,800
Delivery	1,100
Maintenance charge	3,980
Sales tax	7,854
Invoice total	52,734

What is the total value of capital expenditure on the invoice?

- O $39,800
- O $40,900
- O $44,880
- O $52,734

(2 marks)

40 Lorna is preparing her monthly receivables ledger reconciliation. She has discovered that a credit balance of $79 on a customer's account has been treated as a debit balance.

To complete the reconciliation, what adjustment should Lorna make to the total of the list of balances?

- O Reduce the total by $79
- O Increase the total by $79
- O Increase the total by $158
- O Reduce the total by $158

(2 marks)

41 Nandita has bought goods for resale on credit from Pascale. The goods cost $600 before sales tax, which is calculated at 10%.

When the transaction is posted to the general ledger, which TWO of the following entries should be included?

- ☐ Sales tax – credit entry
- ☐ Purchase ledger control account – credit entry
- ☐ Purchases – debit entry
- ☐ Bank – credit entry

(2 marks)

42 At 30 September 20X3 Pamela's inventory was valued at $6,400 and her trial balance included the following balances:

	Debit	*Credit*
	$	$
Sales		45,000
Purchases	29,500	
Inventory at 1 October 20X2	5,700	
Carriage inwards	750	
Postage	340	
Wages	6,000	
Advertising	1,900	
Other expenses	2,500	

What is Pamela's gross profit for the year to 30 September 20X3?

- O $4,710
- O $15,110
- O $15,450
- O $16,200

(2 marks)

43 **If an extended trial balance had been completed and the result was a loss, into which columns would the result be entered?**

	Statement of profit or loss	*Statement of financial position*
O	Debit	Debit
O	Credit	Debit
O	Debit	Credit
O	Credit	Credit

(2 marks)

44 Consider the following statements about going concern:

(i) Financial statements must always be prepared on the going concern basis.

(ii) If a business is not considered to be a going concern, financial statements should not be prepared.

Which of the statements is/are correct?

	Correct	Not correct
Financial statements must always be prepared on the going concern basis	O	O
If a business is not considered to be a going concern, financial statements should not be prepared	O	O

(2 marks)

45 At 30 November 20X3, Zoltan's bank current account was overdrawn. He also had a bank loan on which monthly capital repayments will commence in February 20X5.

How should these balances be reported on his statement of financial position at 30 November 20X3?

	Bank current account	*Bank loan*
O	Current liability	Current liability
O	Non-current liability	Current liability
O	Current asset	Non-current liability
O	Current liability	Non-current liability

(2 marks)

---

46 James has been advised that one of his customers has ceased trading and that he will not recover the balance of $720 owed by his customer.

What entry should James make in his general ledger?

O	Dr Receivables ledger control $720	Cr Receivables expense $720
O	Dr Receivables expense $720	Cr Receivables ledger control $720
O	Dr Receivables ledger control $720	Cr Bank $720
O	Dr Bank $720	Cr Receivables ledger control $720

(2 marks)

---

47 **When the extended trial balance is being completed, in which column should the value for a bank overdraft be entered?**

- O Statement of profit or loss debit
- O Statement of profit or loss credit
- O Statement of financial position debit
- O Statement of financial position credit

(2 marks)

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48 The amount owed to Jane by her customers at 31 October was $34,729. A year earlier she was owed $27,641. During the year Jane had lodged $327,684 to her bank account. This included payments received from her customers as well as $45,000 which Jane had received from the sale of her holiday home.

What was the value of Jane's sales for the year to 31 October?

$ ☐

(2 marks)

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49 Assume that the extended trial balance has been extended but the result for the year has not been calculated. The totals of the statement of profit or loss and the statement of financial position columns are:

Statement of profit or loss		*Statement of financial position*	
Dr $473,954	Cr $485,889	Dr $172,544	Cr $160,609

Which of the following is the correct result for the year?

- O A profit of $11,935
- O A loss of $11,935
- O A loss of $11,944
- O A profit of $11,944

(2 marks)

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50 **Which accounting principle is applied when two similar transactions are treated in the same way?**

- O Consistency
- O Materiality
- O Double entry
- O Accruals

(2 marks)

(Total = 100 marks)

Answers to Specimen Exam June 2014

1 An accrual of $600

An accrual for telephone expenses is required for the month of November 20X2. As $1,800 covered three months, the accrual will be estimated as $1,800/3 = $600.

2 A non-current asset costing $500 had been credited to the purchases account

The entry should have been to debit non-current assets $500 and credit bank $500, but instead the purchases account was credited $500. This would lead to a disagreement of $1,000.

3 The correct answers are:

- Location
- Description

When carrying out a physical verification of a non-current asset, the description and location of the asset will both need to be known.

4 To ensure that the business is able to make the repayments on a loan

The bank manager will want to be sure that John's business can repay the loan that the bank has given him.

5 Only the misposting error in the purchase day book will result in an adjustment being required to the general ledger. The error to the wrong customer account will not.

6 A change in the value of assets leads to an equal change in the value of liabilities plus capital.

Assets = Capital + Liabilities (the accounting equation)

7 $21,510

The inventory is currently overstated. Janet can sell the inventory that cost $1,950 for $900. The packing costs of $400 need to be deducted to arrive at the net realisable value of the inventory (IAS 2 *Inventories*). Hence, her closing inventory will be valued at $21,510 ($22,960 – $1,950 + $900 – $400).

8 $6,600

The accounting equation must be rearranged to calculate the capital balance. Since assets = capital + liabilities, it follows that capital can be derived by subtracting the liabilities from the assets. In this question, assets total $17,100 ($16,000 + $1,100) and liabilities total $10,500 ($8,000 + $2,500) so capital is $6,600 ($17,100 – $10,500).

9 $1,500

Adele should include a provision of $1,500 in her year-end accounts as this is the best estimate of the amount she may be required to pay out.

10 $2,040

Ruth's sales of $30,888 can be attributed to purchases of $23,760 ($30,888/1.3). Therefore, of the original $25,800 of purchases, there must be $2,040 remaining at the year-end ($25,800 – $23,760).

11 Dr Suspense $90 Cr Motor expenses $90

The motor expenses account has been overstated by $90 ($870 – $780). So in order to correct this, Arthur must Dr suspense $90 and Cr motor expenses $90.

12 $325.00

The goods for resale account should be debited with $325 ($357.50/1.10) – the amount excluding the sales tax.

13 $91,888

The closing capital can be calculated by taking the opening capital balance, adding the capital introduced and the profit made in the year, and deducting the drawings ($31,754 + $40,000 + $48,634 – $28,500 = $91,888).

14 Both profit and net assets will be overstated.

Costs of sales is opening inventory plus purchases less closing inventory. So if closing inventory is overstated, then cost of sales will also be overstated and hence so will the profit figure.

15 Net profit and net assets will both increase by $1,100.

If a prepayment of $1,500 and an accrual of $400 have not been included, the net effect on the statement of financial position will be an understatement of $1,100 ($1,500 – $400). The effect on the statement of profit or loss will also be an understatement of $1,100.

16 Dr Sales returns $670 Cr Receivables ledger control $670

When the goods were originally sold, the double entry would have been Dr receivables ledger $670 and Cr sales $670. In order to record the return of the goods, the entries need to be Dr sales returns $670 and Cr receivables ledger control $670. The first two options can be eliminated straightaway as we are told that the sale was made on credit, so there would be no effect on cash.

17 $7,241 credit

Current accounts must be credited with the profits appropriated to each partner each year and debited with partners' drawings. In the case of Michael, the balance on Michael's current account at the year-end will be $7,241 credit ($11,486 + ($28,595 × 3/7) – $16,500).

18 $2,010 credit

The closing bank balance can be calculated as a credit of $2,010 (– $3,270 – $189,642 + $191,729 – $827).

19 $79,850

The entry was correctly made in the day book which feeds into the general ledger and so the general ledger amount will be correct at $79,850. This balance will represent the figure for payables on the statement of financial position.

20 The correct answers are:

- Error of single entry
- Error of transposition

A trial balance will detect an error of single entry and an error of transposition but it will not detect an error of complete omission or an error of commission.

21 To check if certain errors have been made when recording transactions

A trial balance can be produced to check whether certain errors have been made when recording transactions. However it cannot check whether all transactions have been recorded or whether they have been correctly calculated.

22 $14,125

Units of inventory remaining at the end of January are 90 (250 – 175+140 – 130 + 110 – 105). Total cost of opening inventory plus purchases during January is $78,470 ((250 × $155) + (140 × $158) + (110 × $160)). The average cost of these is $156.94 ($78,470/500). Therefore the periodic weighted average cost is $14,125 (90 × $156.94).

23 Reason (ii) requires an entry. Reason (i) does not require an entry.

Cheques issued to suppliers would already have been reflected in the general ledger. However, bank charges made by the bank would not have been – they would only appear on Margret's bank statement, so need to be included in the general ledger.

24 $24,277

The residual profit for the year is after allowing for salaries and interest and can be calculated by taking the net profit for the year and deducting the salary and the total interest on capital and adding the interest on drawings ($43,877 – $11,000 – $17,500 + $8,900 = $24,277).

25 Inventory valuation should exclude profit which has not yet been earned.

Inventory should be valued at the lower of cost and net realisable value in accordance with IAS 2 *Inventories*, so options B and C are incorrect. Last-in-first-out (LIFO) is not an acceptable method for valuing inventory so option D is also incorrect.

26 To allocate the cost of a non-current asset over the accounting periods expected to benefit from its use.

This is in accordance with IAS 16 *Property, Plant and Equipment*.

27 $202 as a current asset

Samantha's bank statement is currently overdrawn by $1,250. However, it does not reflect a lodgement of $2,200 and uncleared cheques of $748. Hence, at 31 March, the bank balance should be $202 (–$1,250 + $2,200 – $748). The statement of financial position at 31 March should therefore show a current asset of $202.

28 $36,769

The closing capital balance will be the opening balance plus the profit for the year and less the drawings ($35,869 + $18,700 – $17,800 = $36,769).

29 $801 credit

The closing receivables allowance will be 15% of the closing receivables balance of $72,660 which is $10,899. The b/f figure was $11,700, so the difference of $801 will be a credit in the statement of profit or loss.

30 $2,120

The bank ledger control account needs to be adjusted for the bank charges of $40 (which will show in Sarah's bank statement but not in the ledger) and the dishonoured cheque of $120 which is not in the cash day book ($2,280 – $40 – $120 = $2,120).

31 $25,000

The goodwill of $75,000 will eventually be debited to each partner's account in the new profit sharing ratio, ie 1:1:1 so $25,000 each, because goodwill is not to be maintained in the books of the partnership. Delia will therefore have to contribute $25,000 to ensure that her opening capital balance is nil.

32 Debit Bank $500 / Credit Revenue £25, Credit Trade receivables $475

The original entry made by Big Builders Ltd would have been to debit trade receivables and credit revenue assuming the discount would have been taken, so a balance of $475. As the customer has paid $500, the debt should be cleared and the additional revenue accounted for in the statement of profit or loss.

33 $87,074

The irrecoverable balance is to be written off so this needs to be deducted from the receivables ledger control account balance of $90,350, leaving $88,400. The closing allowance is 1.5% of $88,400 = $1,326. Hence, the closing receivables balance in the statement of financial position will be $87,074 ($88,400 – $1,326).

34 To check that the balance on the general ledger control account is correct

The purpose of the payables ledger reconciliation is to check that the balance on the general ledger control account is correct.

35 $13,770

According to IAS 16 *Property, Plant and Equipment*, the costs to be included are those incurred in bringing the asset to working condition for its intended use. So in this case, the transportation costs of $1,300 and installation costs of $2,000 will be capitalised along with the $12,000 purchase price. Repairs cannot be included in the capital cost of an asset, but are charged to the statement of profit or loss. The total capitalised cost is therefore $15,300. The depreciation charge for the year will be 10% of this ie $1,530. So the closing net book value will be $13,770 ($15,300 – $1,530).

36 $29,220

The available profit is calculated as the total profit of $58,500 less the salary to David of $9,000 and the interest on the capital of 8% of $135,000 = $10,800. Of the total profit, Luis is entitled to (3/5 × $38,700) + interest on capital = $23,220 + $6,000 = $29,220.

37 Capital plus liabilities equals assets

Assets = Capital + Liabilities (the accounting equation).

38 $1,650 profit

The net book value of the old van is $4,850 ($11,600 – $6750). Fred bought a new van costing $9,000 and paid $2,500 plus the old van in part exchange. Therefore, the profit on the disposal of the old van is $9,000 – $2,500 – $4,850 = $1,650.

39 $40,900

The capital expenditure will be the purchase price of the equipment of $39,800 plus the delivery charge of $1,100. The maintenance costs represent revenue expenditure and cannot be capitalised. Sales tax is accounted for separately.

40 The balance on the customer's account is overstated by $158 therefore Lorna needs to reduce the total by $158.

41 The correct answers are:

- Purchases ledger control account – credit entry
- Purchases – debit entry

The transaction will include a debit to purchases and a credit to the purchase ledger control.

42 $15,450

Gross profit is sales less cost of sales. Cost of sales is opening inventory plus purchases less closing inventory. In this case, cost of sales is $5,700 + $29,500 + $750 – $6,400 = $29,550. Gross profit is therefore $45,000 – $29,550 = $15,450.

43 Statement of profit or loss – Credit / Statement of financial position – Debit

If a loss is made, this will be entered as a debit in the statement of financial position column and a credit in the statement of profit or loss column of the extended trial balance.

44 Neither statement is correct

If a business is not a going concern, financial statements should still be prepared, but on the break-up basis instead of the going concern basis.

45 Bank current – Current liability / Bank loan – Non-current liability

The bank overdraft will be disclosed under the current liabilities section of the statement of financial position as it is likely to be repayable on demand. The bank loan will be disclosed under the non-current liabilities section of the statement of financial position as it represents amounts due after more than one year (repayments are due to start in February 20X5).

46 Dr Receivables expense $720 / Cr Receivables ledger control $720

The amount of $720 needs to be written off in full so the receivables ledger control account needs to be credited to reduce the year-end receivables balance. The debit entry will be to receivables expense in the statement of profit or loss.

47 Statement of financial position credit

The bank overdraft will be a liability on the statement of financial position so should be shown as an entry in the statement of financial position credit column of the extended trial balance.

48 $289,772

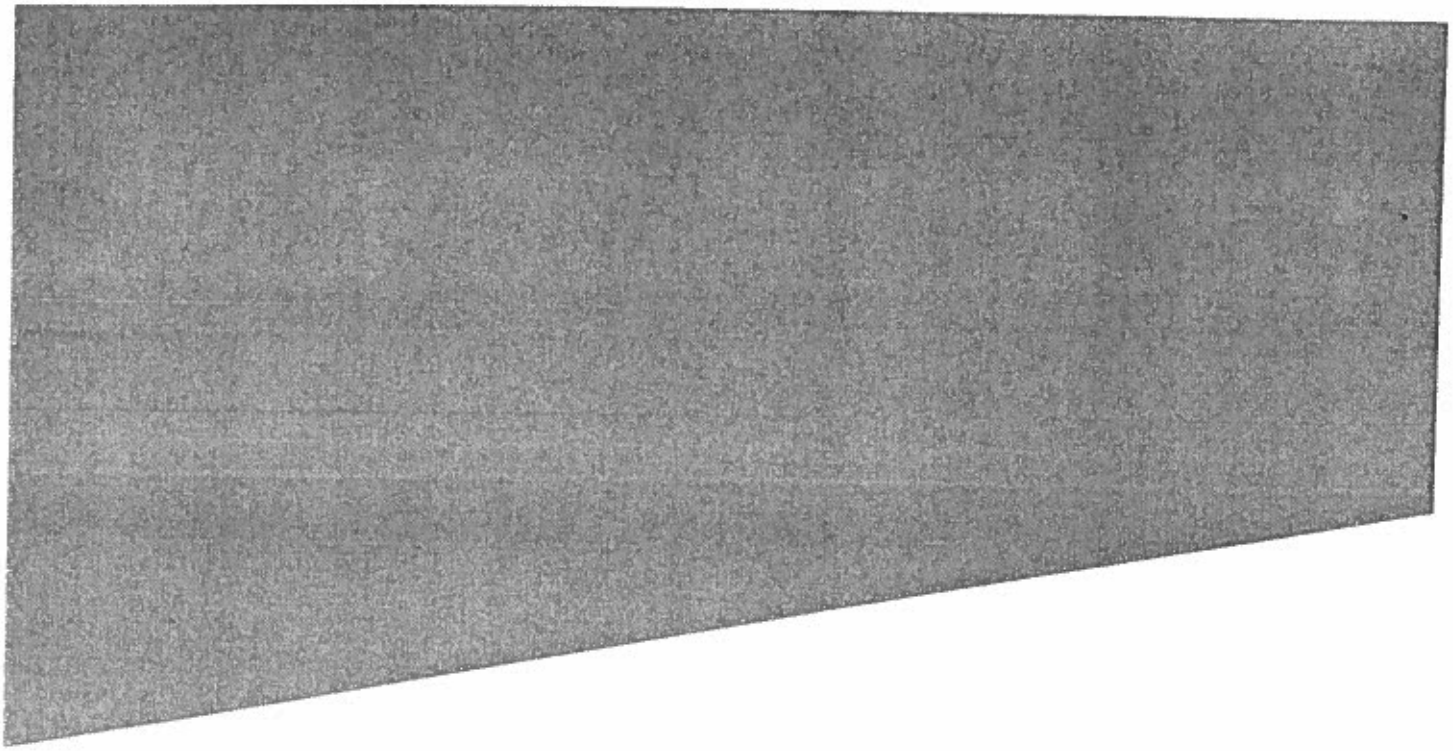
RECEIVABLES LEDGER CONTROL ACCOUNT

	$		$
B/f	27,641	Bank	282,864
Sales (balancing figure)	289,772	C/f	34,729
	317,413		317,413

49 A profit of $11,935 is shown ($485,889 – $473,954).

50 Consistency

Treating two similar transactions in the same way demonstrates the accounting principle of consistency.



Mock Exam 2

ALL 50 questions are compulsory and MUST be attempted.

1 Tony returned items to his supplier of office stationery, and his supplier sent him a credit note.

What entries are required in Tony's general ledger?

	Debit	*Credit*
O	Goods for resale – returns	Trade payables
O	Trade payables	Goods for resale – returns
O	Office stationery	Trade payables
O	Trade payables	Office stationery

(2 marks)

2 On 10 May, Amanda bought goods for resale. Her supplier allowed her a credit period of 30 days. To date, the goods have not been sold.

On 10 May, how is Amanda's accounting equation affected by the transaction?

	Assets	*Liabilities*	*Capital*
O	Unchanged	Increased	Reduced
O	Increased	Increased	Unchanged
O	Increased	Unchanged	Reduced
O	Reduced	Reduced	Unchanged

(2 marks)

3 On 1 June 20X8, Suzy had an accrual of $422 for electricity. During the year she paid invoices with a total value of $2,859, and received a refund of $86.

What balance should be included in Suzy's trial balance at 31 May 20X9 for electricity expense?

$ ☐

(2 marks)

4 Gary bought a new machine. The invoice included costs for:

(i) Installation charges
(ii) Routine maintenance for the first year of operation
(iii) Testing the machine prior to operation

Which of the costs are capital expenditure?

O (i), (ii) and (iii)
O (i) and (ii) only
O (i) and (iii) only
O (ii) and (iii) only

(2 marks)

5 When Imogen's trial balance was extracted, the total of the debit balances was $95 greater than the total of the credit balances. Imogen then discovered that the entry for a cash sale for $95 had been made correctly in the sales account, but was recorded on the wrong side of the cash account.

After the error is corrected, what should the balance on the suspense account be?

O Nil
O $95 debit
O $95 credit
O $285 credit

(2 marks)

6 Adrian has purchased goods on credit with a list price of $17,000. The supplier offered a 5% trade discount. Adrian intends to pay within 10 days in order to take advantage of a further 3% discount on list price.

What are the correct accounting entries for this transaction in Adrian's records?

- O Debit purchases $15,640 Credit payables $15,640
- O Debit purchases $16,150 Credit payables $16,150
- O Debit purchases $16,150 Credit payables $15,640 Credit discounts received $510
- O Debit purchases $16,150 Credit payables $15,665 Credit discounts received $485 **(2 marks)**

---

7 Kris has correctly completed the reconciliation between the balance on the payables control account in his general ledger, and the list of balances from the payables ledger.

Are the following statements correct or incorrect?

		Correct	Incorrect
(i)	The reconciliation confirms that the balance on each supplier's account is correct.	O	O
(ii)	The reconciliation provides confirmation that the balance on the payables control account is correctly stated.	O	O

(2 marks)

---

8 The bank account in Alan's general ledger has a credit balance of $113.

The difference between this balance and the balance on his bank statement is due to the following:

(i) Alan incorrectly recorded the value of a cheque paid to a supplier for $127 as $172.
(ii) A lodgement of $107 has still to be credited by the bank.
(iii) The bank charged interest of $25 on his overdraft.

After updating the bank account in Alan's general ledger, which of the above items should appear as an adjustment on the reconciliation statement?

- O (i) only
- O (ii) only
- O (i) and (ii) only
- O (i), (ii) and (iii) **(2 marks)**

---

9 The bank account in Trish's general ledger has a credit balance of $358.

The difference between this balance and the balance on her bank statement is due to the following:

(i) Trish incorrectly recorded the value of a cheque paid to a supplier for $245 as $254.
(ii) A lodgement of $283 has still to be credited by the bank.
(iii) The bank charged interest of $104 on her overdraft.

What is the corrected credit balance on the bank account in Trish's general ledger?

$ ☐ **(2 marks)**

---

10 Emily's draft accounts report a profit of $11,855. However, an accrual of $398 was treated as a prepayment, and a prepayment of $480 was incorrectly recorded as $522.

What is the correct profit?

- O $11,017
- O $11,415
- O $11,499
- O $12,693 **(2 marks)**

---

11 **What journal entry is needed to write off an irrecoverable receivables balance?**

○ Debit		Receivables
	Credit	Receivables expense
○ Debit		Receivables expense
	Credit	Receivables
○ Debit		Receivables allowance
	Credit	Receivables expense
○ Debit		Receivables expense
	Credit	Receivables allowance

(2 marks)

12 At 1 May 20X8 Trevor's receivables allowance was $1,468. At 30 April 20X9, the total balance on his receivables ledger was $88,463. This includes a balance of $563 which is irrecoverable. Trevor determines that his receivables allowance at 30 April 20X9 should be equivalent to 2% of the remaining balances.

How should the movement in the receivables allowance be reported in the statement of profit or loss?

- ○ A charge of $290
- ○ A credit of $290
- ○ A charge of $1,758
- ○ A credit of $1,758

(2 marks)

13 **If Kate receives $258 for a debt which was written off in a previous year, how will her financial statements for that year be affected by the receipt?**

- ○ Her receivables balance will be reduced by $258
- ○ Her receivables balance will be increased by $258
- ○ Her profit will be reduced by $258
- ○ Her profit will be increased by $258

(2 marks)

14 Since Petra commenced trading, the cost of the items she sells has increased. Petra is trying to decide how her profit for the year will be affected by the method she uses to value her inventory.

Which of the following statements is correct?

- ○ First-in first-out will report a lower profit than weighted average
- ○ Weighted average will report a lower profit than first-in first-out
- ○ Profit for the year is unaffected by the method of inventory valuation
- ○ Petra should value inventory on the basis that reports the lowest profit

(2 marks)

15 The profit made by a business in 20X1 was $88,500. The proprietor injected new capital of $25,500 during the year and withdrew a monthly salary of $1,250.

If net assets at the end of 20X1 were $237,750, what was the proprietor's capital at the beginning of the year?

- ○ $108,750
- ○ $138,750
- ○ $159,750
- ○ $315,750

(2 marks)

16 The totals of Kara's extended trial balance are:

Statement of profit or loss		*Statement of financial position*	
Debit	*Credit*	*Debit*	*Credit*
$122,182	$113,528	$122,173	$130,827

What is Kara's result for the year ?

- O A loss of $8,645
- O A profit of $8,645
- O A loss of $8,654
- O A profit of $8,654

(2 marks)

---

17 Ed and Hilary are in partnership. Their draft statement of profit or loss reports a profit for the year of $75,862. However, interest on drawings (Ed $2,754; Hilary $3,156) and interest on a loan from Hilary ($1,346) have not been included.

What is the correct profit for the year?

- O $68,606
- O $74,516
- O $75,862
- O $80,426

(2 marks)

---

18 Catherine and Graham are in partnership, sharing profits and losses in the ratio 3:2. The partnership statement of profit or loss for the year to 31 May 20X9 reported a loss of $8,650.

During the year to 31 May 20X9, the partner's drawings were:

Catherine	$30,000
Graham	$26,000

What is the movement in the balance on Graham's current account in the year to 31 May 20X9?

- O $22,540 increase
- O $22,540 decrease
- O $29,460 increase
- O $29,460 decrease

(2 marks)

---

19 In the year to 30 November 20X2 Ina's sales were $437,050, and her cost of sales was $349,640.

What were her gross profit margin and mark up?

	20%	25%
Margin	O	O
Mark up	O	O

(2 marks)

---

20 In the year to 31 May 20X9 Carol's sales were $174,820, and her cost of sales was $139,856. The value of her opening inventory was $11,844 and the value of her closing inventory was $13,328.

What was the value of her purchases?

- O $138,372
- O $141,340
- O $173,336
- O $176,304

(2 marks)

---

21 Estelle has prepared the following journal entry:

Debit Cash $500

Credit T Simpkins $500

What is the correct narrative for the journal entry?

- O Cash sale to T Simpkins
- O Cash purchase from T Simpkins
- O Cash paid to T Simpkins
- O Cash received from T Simpkins

(2 marks)

22 On checking his ledger entries, Ade found the following errors:

(i) An invoice from a supplier has not been recorded.

(ii) The debit entry of $500 for repairs has been correctly recorded, but the credit entry was recorded as $50.

Which of the above errors would cause a difference between the total of the debit balances and the total of the credit balances when the trial balance is extracted?

	Difference	No difference
Error (i)	O	O
Error (ii)	O	O

(2 marks)

23 **Which of the following statements describes the qualitative characteristic 'relevance'?**

- O Information which is free from material error
- O Information which is unbiased
- O Information which influences the decisions of a user
- O Information which can easily be understood

(2 marks)

24 In the year to 30 November 20X9, Lui accounted for $7,000 of expenditure on machinery repairs as the cost of a new machine. Lui depreciates machinery on a straight-line basis over 10 years and charges depreciation for a full year in the year an asset is acquired.

What is the effect of the error on Lui's profit for the year to 30 November 20X9?

- O Understated by $6,300
- O Understated by $7,700
- O Overstated by $6,300
- O Overstated by $7,700

(2 marks)

25 In the financial year ended 31 October 20X9, Edita sold a car for $5,600. The car had been bought in January 20X6 for $14,000. Edita depreciates motor vehicles on the reducing balance basis at a rate of 25% per annum. She charges a full year's depreciation in the year an asset is bought, and no depreciation in the year it is sold.

What is the profit or loss on disposal of the car (to the nearest $1)?

- O $306 loss
- O $306 profit
- O $2,100 loss
- O $2,100 profit

(2 marks)

26 **When completing the extended trial balance, in which column should the balance for receivables allowance be included?**

- O Statement of profit or loss debit
- O Statement of profit or loss credit
- O Statement of financial position debit
- O Statement of financial position credit

(2 marks)

27 Eva opened a suspense account with a debit balance of $99. She then discovered that:

(i) When recording a cash sale for $9 only the credit entry was made; and
(ii) The balance on the sales account was under-cast by $90.

When these errors are corrected, what is the debit balance on the suspense account?

- O Nil
- O $18
- O $180
- O $198

(2 marks)

28 When completing the reconciliation between the balance on the receivables control account in the general ledger and the total of the list of balances from the personal ledger, Emir discovered that a credit note for $47 issued to a customer had been entered in the customer's personal account as an invoice.

How will the total value of the list of balances change when the error is corrected?

- O Increase by $47
- O Increase by $94
- O Reduce by $47
- O Reduce by $94

(2 marks)

29 Gilda is preparing her bank reconciliation statement for May 20X0. The balance on the bank account in her general ledger is currently $4,782 credit. She has discovered the following:

(i) Her bank charged fees of $365 in May.
(ii) She has outstanding cheques totalling $1,745.
(iii) She has an outstanding lodgement of $1,519.

Once the above items are taken into account, what should the balance on her bank account in the general ledger be?

- O $3,402 Credit
- O $4,417 Credit
- O $5,147 Credit
- O $6,527 Credit

(2 marks)

30 On checking his draft financial statements, Ricardo noted that he had omitted an accrual for $754 and a prepayment for $388.

By how much is the value of his current assets understated?

- O $388
- O $366
- O $754
- O $1,142

(2 marks)

31 Jerome's receivables ledger has balances totalling $57,840. He has decided to write off an irrecoverable debt of $320. His receivables allowance at the last year-end was $1,368. He has calculated that this should be revised to $1,247.

What is the resulting charge to Jerome's statement of profit or loss?

- O $199
- O $441
- O $1,567
- O $1,688

(2 marks)

32 At 31 October 20X6, Lalia had a bank overdraft of $3,681 and a bank loan of $16,800. The bank loan is due to be repaid by three payments of $5,600 on 1 April 20X7, 1 April 20X8 and 1 April 20X9.

How should these amounts be reported in Lalia's statement of financial position at 31 October 20X6?

	Current liabilities	*Non-current liabilities*
O	$3,681	$16,800
O	$3,681	$11,200
O	$9,281	$11,200
O	$20,481	Nil

(2 marks)

33 **Why is it important that a business distinguishes between current and non-current liabilities in its statement of financial position?**

- O So the owners know how much is owed by the business at all times.
- O So that users of the financial statements can assess the ability of the business to continue as a going concern.
- O So that users of the financial statements can assess the level of business debt due for repayment within a fairly short time.
- O So that the owners know how much money can be withdrawn from the business at a given time.

(2 marks)

34 Lois has always maintained up to date financial records because she knows they are important for both internal and external use.

Which of the following external users would use Lois's financial statements to assess the ability of the business to maintain a healthy cash position in the long term?

- O Lois
- O A bank that Lois has applied for a loan with
- O A supplier who Lois purchased goods from recently
- O Tax authorities

(2 marks)

35 Consider the following statements about going concern:

(i) Financial statements must always be prepared on the going concern basis.

(ii) If a business is not considered to be a going concern, financial statements should not be prepared.

Which of the statements is/are correct?

		Correct	Not correct
(i)	Financial statements must always be prepared on the going concern basis.	O	O
(ii)	If a business is not considered to be a going concern, financial statements should not be prepared.	O	O

(2 marks)

36 Simon and Tariq were equal partners in a business, each with capital of $40,000. It was agreed that Vanessa should join the partnership, with all three partners sharing profits equally. For the purpose of admitting the new partner, the value of the goodwill of the business was agreed at $60,000, but goodwill would not be maintained in the accounts. Vanessa introduced capital of $22,000 to the business.

What was the balance on the capital accounts of Simon after the admission of Vanessa to the partnership?

- O $2,000
- O $40,000
- O $50,000
- O $70,000

(2 marks)

37 At 30 November 20X9, Marek's trial balance includes the following balances:

	$	$
Inventory at 1 December 20X8	17,558	
Trade receivables	31,749	
Prepayments	3,629	
Trade payables		24,928
Accruals		5,291
Bank account		1,827
Receivables allowance at 1 December 20X8		683

Inventory at 30 November 20X9 is valued at $18,736, and the receivables allowance is to be adjusted to $744.

What value should be reported on Marek's statement of financial position at 30 November 20X9 for current assets?

- O $51,543
- O $52,192
- O $52,253
- O $53,370

(2 marks)

38 **Which of the following correctly calculates closing capital?**

- O Capital introduced + Drawings – Profit + Opening capital
- O Capital introduced – Drawings + Profit + Opening capital
- O Capital introduced + Drawings + Profit + Opening capital
- O Capital introduced – Drawings – Profit – Opening capital

(2 marks)

39 When carrying out a reconciliation between the non-current assets in her asset register and the assets which she can physically identify, Wilma could not find one of the assets which is recorded in her asset register.

She thinks this could be because:

(i) No record was made on the register when the asset was sold.
(ii) The supplier's invoice has not yet been received.

Which of the reasons may explain the discrepancy?

- O (i) only
- O (ii) only
- O Both (i) and (ii)
- O Neither (i) nor (ii)

(2 marks)

40 Wasim has prepared the following receivables reconciliation:

	$
Total of list of balances	19,738
Discount not recorded in personal account	(29)
Balance on receivables control account	19,709
Invoice not recorded in day book	1,627
	21,336
Contra with payables ledger not recorded	(2,628)
	18,708

What value should be reported in Wasim's statement of financial position for receivables?

- O $18,708
- O $19,709
- O $19,738
- O $21,336

(2 marks)

41 Matt's financial year ended on 30 June 20X3. He pays the rental charge on his business's premises quarterly in advance. The rental expense is the same each quarter. The last payment was $3,600 and this covered the three months to 31 August 20X3.

Matt's accounts for the year ended 30 June 20X3 will include which of the following?

- O A prepayment of $1,200
- O A prepayment of $2,400
- O An accrual of $1,200
- O An accrual of $2,400

(2 marks)

42 Amrita's inventory of books at 31 August has been valued at their cost value of $26,720. However, this figure includes some books that have missing pages due to an error made at the printers. These books originally cost $5,450 and Amrita has decided to offer these for sale at 20% of their original cost in order to try and get rid of them quickly.

What will be the value of closing inventory in Amrita's accounts at 31 August?

- O $26,720
- O $21,270
- O $22,360
- O $25,630

(2 marks)

43 Barry's house building company has land and property of $565,000, an overdraft of $2,000, a bank loan of $55,000, trade payables of $18,750 and inventory of $30,500.

What is the capital balance?

$ [ ]

(2 marks)

44 When Simran prepared her year-end bank reconciliation, she found that the balance on her bank statement did not agree to the bank account in her general ledger. When she investigated further, she found the following:

(i) The bank had charged her a fee of $22 for going overdrawn.

(ii) A cheque of $1,040 had not been lodged by the owner of the property she rented for her business.

Which of the reasons require an entry in the bank account in the general ledger?

- O (i) only
- O (ii) only
- O Both (i) and (ii)
- O Neither (i) nor (ii)

(2 marks)

45 **Which TWO of the following are conditions required for recognition of a provision in the accounts?**

- ☐ The amount can be measured reliably
- ☐ Payment is probable
- ☐ A possible obligation exists
- ☐ Payment is possible

(2 marks)

46 **Which TWO of the following costs are including in the calculation of gross profit?**

- ☐ Stationery expenses
- ☐ Carriage inwards
- ☐ Maintenance of delivery vans
- ☐ Factory wages

(2 marks)

47 **Which of the following relates to capital expenditure?**

- O Maintenance of a refrigeration system
- O Purchase of two second-hand delivery vehicles
- O Cost of repairs of photocopiers
- O Insurance cost of building owned by the business

(2 marks)

48 **Which TWO of the following errors will not be revealed by extracting a trial balance?**

- ☐ Error of transposition
- ☐ Error of reversal
- ☐ Error of principle
- ☐ Error of single entry

(2 marks)

49 At 1 April 20X3 Sandra had 125 units of a particular line of inventory. These were valued at $140 per unit. During April, the purchases and sales of the item were as follows:

Date	*Purchases*	*Sales*
7 April		75 units
16 April	90 units at $143 per unit	
21 April		105 units
24 April	125 units $138 per unit	
28 April		95 units

Sandra values her inventory using the first in, first out (FIFO) method.

What is the value of Sandra's inventory at 30 April 20X3?

- O $8,970
- O $9,100
- O $9,106
- O $9,104

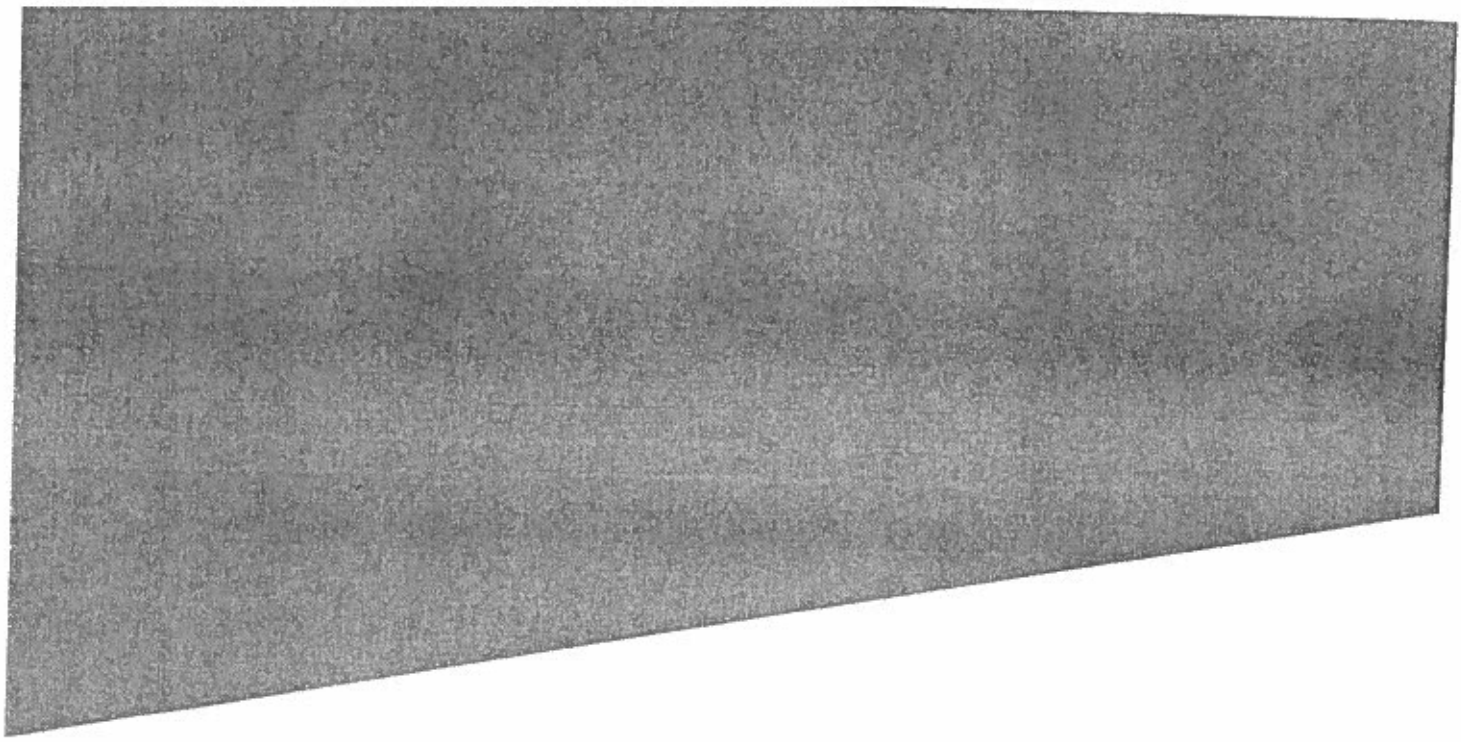
(2 marks)

50 **Which accounting concept describes items whose omission or misstatement in the financial statements would affect the economic decisions of users?**

- O Business entity
- O Consistency
- O Materiality
- O Accruals

(2 marks)

(Total = 100 marks)



Answers to Mock Exam 2

1 Debit trade payables / Credit office stationery

Trade payables and office stationery are both reduced by the value of the credit note.

2 Inventory (assets) and payables (liabilities) are increased. Capital is unchanged.

3 $2,351

	$	
Opening balance	422	Cr
Invoices	2,859	Dr
Refund	86	Cr
Closing balance	2,351	Dr

4 (i) Installation charges and (ii) testing the machine prior to operation.

Maintenance is revenue expenditure. The other costs represent capital expenditure as they are directly attributable to bringing the machine to working condition for its intended use, per IAS 16 *Property, Plant and Equipment*.

5 $285 credit

	$	
Opening balance	95	Cr
Correcting entry	190	Cr
Closing balance	285	Cr

Entry on wrong side of cash account means that a credit entry of $95 was made. Thus, a correcting debit entry of $190 is required in the cash account, leading to a credit entry in the suspense account.

6 Debit purchases $16,150 / Credit payables $16,150

Purchases are recorded net of trade discounts and gross of settlement discounts.

7 Neither statement is correct.

8 (ii) A lodgement of $107 has still to be credited by the bank.

Once the bank account in the general ledger is updated, the lodgement will be the only reconciling item.

9 $453

	$	
Balance on account	358	Cr
Error in cheque	9	Dr
Interest	104	Cr
Corrected balance	453	Cr

10 $11,107

	$
Profit	11,855
Accrual treated as prepayment	(796)
Prepayment error	(42)
Corrected profit	11,017

11 Debit receivables expense, credit receivables.

12 A charge of $290

	$			
Receivables balance	88,463			
Write off	(563)			
Remaining balance	87,900	× 2% =	$1,758	allowance required
		less	$(1,468)	existing allowance
		increase	$290	charge (as increase)

13 Her profit will be increased by $258. Profit will be increased by the value of the cash received.

14 Weighted average will report a lower profit than first-in first-out.

Under the weighted average method, issues are priced at average cost, but under the FIFO method issues will be based on the original cost of each unit. Therefore the cost of goods sold will be higher (and profit will be lower) under the weighted average method when the cost of goods has increased during the period.

15 $138,750

Increase = Profit + Capital introduced – Drawings

Increase = $(88,500 + 25,500 – 15,000)

Increase = $99,000

∴ Opening capital = opening net assets = $(237,750 – 99,000) = $138,750.

16 A loss of $8,654.

The total of the statement of profit or loss debit column exceeds the total of the credit column by $8,654 ($122,182 – $113,528). This represents a loss, which will be debited to the capital account in the statement of financial position, increasing the total of the debit column to $130,827, so that the statement of financial position columns are equal.

17 $74,516

Only the interest on the loan should be included in the statement of profit or loss. Interest on drawings is part of the appropriation of profit. Thus, the correct profit is $75,862 less $1,346 = $74,516.

18 $29,460 decrease

	$
Loss	8,650
Graham's share (2/5)	3,460

		$	
Entries in current account	Share of loss	3,460	Debit
	Drawings	26,000	Debit
	Total	29,460	Debit

19 Margin 20% / Mark up 25%

Gross profit is $87,410 (sales of $437,050 less cost of sales of $349,640). This is 20% of sales (margin) and 25% of cost of sales (mark up).

20 $141,340

	$	
Opening inventory	(11,844)	
Closing inventory	13,328	
Increase	1,484	
Cost of sales	139,856	
Purchases	141,340	(cost of sales plus increase in inventory)

21 Cash received from T Simpkins.

Cash has increased, therefore cash must have been received.

22 Only error (ii) will cause a difference.

The invoice in (i) has not been recorded at all so is absent from both the debit and credit columns. The debit and credit in (ii) are different, hence causing an imbalance.

23 Information which influences the decisions of a user.

24 Overstated by $6,300

$7,000 that was recorded as capital expenditure should have been recorded as revenue expenditure. Reversing this decreases profit by $7,000. However $700 (10% of $7,000) of depreciation has been incorrectly charged and reversing this increases profit. Therefore currently profits are $6,300 overstated.

25 $306 loss

Depreciation has been charged for three years at the date of disposal. Thus the book value at the date of disposal was $5,906 ($14,000 × 0.75 × 0.75 × 0.75). The sale proceeds were $5,600, resulting in a loss of $306.

26 Statement of financial position credit

27 $180

The cash sale requires a debit entry in the cash account, and thus a credit entry in the suspense account.

The credit balance on the sales account is understated. Thus a credit entry is required in the sales account, with a corresponding debit entry in the suspense account.

Thus

	$	
Opening balance	99	Debit
Cash sale	9	Credit
Under-cast	90	Debit
Closing balance	180	Debit

28 Reduce by $94

Correcting this will involve reversing the original invoice entry of $47, then correctly entering the credit note for $47. The net effect is a $94 reduction in the list of balances.

29 $5,147 credit

	$	
Original balance	4,782	Credit
Fees charged	365	Credit
Corrected balance	5,147	Credit

30 $388

Only the prepayment omission will impact current assets. The accrual omission will only affect current liabilities.

31 $199

	$
Irrecoverable debt	320
Reduction in allowance	(121)
	199

32 Current liabilities $9,281 / Non-current liabilities $11,200

Both the overdraft and the amount of the loan due within one year will be included as current liabilities. The remainder of the loan is a non-current liability.

33 So that users of the financial statements can assess the level of business debt due for repayment within a fairly short time.

Splitting liabilities between current and non-current shows which amounts need to be funded within the next year (current).

The statement of financial position is only valid at a point of time. In any case, the owners should know the total indebtedness without waiting for a statement of financial position.

Other factors besides the level of payables may affect going concern status (eg the amount of inventory which is saleable).

34 A bank that Lois has applied for a loan with

For Lois to be able to repay the loan she needs to have sufficient cash available over the term of the loan.

35 If a business is not a going concern, accounts will be prepared on a 'break up basis'. Therefore neither statement is true.

36 $40,000

	S	*T*	*U*
	$	$	$
Initial capital	40,000	40,000	
Share of goodwill	30,000	30,000	
Capital introduced			22,000
	70,000	70,000	22,000
Eliminate goodwill	(20,000)	(20,000)	(20,000)
Adjusted capital	50,000	50,000	2,000

37 $53,370

	$
Inventory (closing value)	18,736
Trade receivables ($31,749 – $744)	31,005
Prepayments	3,629
	53,370

38 Capital introduced – Drawings + Profit + Opening capital

39 Only reason (i) is valid.

An asset sold but not noted as being sold on the register could account for the discrepancy. The asset is recorded on the register. A missing purchase invoice could explain an existing asset not recorded on the register, but will not explain why an asset recorded is missing.

40 $18,708 should be reported. All of the adjustments are valid in arriving at the receivables balance.

41 A prepayment of $2,400.

The last payment made would have covered June, July and August 20X3. Therefore, rent for the months of July and August 20X3 will have been prepaid. A prepayment of $2,400 has therefore been made ($3,600 × 2/3).

42 $22,360

Inventory should be valued at the lower of cost and net realisable value in accordance with IAS 2 *Inventories*. In this case, the books with missing pages should be valued at 20% of $5,450 = $1,090. Therefore, Amrita's closing inventory will be valued at $22,360 ($26,720 – $5,450 + $1,090).

43 $519,750

The accounting equation must be rearranged to calculate the capital balance. Since assets = capital + liabilities, it follows that capital can be derived by subtracting the liabilities from the assets. In this question, assets total $595,500 ($565,000 + $30,500) and liabilities total $75,750 ($2,000 + $55,000 + $18,750) so capital is $519,750 ($595,500 – $75,750).

44 Only reason (i) would require an entry.

A cheque issued to Simran's landlord would already have been reflected in the general ledger. However, the fee charged by the bank for going overdrawn would not have been – it would only appear on Simran's bank statement, so needs to be included in the general ledger.

45 The correct answers are:

- The amount can be measured reliably
- Payment is probable

In accordance with IAS 37 *Provisions, Contingent Liabilities and Contingent Assets* a provision is recognised only when a present obligation has arisen out of a past event, payment is probable and the amount can be estimated reliably.

46 The correct answers are:

- Carriage inwards
- Factory wages

Carriage inwards and factory wages constitute part of cost of sales and therefore are included in the calculation of gross profit. Stationery expenses and maintenance of delivery vans are expenses that would be deducted to calculate net profit.

47 The purchase of two second-hand delivery vehicles is capital expenditure. The other options all relate to revenue expenditure and would be expenses in the statement of profit or loss.

48 The correct answers are:

- Error of reversal
- Error of principle

A trial balance will not detect an error of reversal or an error of principle but it will detect an error of single entry or an error of transposition.

49 $8,970

The 75 units sold on 7 April will be valued at $140, leaving a balance of 50 units at $140. The 105 units sold on 21 April will comprise 50 units at $140 and 65 units at $143, leaving a balance of 25 units at $143. The 95 units sold on 28 April will comprise 25 units at $143 and 70 units at $138. At the end of April, there will therefore be 65 units left, valued at $138, giving a closing inventory valuation of $8,970.

50 Materiality

Material items are those whose omission or misstatement would affect the economic decisions of users.

300